

China offers global growth a well-timed boost

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By Elliot Clarke

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5.0%yr growth in Q1 2026 is a significant achievement, and the Middle East conflict is likely to accelerate demand for Chinese goods from here. Still, the growth base needs to broaden.



China's economy has offered the world a well-timed boost, annual growth accelerating from 4.5%yr in Q4 2025 to 5.0%yr in Q1 2026. Authorities noted this was despite an unfavourable base effect, annual growth having previously peaked at 5.4% in Q4 2024 and Q1 2025. Quarterly growth was also a touch stronger in Q1 2026 than Q4 2025, at 1.3% versus 1.2%.

From the monthly partial data, China's Q1 momentum was principally due to the strength of exporters and the investment being undertaken across the economy. The trade surplus averaged \$88bn through Q1, broadly in line with the average of 2024 and 2025. Moreover, the narrowing of the surplus in March came as a result of a surge in imports which is likely to, at least, partly reverse in coming months as exports continue to grow. The Middle East conflict is likely to sustainably increase demand for green technology from China, opening up an opportunity for the trade surplus to reach new historic highs.

Regarding investment, transport and storage-related infrastructure spending reportedly surged in early-2026, while manufacturing investment showed signs of entering a (modest) upswing and utilities investment continued to compound around 9%ytd. Within the manufacturing sector, stronger demand for green technology goods and refined energy products is likely to elicit an upturn in capital expenditure through 2026, with the key investment sub-categories of electrical machinery, automobiles (EVs) and chemicals all showing evidence of stabilisation in Q1. There is reason for guarded optimism over the outlook for property investment too, the year-to-date decline having moderated from -17%ytd at December to -11%ytd in February and March. Still equivalent to circa 15% of GDP, an end to the sharp construction declines of recent years could provide a material boost to aggregate growth through 2026.

The support offered to GDP by external demand and investment masks the still-troubled state of consumer demand, however. Having surprised to the upside in February at 2.8%ytd, in March retail sales growth slowed once again to 2.4%ytd. While not a disastrous outcome by any means, it is less than half the average pace of the past five years post pandemic, a historically-weak period for household demand growth. Policy makers have been clear in their intent to provide additional support to households, but are yet to action plans. And, while equities have risen through the year, house prices continue to decline, weighing on wealth and sentiment.

All told, China is likely to benefit from the Middle East conflict by scaling up production and exports of green technology and refined energy products/chemicals to meet global demand. This will likely help GDP growth edge closer to 5.0% in 2026 and hold at or above 4.5% in 2027. Still, to sure up future growth prospects, authorities must action their intended support for households and incentivise additional domestically-focused investment by private and public entities. Without this broadening of the growth pulse, aggregate momentum will remain susceptible to slipping towards, or through, 4.0% in coming years. Following President Trump's May visit and (hopefully) a lasting end to the Middle East conflict, we expect stimulus to be delivered.

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16 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.

US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.

Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.

FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.

Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	66.1	0.6%	30 day BBSY	4.15	0.01
AUD/USD	0.7169	0.6%	90 day BBSY	4.37	-0.01
AUD/JPY	114.00	0.8%	180 day BBSY	4.77	-0.03
AUD/GBP	0.5286	0.7%	1 year swap	4.59	0.01
AUD/NZD	1.2133	0.4%	2 year swap	4.63	0.02
AUD/EUR	0.6076	0.6%	3 year swap	4.62	0.05
AUD/CNH	4.8878	0.7%	4 year swap	4.62	0.03
AUD/SGD	0.9114	0.6%	5 year swap	4.64	0.04
AUD/HKD	5.6165	0.6%	6 year swap	4.68	0.04
AUD/CAD	0.9849	0.4%	7 year swap	4.72	0.05
EUR/USD	1.1799	0.0%	8 year swap	4.77	0.04
USD/JPY	159.01	0.1%	9 year swap	4.81	0.04
USD Index	98.09	0.0%	10 year swap	5.06	0.05

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,979	0.1%	Australia		
S&P 500	7,023	0.8%	3 year bond	4.60	-0.02
Japan Nikkei	58,134	0.4%	10 year bond	4.93	-0.02
Hang Seng	25,947	0.3%	United States		
Euro Stoxx 50	5,940	-0.7%	3-month T Bill	3.61	0.01
UK FTSE100	10,560	-0.5%	2 year bond	3.76	0.02
VIX Index	18.17	-1.0%	10 year bond	4.28	0.04

Commodities	Current	Change	Other (10 year yields)		
CRB Index	372.00	0.2%	Germany	3.04	0.02
Gold	4791.04	-1.0%	Japan	2.42	0.00
Copper	13248	-0.3%	UK	4.81	0.03

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	91.29	0.0%	10 yr bond	4.99	0.03
Coal (coking)	226.00	0.8%	3 yr bond	4.65	0.03
Coal (thermal)	125.45	-2.5%	3 mth bill rate	4.32	0.00
Iron Ore	105.20	0.7%	SPI 200	9,018	0.0%
ACCU	36.13	-4.3%			

Data as at 7:15am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets adopted a cautiously constructive tone overnight on reports that the US and Iran are seeking to arrange further peace talks in the coming days. News that both sides are reportedly weighing a two week truce extension to resolve key sticking points - including the reopening of the Strait of Hormuz and the future of Iran's nuclear programme - was taken by investors as a tentative signal of easing tensions. This tentative risk on shift came despite the ongoing US naval blockade of the Strait of Hormuz, with reports that the first west bound oil tanker bound for Iraq has transited the Strait without incident.

Elsewhere, President Trump threatened to remove Federal Reserve Chair Jerome Powell if he does not step down at the end of his term in May. Powell stated that, should his successor not be confirmed in time, he would continue to serve as chair pro tempore.

Domestically, concerns around energy supply increased after a fire reportedly broke out at Viva Energy's Geelong refinery late last night. Fire crews were called to the site around 11pm, with the blaze said to have originated in the "mogas" section of the plant, which produces motor gasoline products.

- Equities were mixed across regions. In the US, optimism around potential progress in Middle East diplomacy, ongoing enthusiasm for artificial intelligence and solid corporate earnings supported further gains, with both the S&P 500 and NASDAQ 100 closing at record highs. The S&P 500 rose 0.8% to 7,023, while the NASDAQ gained 1.6% to 24,016. In contrast, the Dow Jones underperformed, slipping -0.2%.
- European equities moved lower amid disappointing earnings from several regional heavyweights, with the Euro Stoxx 50 down -0.7% and the FTSE 100 falling -0.5%. Asian equities were stronger on hopes of easing US Iran tensions, led by Korea's KOSPI, which gained 2.1%. The Nikkei 225 and Hang Seng posted more modest gains of 0.4% and 0.3%, respectively. Locally, the ASX 200 faded from a strong open to finish just 0.1% higher.
- Bond markets retreated as oil prices stabilised and risk sentiment improved. Moves were more pronounced at the long end of the curve, with the US 2 year yield rising 2bps and the 10 year yield up 4bps. Futures pricing for the terminal Fed funds rate was little changed, implying a 36% probability of an additional rate cut by year end.
- Domestic bonds tracked the previous day's move higher in Treasuries, with both 3 year and 10 year yields down 2bps on the session. Swaps pricing continues to imply around two rate hikes by the end of the year.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Employment Mar	20k	48.9k
11:30	AU Unemployment Rate Mar	4.3%	4.3%
12:00	CN GDP Q1	4.8%	4.5%
12:00	CN Retail Sales YoY YTD Mar	2.5%	2.8%
12:00	CN Industrial Production YoY YTD Mar	5.8%	6.3%
12:00	CN Fixed Asset Investment YoY YTD Mar	1.9%	1.8%
16:00	GB Trade Balance Feb	-£1300b	£3922b
22:30	US Initial Jobless Claims 11/04/2026	212.5k	219k
22:30	US Philly Fed Apr	10pts	18.1pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- FX markets lacked a clear directional impulse, with the DXY little changed on the day. The Australian dollar outperformed, rising 0.6% to 0.7169, while the euro was broadly steady.
- Commodity markets were mixed. Oil prices remained in a holding pattern as markets awaited further clarity on prospective peace talks, with Brent up 0.1% on the day and WTI little changed. Ongoing uncertainty in the Middle East saw US oil exports surge to a record high last week of nearly 13mb/d, as buyers sought alternative supply. Gold fell -1.0% on news of a possible ceasefire extension, copper slipped -0.3%, while iron ore gained 0.7%.

International Data

The **April Federal Reserve Beige Book** reports US economic activity grew at "a slight to modest pace in eight of the twelve" districts since the last update. Two districts reported no change and two districts "slight to modest declines". The Middle East conflict is a source of material uncertainty, and many respondents are taking a wait-and-see approach. Overall, "employment was steady to up slightly during this reporting period", with new hiring mostly for replacement. Price growth was characterised as "moderate" overall, though input costs generally "outpaced selling price growth", compressing margins.

The **FOMC's Bowman, Musalem and Hammack** were cautious on inflation and sanguine regarding the labour market overnight.

The **US' Empire manufacturing survey** jumped from -0.2 to 11.0 in April.

US import prices rose 0.8% in March after a downwardly revised 0.9% gain in February. Ex petroleum, prices were up just 0.1% in the month.

The **US NAHB housing market index** fell from 38 to 34 in April, 33% below the average of the past 5 years.

Local Data

There was no top-tier economic data released yesterday.



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Australian Business Conditions and Confidence, March

#businessconditions

#confidence



By Luka Belobrajdic

Economist, Westpac

15:05 April 14 2026

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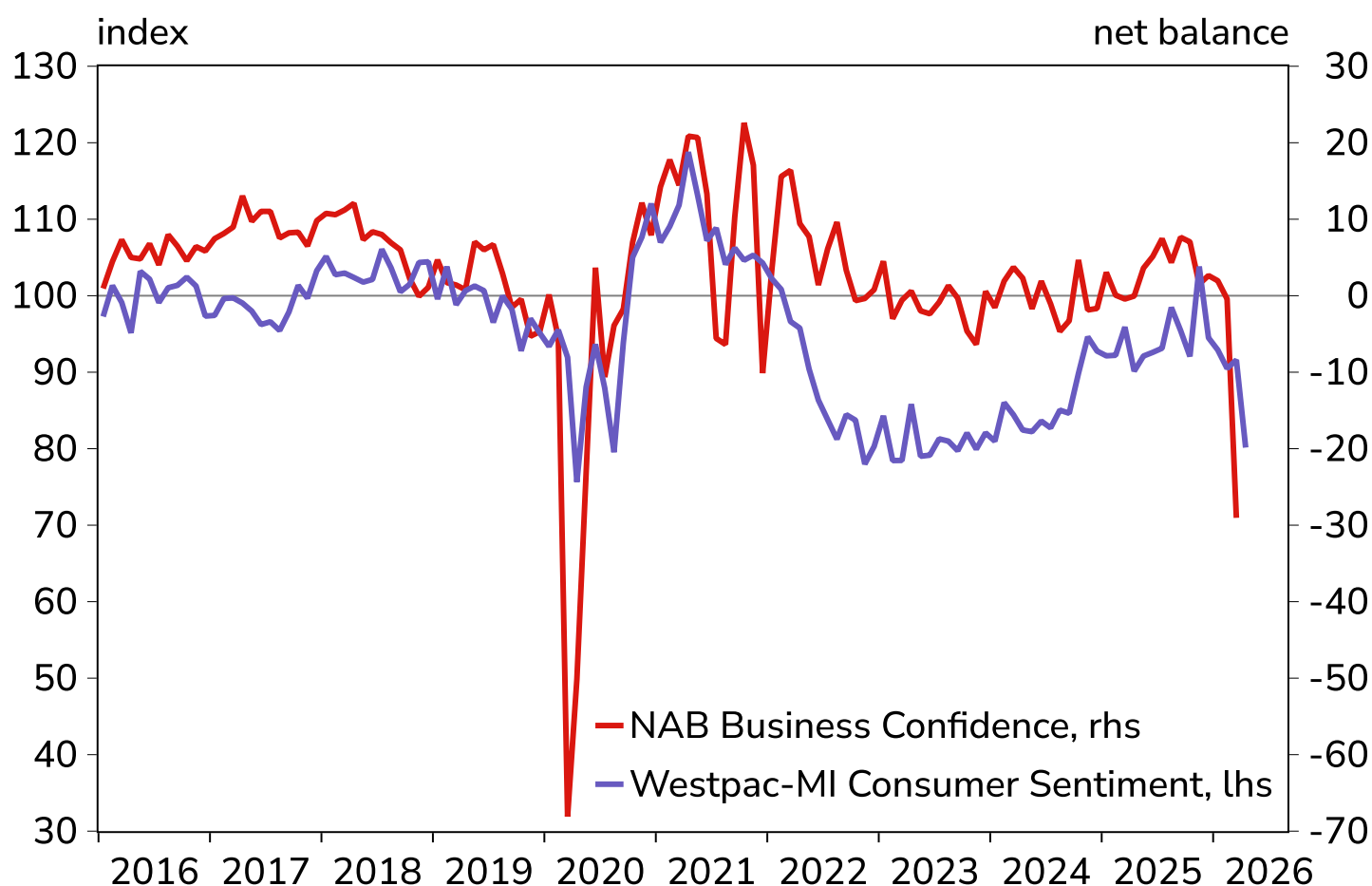
Business confidence collapsed in response to the outbreak of the Middle East conflict, while current assessments of business conditions remain stable, for now. Confidence -29pts to -29 / Conditions unchanged at 6.



The March NAB Business Survey was in the field from 24 to 31 March. It provides the first complete read on business conditions and confidence since the outbreak of the Middle East conflict, the subsequent surge in fuel prices, and dual RBA rate hikes in February and March. Against this backdrop, business confidence collapsed a staggering –29pts from a neutral reading in February, representing the largest monthly decline since the onset of the pandemic in March 2020, and exceeds the fall recorded during the global financial crisis in October 2008. Confidence now sits 34pts below its long-run average. The timing and magnitude of the decline mirrors the sharp deterioration in consumer sentiment that was already evident in later responses to last month’s survey. The –12.5% decline reported in [April’s Westpac-MI Consumer Sentiment survey](#), published earlier this morning, highlights just how sensitive sentiment is to the evolving policy and geopolitical backdrop.

Cost pressures intensified sharply in March. Purchase cost growth saw its largest monthly increase on record, with the quarterly growth pace more than doubling by 1.7ppt to 3.0%, placing it 1.9ppt above its long-run average. Final product price growth rose by a more modest, but still significant, 0.4ppt to 1.1%, suggesting firms are able to pass on some portion of the increase in fuel and oil-related input costs through prices. That said, the reported surge in costs was well in excess of prices, consistent with intensifying margin pressure and a weaker profitability reading in the month (–3pts to 1). Labour cost growth was unchanged at 1.5%.

Consumer vs Business Confidence

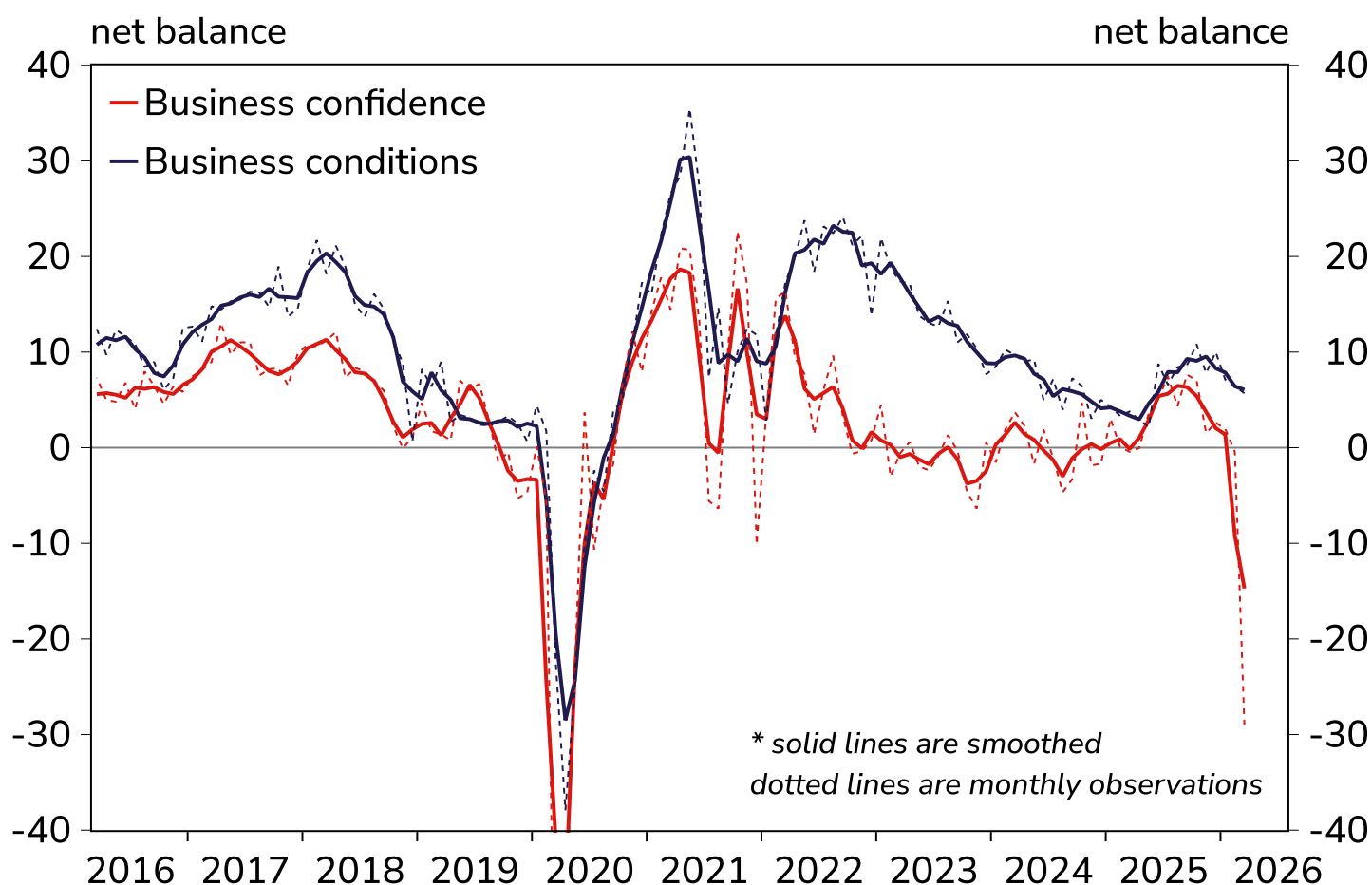


Source: NAB, Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

Despite unambiguous signs of anxiety, business conditions remained broadly steady through the first quarter of 2026. The headline business conditions index was unchanged in March at 6, 1pt below its long-run average and following an earlier reading of 7 in January. This suggests firms entered this latest period of heightened uncertainty with a degree of resilience. However, on a three-month rolling average basis, the survey continues to point to a gradual easing in momentum as the elevated readings recorded late last year roll out of the calculation. The extent to which the collapse in confidence starts to bleed into current assessments of conditions will be a key dynamic to monitor over the coming months.

Outside of the aforementioned fall in profitability, the other major sub-components were unalarming. The employment sub-index rebounded in March, rising +3pts to 6, re-establishing a foothold above its long-run average. This largely reflects the lagged response of labour demand to earlier improvements in activity. The outlook for the labour market has certainly deteriorated in light of the Middle East shock, and signs of significantly weaker labour demand are likely to emerge later this year. Trading conditions dipped modestly, down 1pt to 11, consistent with early indications of softer consumer spending from the Westpac-DataX card tracker for March.

Business conditions and confidence

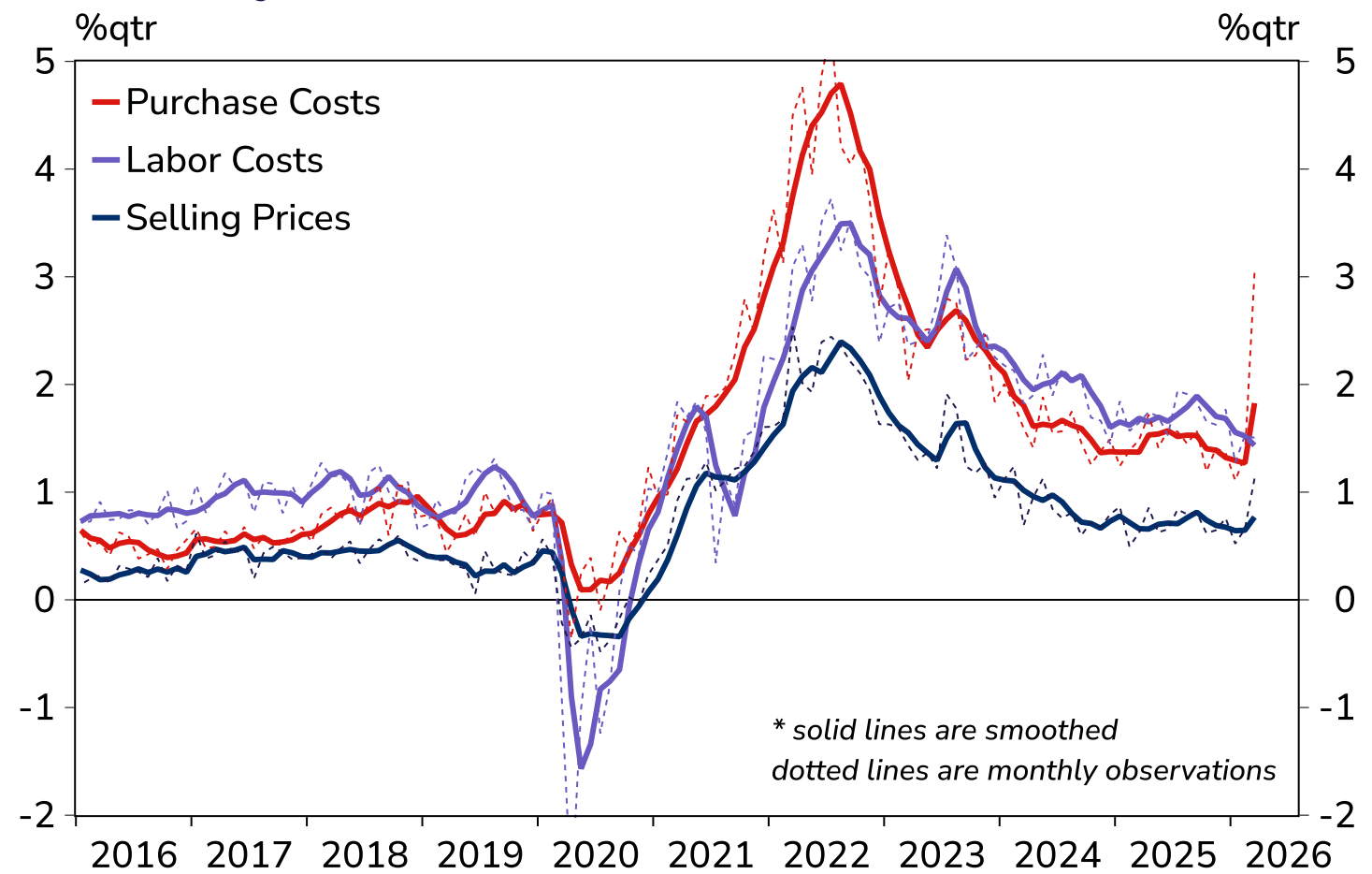


Source: NAB, Macrobond, Westpac Economics

Capacity utilisation edged higher in March to 83.1%, though this increase does little to alter the broader picture, with utilisation broadly stable on a three-month average basis. Capital expenditure eased slightly following its elevated February outcome, declining -2pts to 10, but remains 4pts above its long-run average, indicating continued if cautious investment intentions.

Among other indicators, forward orders weakened, falling -7pts to -1 and recording its first below-average reading of 2026, consistent with the collapse in confidence. Inventories rose a further 2pts to 7, though this likely reflects softer trading conditions in March following the strong build-up in forward orders reported in the previous month.

NAB Survey: Costs and Prices



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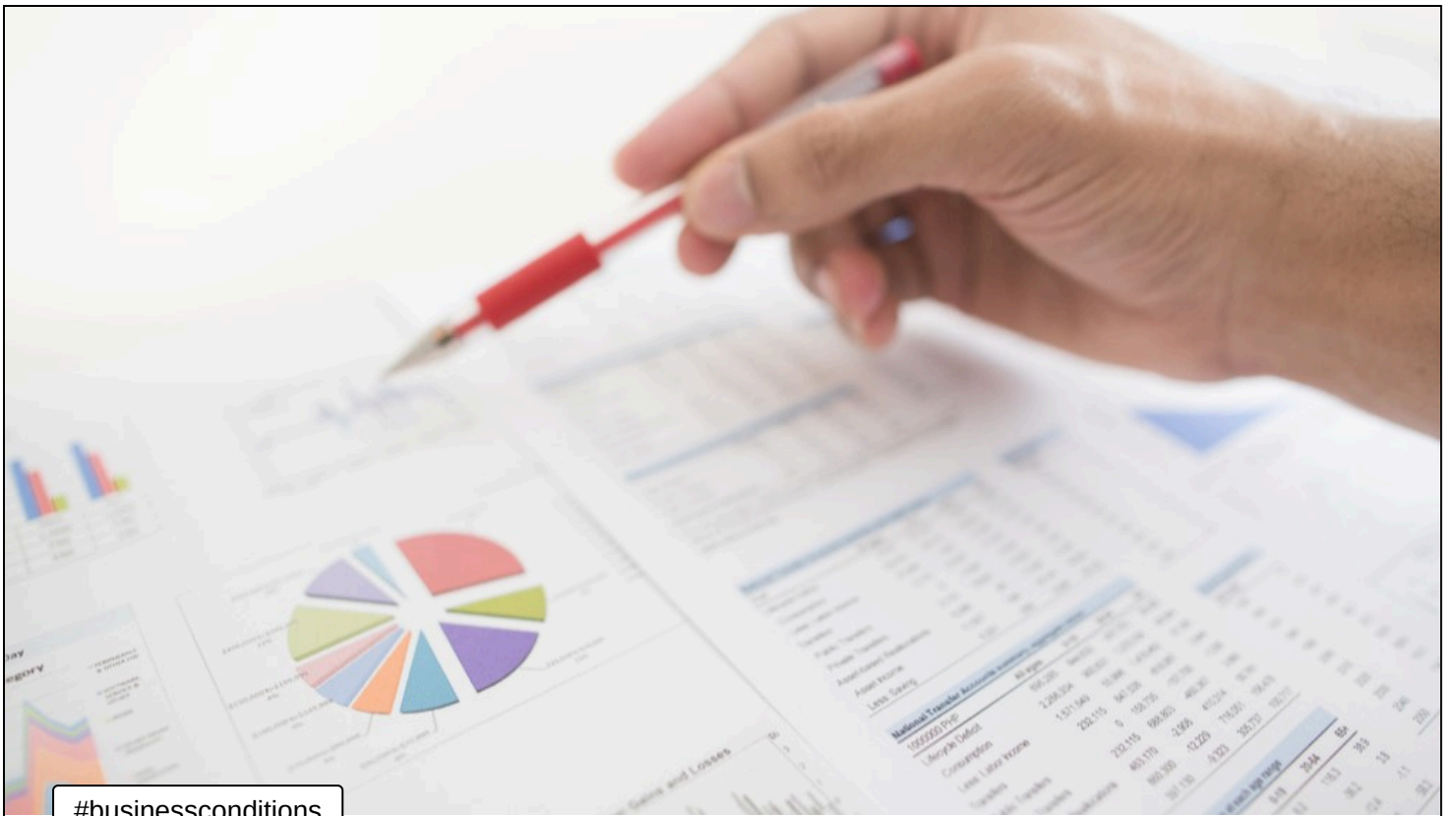


#businessconditions

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16 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.

US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.

Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.

FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.

Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	66.1	0.6%	30 day BBSY	4.15	0.01
AUD/USD	0.7169	0.6%	90 day BBSY	4.37	-0.01
AUD/JPY	114.00	0.8%	180 day BBSY	4.77	-0.03
AUD/GBP	0.5286	0.7%	1 year swap	4.59	0.01
AUD/NZD	1.2133	0.4%	2 year swap	4.63	0.02
AUD/EUR	0.6076	0.6%	3 year swap	4.62	0.05
AUD/CNH	4.8878	0.7%	4 year swap	4.62	0.03
AUD/SGD	0.9114	0.6%	5 year swap	4.64	0.04
AUD/HKD	5.6165	0.6%	6 year swap	4.68	0.04
AUD/CAD	0.9849	0.4%	7 year swap	4.72	0.05
EUR/USD	1.1799	0.0%	8 year swap	4.77	0.04
USD/JPY	159.01	0.1%	9 year swap	4.81	0.04
USD Index	98.09	0.0%	10 year swap	5.06	0.05

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,979	0.1%	Australia		
S&P 500	7,023	0.8%	3 year bond	4.60	-0.02
Japan Nikkei	58,134	0.4%	10 year bond	4.93	-0.02
Hang Seng	25,947	0.3%	United States		
Euro Stoxx 50	5,940	-0.7%	3-month T Bill	3.61	0.01
UK FTSE100	10,560	-0.5%	2 year bond	3.76	0.02
VIX Index	18.17	-1.0%	10 year bond	4.28	0.04

Commodities	Current	Change	Other (10 year yields)		
CRB Index	372.00	0.2%	Germany	3.04	0.02
Gold	4791.04	-1.0%	Japan	2.42	0.00
Copper	13248	-0.3%	UK	4.81	0.03

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	91.29	0.0%	10 yr bond	4.99	0.03
Coal (coking)	226.00	0.8%	3 yr bond	4.65	0.03
Coal (thermal)	125.45	-2.5%	3 mth bill rate	4.32	0.00
Iron Ore	105.20	0.7%	SPI 200	9,018	0.0%
ACCU	36.13	-4.3%			

Data as at 7:15am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

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- Equities were mixed across regions. In the US, optimism around potential progress in Middle East diplomacy, ongoing enthusiasm for artificial intelligence and solid corporate earnings supported further gains, with both the S&P 500 and NASDAQ 100 closing at record highs. The S&P 500 rose 0.8% to 7,023, while the NASDAQ gained 1.6% to 24,016. In contrast, the Dow Jones underperformed, slipping -0.2%.
- European equities moved lower amid disappointing earnings from several regional heavyweights, with the Euro Stoxx 50 down -0.7% and the FTSE 100 falling -0.5%. Asian equities were stronger on hopes of easing US Iran tensions, led by Korea's KOSPI, which gained 2.1%. The Nikkei 225 and Hang Seng posted more modest gains of 0.4% and 0.3%, respectively. Locally, the ASX 200 faded from a strong open to finish just 0.1% higher.
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- Domestic bonds tracked the previous day's move higher in Treasuries, with both 3 year and 10 year yields down 2bps on the session. Swaps pricing continues to imply around two rate hikes by the end of the year.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Employment Mar	20k	48.9k
11:30	AU Unemployment Rate Mar	4.3%	4.3%
12:00	CN GDP Q1	4.8%	4.5%
12:00	CN Retail Sales YoY YTD Mar	2.5%	2.8%
12:00	CN Industrial Production YoY YTD Mar	5.8%	6.3%
12:00	CN Fixed Asset Investment YoY YTD Mar	1.9%	1.8%
16:00	GB Trade Balance Feb	-£1300b	£3922b
22:30	US Initial Jobless Claims 11/04/2026	212.5k	219k
22:30	US Philly Fed Apr	10pts	18.1pts

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- FX markets lacked a clear directional impulse, with the DXY little changed on the day. The Australian dollar outperformed, rising 0.6% to 0.7169, while the euro was broadly steady.
- Commodity markets were mixed. Oil prices remained in a holding pattern as markets awaited further clarity on prospective peace talks, with Brent up 0.1% on the day and WTI little changed. Ongoing uncertainty in the Middle East saw US oil exports surge to a record high last week of nearly 13mb/d, as buyers sought alternative supply. Gold fell -1.0% on news of a possible ceasefire extension, copper slipped -0.3%, while iron ore gained 0.7%.

International Data

The **April Federal Reserve Beige Book** reports US economic activity grew at "a slight to modest pace in eight of the twelve" districts since the last update. Two districts reported no change and two districts "slight to modest declines". The Middle East conflict is a source of material uncertainty, and many respondents are taking a wait-and-see approach. Overall, "employment was steady to up slightly during this reporting period", with new hiring mostly for replacement. Price growth was characterised as "moderate" overall, though input costs generally "outpaced selling price growth", compressing margins.

The **FOMC's Bowman, Musalem and Hammack** were cautious on inflation and sanguine regarding the labour market overnight.

The **US' Empire manufacturing survey** jumped from -0.2 to 11.0 in April.

US import prices rose 0.8% in March after a downwardly revised 0.9% gain in February. Ex petroleum, prices were up just 0.1% in the month.

The **US NAHB housing market index** fell from 38 to 34 in April, 33% below the average of the past 5 years.

Local Data

There was no top-tier economic data released yesterday.



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16 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.

US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.

Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.

FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.

Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.6%
AUD/USD	0.7169	0.6%
AUD/JPY	114.00	0.8%
AUD/GBP	0.5286	0.7%
AUD/NZD	1.2133	0.4%
AUD/EUR	0.6076	0.6%
AUD/CNH	4.8878	0.7%
AUD/SGD	0.9114	0.6%
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ACCU	36.13	-4.3%

Data as at 7:15am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.15	0.01
90 day BBSY	4.37	-0.01
180 day BBSY	4.77	-0.03
1 year swap	4.59	0.01
2 year swap	4.63	0.02
3 year swap	4.62	0.05
4 year swap	4.62	0.03
5 year swap	4.64	0.04
6 year swap	4.68	0.04
7 year swap	4.72	0.05
8 year swap	4.77	0.04
9 year swap	4.81	0.04
10 year swap	5.06	0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.02
10 year bond	4.93	-0.02
United States		
3-month T Bill	3.61	0.01
2 year bond	3.76	0.02
10 year bond	4.28	0.04
Other (10 year yields)		
Germany	3.04	0.02
Japan	2.42	0.00
UK	4.81	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.99	0.03
3 yr bond	4.65	0.03
3 mth bill rate	4.32	0.00
SPI 200	9,018	0.0%



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- Commodity markets were mixed. Oil prices remained in a holding pattern as markets awaited further clarity on prospective peace talks, with Brent up 0.1% on the day and WTI little changed. Ongoing uncertainty in the Middle East saw US oil exports surge to a record high last week of nearly 13mb/d, as buyers sought alternative supply. Gold fell -1.0% on news of a possible ceasefire extension, copper slipped -0.3%, while iron ore gained 0.7%.

International Data

The **April Federal Reserve Beige Book** reports US economic activity grew at "a slight to modest pace in eight of the twelve" districts since the last update. Two districts reported no change and two districts "slight to modest declines". The Middle East conflict is a source of material uncertainty, and many respondents are taking a wait-and-see approach. Overall, "employment was steady to up slightly during this reporting period", with new hiring mostly for replacement. Price growth was characterised as "moderate" overall, though input costs generally "outpaced selling price growth", compressing margins.

The **FOMC's Bowman, Musalem and Hammack** were cautious on inflation and sanguine regarding the labour market overnight.

The **US' Empire manufacturing survey** jumped from -0.2 to 11.0 in April.

US import prices rose 0.8% in March after a downwardly revised 0.9% gain in February. Ex petroleum, prices were up just 0.1% in the month.

The **US NAHB housing market index** fell from 38 to 34 in April, 33% below the average of the past 5 years.

Local Data

There was no top-tier economic data released yesterday.



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Monthly household spending indicator: Steady print amid softer signals

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By [Luka Belobrajdic](#)
Economist, Westpac

15:50 April 07 2026

 Share

February household spending indicator: 0.3%_{mth}, 4.6%_{yr}



Read full report ' **Household spending indicator - February (PDF 440KB)**'

Household spending rose 0.3%_{mth} in February, matching January's outcome and in line with its

average monthly pace over the past two years. Annual growth edged up to 4.6%yr.

Services continued to drive overall growth, rising 0.5%*mt*, supported by holiday-related spending across recreation & culture, transport and accommodation. Goods spending reversed recent weakness to post a modest 0.1%*mt* gain.

State outcomes were mixed. WA led the gains, with SA, Qld and Vic also recording increases. NSW was the only state to post a decline.

Looking ahead, risks to the spending outlook remain skewed to the downside. Weaker consumer sentiment, ongoing monetary policy restraint and signals from our Westpac–DataX Card Tracker suggest spending growth is likely to moderate over coming months.

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16 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.

US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.

Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.

FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.

Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.6%
AUD/USD	0.7169	0.6%
AUD/JPY	114.00	0.8%
AUD/GBP	0.5286	0.7%
AUD/NZD	1.2133	0.4%
AUD/EUR	0.6076	0.6%
AUD/CNH	4.8878	0.7%
AUD/SGD	0.9114	0.6%
AUD/HKD	5.6165	0.6%
AUD/CAD	0.9849	0.4%
EUR/USD	1.1799	0.0%
USD/JPY	159.01	0.1%
USD Index	98.09	0.0%

Equities	Close	Change
S&P/ASX 200	8,979	0.1%
S&P 500	7,023	0.8%
Japan Nikkei	58,134	0.4%
Hang Seng	25,947	0.3%
Euro Stoxx 50	5,940	-0.7%
UK FTSE100	10,560	-0.5%
VIX Index	18.17	-1.0%

Commodities	Current	Change
CRB Index	372.00	0.2%
Gold	4791.04	-1.0%
Copper	13248	-0.3%
Oil (WTI futures)	91.29	0.0%
Coal (coking)	226.00	0.8%
Coal (thermal)	125.45	-2.5%
Iron Ore	105.20	0.7%
ACCU	36.13	-4.3%

Data as at 7:15am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.15	0.01
90 day BBSY	4.37	-0.01
180 day BBSY	4.77	-0.03
1 year swap	4.59	0.01
2 year swap	4.63	0.02
3 year swap	4.62	0.05
4 year swap	4.62	0.03
5 year swap	4.64	0.04
6 year swap	4.68	0.04
7 year swap	4.72	0.05
8 year swap	4.77	0.04
9 year swap	4.81	0.04
10 year swap	5.06	0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.02
10 year bond	4.93	-0.02
United States		
3-month T Bill	3.61	0.01
2 year bond	3.76	0.02
10 year bond	4.28	0.04
Other (10 year yields)		
Germany	3.04	0.02
Japan	2.42	0.00
UK	4.81	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.99	0.03
3 yr bond	4.65	0.03
3 mth bill rate	4.32	0.00
SPI 200	9,018	0.0%



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Financial Markets

Markets adopted a cautiously constructive tone overnight on reports that the US and Iran are seeking to arrange further peace talks in the coming days. News that both sides are reportedly weighing a two week truce extension to resolve key sticking points - including the reopening of the Strait of Hormuz and the future of Iran's nuclear programme - was taken by investors as a tentative signal of easing tensions. This tentative risk on shift came despite the ongoing US naval blockade of the Strait of Hormuz, with reports that the first west bound oil tanker bound for Iraq has transited the Strait without incident.

Elsewhere, President Trump threatened to remove Federal Reserve Chair Jerome Powell if he does not step down at the end of his term in May. Powell stated that, should his successor not be confirmed in time, he would continue to serve as chair pro tempore.

Domestically, concerns around energy supply increased after a fire reportedly broke out at Viva Energy's Geelong refinery late last night. Fire crews were called to the site around 11pm, with the blaze said to have originated in the "mogas" section of the plant, which produces motor gasoline products.

- Equities were mixed across regions. In the US, optimism around potential progress in Middle East diplomacy, ongoing enthusiasm for artificial intelligence and solid corporate earnings supported further gains, with both the S&P 500 and NASDAQ 100 closing at record highs. The S&P 500 rose 0.8% to 7,023, while the NASDAQ gained 1.6% to 24,016. In contrast, the Dow Jones underperformed, slipping -0.2%.
- European equities moved lower amid disappointing earnings from several regional heavyweights, with the Euro Stoxx 50 down -0.7% and the FTSE 100 falling -0.5%. Asian equities were stronger on hopes of easing US Iran tensions, led by Korea's KOSPI, which gained 2.1%. The Nikkei 225 and Hang Seng posted more modest gains of 0.4% and 0.3%, respectively. Locally, the ASX 200 faded from a strong open to finish just 0.1% higher.
- Bond markets retreated as oil prices stabilised and risk sentiment improved. Moves were more pronounced at the long end of the curve, with the US 2 year yield rising 2bps and the 10 year yield up 4bps. Futures pricing for the terminal Fed funds rate was little changed, implying a 36% probability of an additional rate cut by year end.
- Domestic bonds tracked the previous day's move higher in Treasuries, with both 3 year and 10 year yields down 2bps on the session. Swaps pricing continues to imply around two rate hikes by the end of the year.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Employment Mar	20k	48.9k
11:30	AU Unemployment Rate Mar	4.3%	4.3%
12:00	CN GDP Q1	4.8%	4.5%
12:00	CN Retail Sales YoY YTD Mar	2.5%	2.8%
12:00	CN Industrial Production YoY YTD Mar	5.8%	6.3%
12:00	CN Fixed Asset Investment YoY YTD Mar	1.9%	1.8%
16:00	GB Trade Balance Feb	-£1300b	£3922b
22:30	US Initial Jobless Claims 11/04/2026	212.5k	219k
22:30	US Philly Fed Apr	10pts	18.1pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- FX markets lacked a clear directional impulse, with the DXY little changed on the day. The Australian dollar outperformed, rising 0.6% to 0.7169, while the euro was broadly steady.
- Commodity markets were mixed. Oil prices remained in a holding pattern as markets awaited further clarity on prospective peace talks, with Brent up 0.1% on the day and WTI little changed. Ongoing uncertainty in the Middle East saw US oil exports surge to a record high last week of nearly 13mb/d, as buyers sought alternative supply. Gold fell -1.0% on news of a possible ceasefire extension, copper slipped -0.3%, while iron ore gained 0.7%.

International Data

The **April Federal Reserve Beige Book** reports US economic activity grew at "a slight to modest pace in eight of the twelve" districts since the last update. Two districts reported no change and two districts "slight to modest declines". The Middle East conflict is a source of material uncertainty, and many respondents are taking a wait-and-see approach. Overall, "employment was steady to up slightly during this reporting period", with new hiring mostly for replacement. Price growth was characterised as "moderate" overall, though input costs generally "outpaced selling price growth", compressing margins.

The **FOMC's Bowman, Musalem and Hammack** were cautious on inflation and sanguine regarding the labour market overnight.

The **US' Empire manufacturing survey** jumped from -0.2 to 11.0 in April.

US import prices rose 0.8% in March after a downwardly revised 0.9% gain in February. Ex petroleum, prices were up just 0.1% in the month.

The **US NAHB housing market index** fell from 38 to 34 in April, 33% below the average of the past 5 years.

Local Data

There was no top-tier economic data released yesterday.



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Australia's Trade in Goods Account, February

#trade

#australia



By Mantas Vanagas

Senior Economist, Westpac

15:15 April 02 2026

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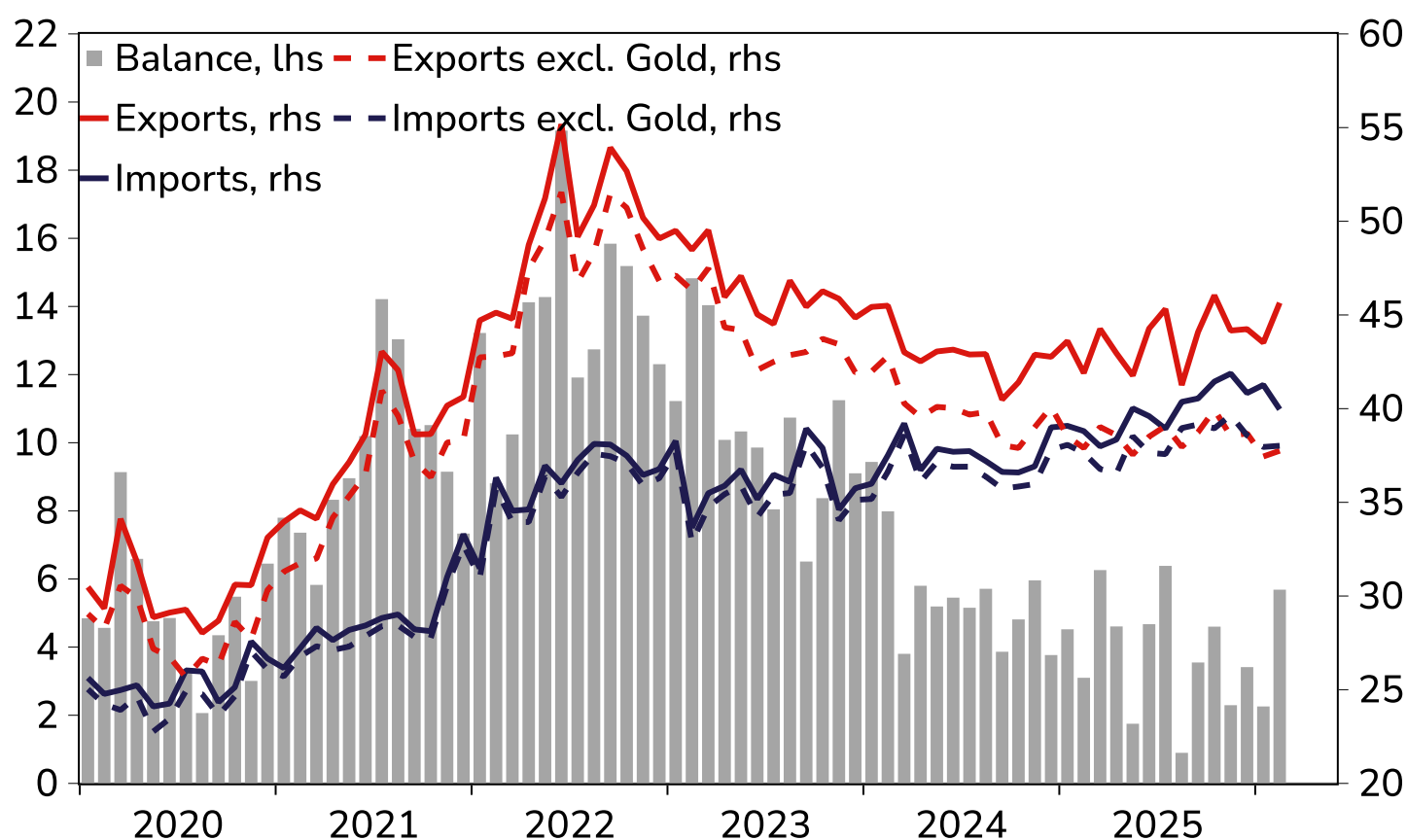
Sharp shifts in gold flows led to Australia's goods trade surplus widening in February. The impacts of the conflict in the Middle East, including on commodity prices, are likely to see volatility in monthly trade flows increase in March and beyond. Trade balance: \$5.7bn. Export values: up 4.9%_{mth}. Import values: down 3.9%_{mth}.



After a period of more stability recently, monthly trade figures saw volatility return, with the headline goods trade surplus jumping from \$2.3bn to \$5.7bn, marking the highest level in seven months. Significant fluctuations in gold inflows and outflows were the primary driver. Excluding gold, the goods trade balance remained close to zero. Importantly, this data predates the outbreak of the conflict in the Middle East, suggesting greater volatility in trade flows is likely as these impacts flow through in coming months. The sharp appreciation of the AUD – in trade-weighted terms up more than 3% in February – had minimal impact on trade flows.

Goods Trade Balance

Value, \$bn



Source: ABS, Macrobond, Westpac Economics

Exports

Export earnings surged nearly 5%*mt*. Gold exports reached a new record high and were almost entirely responsible for the increase. Most of this increase was likely driven by higher prices rather than volumes – this is consistent with our view that gold prices will deliver the federal budget a significant and underappreciated windfall ([see here](#)). Excluding gold, exports were up just 0.8%*mt*, remaining below last year's peak following sharp declines in January and November.

Major commodity exports fell 3.7%*mt*, led by decreases in iron ore and LNG shipments. ABS data show that exports of both iron ore and LNG fell in both volume and price terms. Production and shipment disruptions caused by Tropical Cyclone Mitchell, which impacted the Pilbara coastline, were partly responsible for the soft outcome during the month. Coal exports, by contrast, were broadly unchanged.

Rural goods exports surprised on the upside, rising almost 14%^{mt} – the steepest increase in over a year – offsetting the previous month's decline. Meat exports jumped by more than a quarter, suggesting that January's drop was likely a temporary retraction. We think that risks for meat exports remain skewed to the downside due to expected supply weakness, but such effects are likely to materialise more in the medium term.

By country, exports to major trading partners remained relatively stable. Hong Kong was an exception – exports there tripled due to a surge in gold shipments. Exports to the US showed little change, though larger shifts may occur in coming months, following the US Supreme Court's decision to rule previous tariffs under the IEEPA act illegal and subsequent adjustments to US import tariffs.

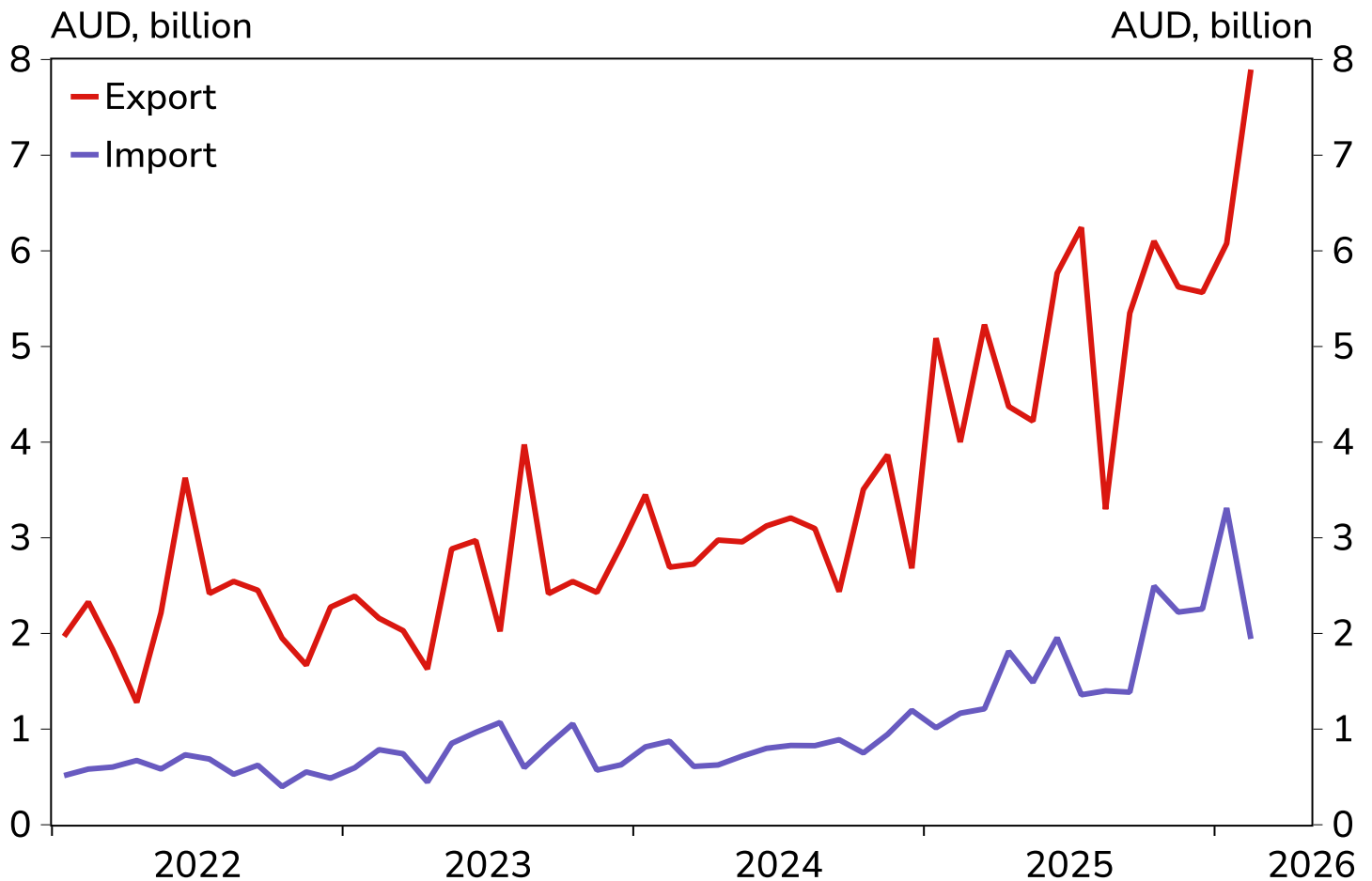
Imports

The import bill declined by 3.2%^{mt}. Similar to exports, gold – which dropped over 40% – played a significant role. Excluding gold, imports were almost unchanged. Nonetheless, major import categories experienced considerable swings.

Consumption goods imports rose 3.4%^{mt}, reversing a similar decline in January, with food and household electronics leading the way. Intermediate goods imports also strengthened notably, up 3.1%^{mt}. Capital goods imports fell 8.1%^{mt} – volatility seen in recent months for data processing equipment and aircraft imports was again the main driver.

Looking past the monthly volatility, imports for January–February were nearly 2% lower compared to Q4, with all three major components reporting declines. Price effects may have contributed, but following the significant jump in Q4, this suggests that domestic demand may have softened at the start of the year.

Gold trade flows (values)



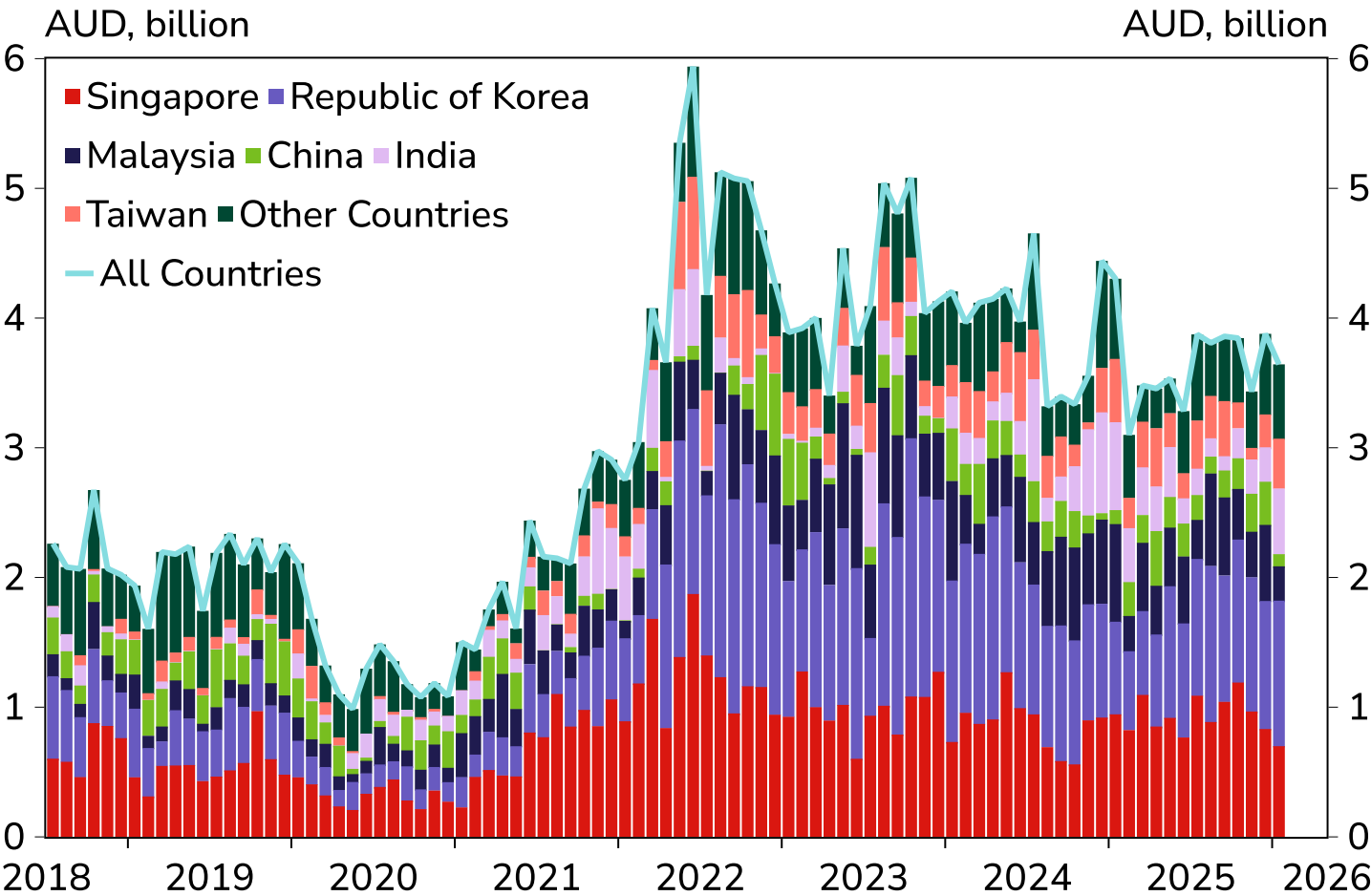
Source: ABS, Macrobond, Westpac Economics

Trade in the coming months

Over the coming months, monthly trade data will likely be shaped by the ongoing conflict in the Middle East. Price effects are expected to dominate, with the LNG (Japan/Korea benchmark) 80% higher since the end of February, and coal and iron ore prices also up significantly.

Beyond price movements, we might also see impact to trade volumes. Australia's direct trade with Middle Eastern countries is small representing around \$1bn in exports and around \$0.5bn in imports per month. However, indirect impacts via supply chain disruptions could be substantial. For instance, most refined oil products in Australia are sourced from Asian countries, which in turn import crude oil from the Middle East. Oil accounts for roughly 11% of total goods imports, and a sharp drop could significantly affect the economy, especially if certain regions begin to experience fuel shortages.

Australia imports - refined petroleum (monthly values)



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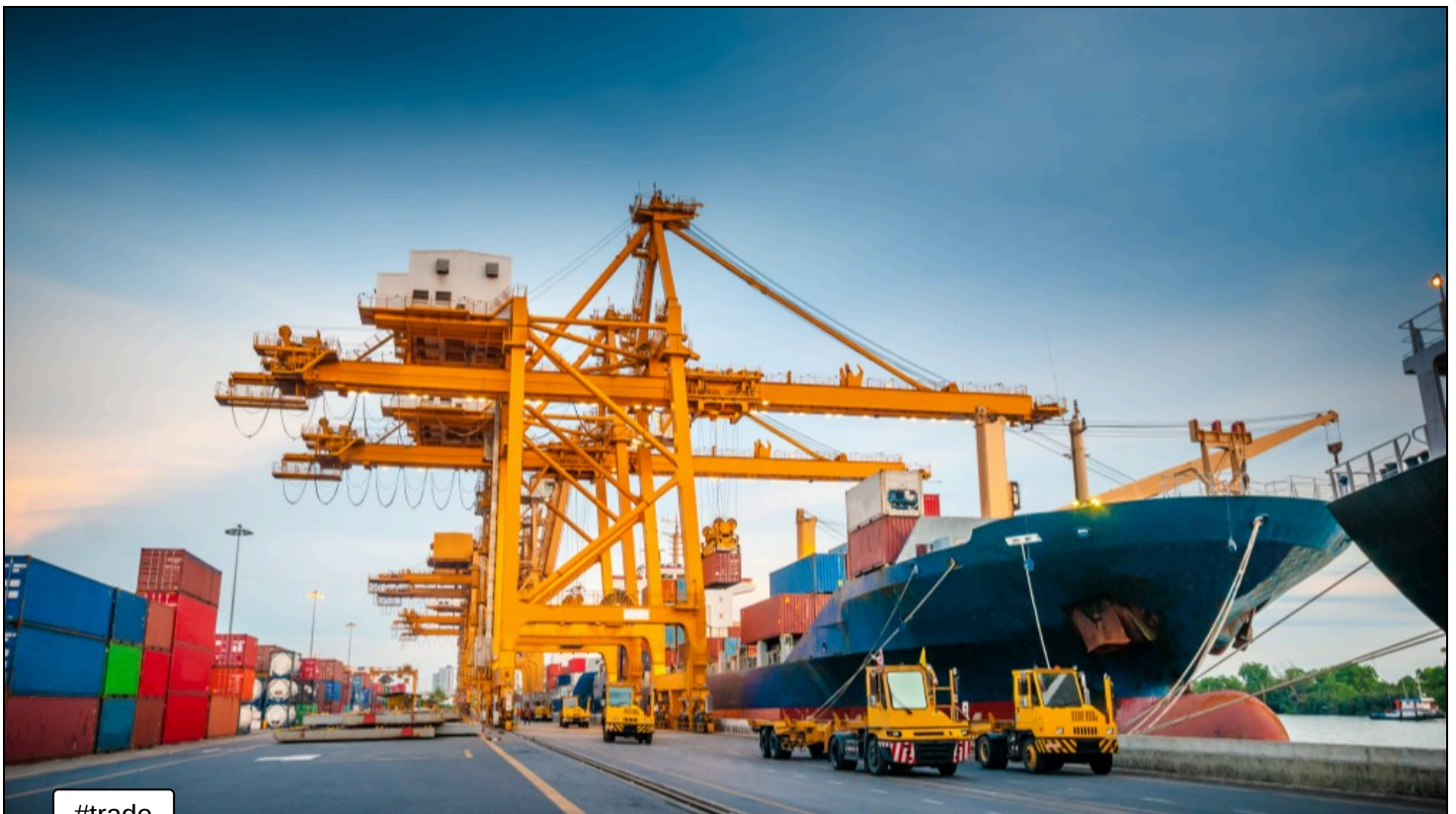


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Australia's Trade in Goods Account, January

March 05 2026 • ⌚ 5 mins

By Mantas Vanagas

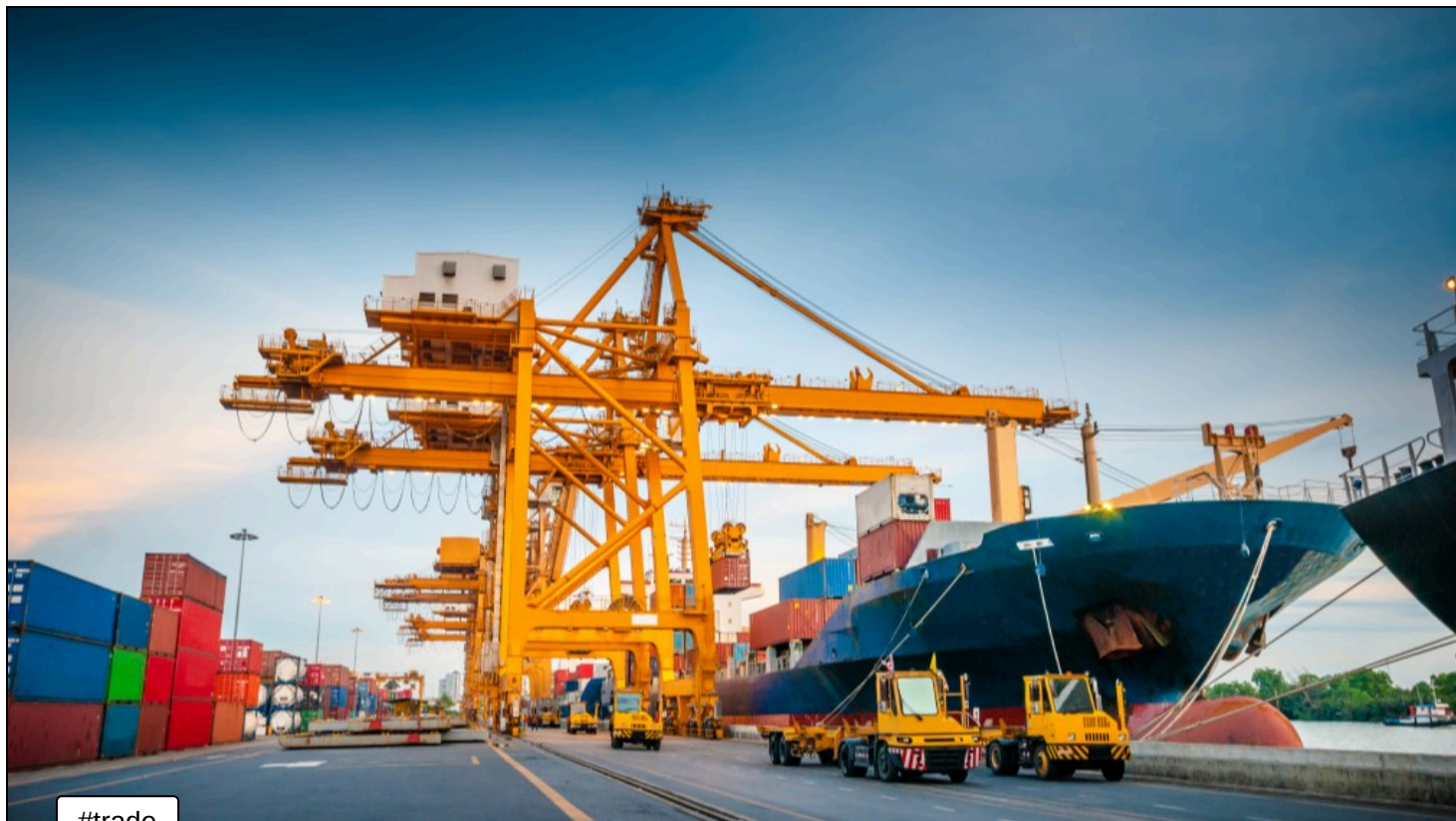


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Australia's Trade in Goods Account, December

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By [Mantas Vanagas](#)

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16 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.

US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.

Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.

FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.

Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.6%
AUD/USD	0.7169	0.6%
AUD/JPY	114.00	0.8%
AUD/GBP	0.5286	0.7%
AUD/NZD	1.2133	0.4%
AUD/EUR	0.6076	0.6%
AUD/CNH	4.8878	0.7%
AUD/SGD	0.9114	0.6%
AUD/HKD	5.6165	0.6%
AUD/CAD	0.9849	0.4%
EUR/USD	1.1799	0.0%
USD/JPY	159.01	0.1%
USD Index	98.09	0.0%

Equities	Close	Change
S&P/ASX 200	8,979	0.1%
S&P 500	7,023	0.8%
Japan Nikkei	58,134	0.4%
Hang Seng	25,947	0.3%
Euro Stoxx 50	5,940	-0.7%
UK FTSE100	10,560	-0.5%
VIX Index	18.17	-1.0%

Commodities	Current	Change
CRB Index	372.00	0.2%
Gold	4791.04	-1.0%
Copper	13248	-0.3%
Oil (WTI futures)	91.29	0.0%
Coal (coking)	226.00	0.8%
Coal (thermal)	125.45	-2.5%
Iron Ore	105.20	0.7%
ACCU	36.13	-4.3%

Data as at 7:15am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.15	0.01
90 day BBSY	4.37	-0.01
180 day BBSY	4.77	-0.03
1 year swap	4.59	0.01
2 year swap	4.63	0.02
3 year swap	4.62	0.05
4 year swap	4.62	0.03
5 year swap	4.64	0.04
6 year swap	4.68	0.04
7 year swap	4.72	0.05
8 year swap	4.77	0.04
9 year swap	4.81	0.04
10 year swap	5.06	0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.02
10 year bond	4.93	-0.02
United States		
3-month T Bill	3.61	0.01
2 year bond	3.76	0.02
10 year bond	4.28	0.04
Other (10 year yields)		
Germany	3.04	0.02
Japan	2.42	0.00
UK	4.81	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.99	0.03
3 yr bond	4.65	0.03
3 mth bill rate	4.32	0.00
SPI 200	9,018	0.0%



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Financial Markets

Markets adopted a cautiously constructive tone overnight on reports that the US and Iran are seeking to arrange further peace talks in the coming days. News that both sides are reportedly weighing a two week truce extension to resolve key sticking points - including the reopening of the Strait of Hormuz and the future of Iran's nuclear programme - was taken by investors as a tentative signal of easing tensions. This tentative risk on shift came despite the ongoing US naval blockade of the Strait of Hormuz, with reports that the first west bound oil tanker bound for Iraq has transited the Strait without incident.

Elsewhere, President Trump threatened to remove Federal Reserve Chair Jerome Powell if he does not step down at the end of his term in May. Powell stated that, should his successor not be confirmed in time, he would continue to serve as chair pro tempore.

Domestically, concerns around energy supply increased after a fire reportedly broke out at Viva Energy's Geelong refinery late last night. Fire crews were called to the site around 11pm, with the blaze said to have originated in the "mogas" section of the plant, which produces motor gasoline products.

- Equities were mixed across regions. In the US, optimism around potential progress in Middle East diplomacy, ongoing enthusiasm for artificial intelligence and solid corporate earnings supported further gains, with both the S&P 500 and NASDAQ 100 closing at record highs. The S&P 500 rose 0.8% to 7,023, while the NASDAQ gained 1.6% to 24,016. In contrast, the Dow Jones underperformed, slipping -0.2%.
- European equities moved lower amid disappointing earnings from several regional heavyweights, with the Euro Stoxx 50 down -0.7% and the FTSE 100 falling -0.5%. Asian equities were stronger on hopes of easing US Iran tensions, led by Korea's KOSPI, which gained 2.1%. The Nikkei 225 and Hang Seng posted more modest gains of 0.4% and 0.3%, respectively. Locally, the ASX 200 faded from a strong open to finish just 0.1% higher.
- Bond markets retreated as oil prices stabilised and risk sentiment improved. Moves were more pronounced at the long end of the curve, with the US 2 year yield rising 2bps and the 10 year yield up 4bps. Futures pricing for the terminal Fed funds rate was little changed, implying a 36% probability of an additional rate cut by year end.
- Domestic bonds tracked the previous day's move higher in Treasuries, with both 3 year and 10 year yields down 2bps on the session. Swaps pricing continues to imply around two rate hikes by the end of the year.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Employment Mar	20k	48.9k
11:30	AU Unemployment Rate Mar	4.3%	4.3%
12:00	CN GDP Q1	4.8%	4.5%
12:00	CN Retail Sales YoY YTD Mar	2.5%	2.8%
12:00	CN Industrial Production YoY YTD Mar	5.8%	6.3%
12:00	CN Fixed Asset Investment YoY YTD Mar	1.9%	1.8%
16:00	GB Trade Balance Feb	-£1300b	£3922b
22:30	US Initial Jobless Claims 11/04/2026	212.5k	219k
22:30	US Philly Fed Apr	10pts	18.1pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- FX markets lacked a clear directional impulse, with the DXY little changed on the day. The Australian dollar outperformed, rising 0.6% to 0.7169, while the euro was broadly steady.
- Commodity markets were mixed. Oil prices remained in a holding pattern as markets awaited further clarity on prospective peace talks, with Brent up 0.1% on the day and WTI little changed. Ongoing uncertainty in the Middle East saw US oil exports surge to a record high last week of nearly 13mb/d, as buyers sought alternative supply. Gold fell -1.0% on news of a possible ceasefire extension, copper slipped -0.3%, while iron ore gained 0.7%.

International Data

The **April Federal Reserve Beige Book** reports US economic activity grew at "a slight to modest pace in eight of the twelve" districts since the last update. Two districts reported no change and two districts "slight to modest declines". The Middle East conflict is a source of material uncertainty, and many respondents are taking a wait-and-see approach. Overall, "employment was steady to up slightly during this reporting period", with new hiring mostly for replacement. Price growth was characterised as "moderate" overall, though input costs generally "outpaced selling price growth", compressing margins.

The **FOMC's Bowman, Musalem and Hammack** were cautious on inflation and sanguine regarding the labour market overnight.

The **US' Empire manufacturing survey** jumped from -0.2 to 11.0 in April.

US import prices rose 0.8% in March after a downwardly revised 0.9% gain in February. Ex petroleum, prices were up just 0.1% in the month.

The **US NAHB housing market index** fell from 38 to 34 in April, 33% below the average of the past 5 years.

Local Data

There was no top-tier economic data released yesterday.



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1 April 2026

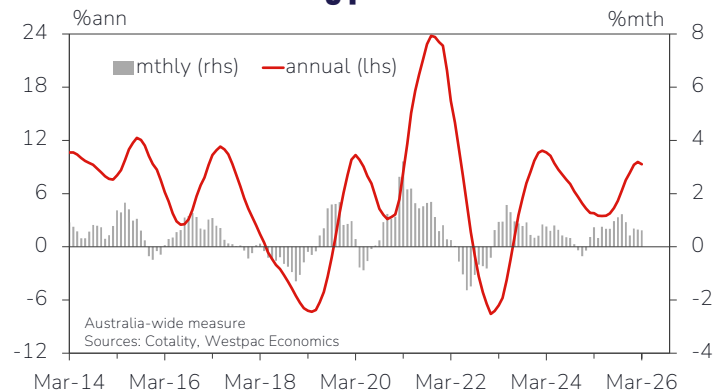
AUSTRALIAN DWELLING PRICES BULLETIN

Capital cities diverge further

Key points

- The Cotality home value index rose 0.6% in March, following gains of 0.5%*mth* in February, 0.6%*mth* in January and 0.4%*mth* in December. Annual growth was broadly steady at 9.3%*yr*.
- The March update confirms that the changed interest rate outlook has translated into moderation in price growth and a sharper pull-back in turnover.
- The slowdown remains concentrated in Sydney and Melbourne, where prices declined modestly in March and turnover has softened materially. In contrast, price growth continues to track a strong pace across the mid-sized capitals of Brisbane, Adelaide and Perth.
- With further interest rate increases expected over coming months, additional headwinds are likely, and the scope for renewed acceleration in price growth appears increasingly limited.

Australian dwelling prices



**March Cotality
home value
index: +0.6%*mth*;
+9.3%*yr***

Price growth holds, sales pull further back



Luka Belobrajdic
Economist

The Cotality home value index, covering the eight major capital cities, rose 0.6% in March, following gains of 0.5%*mth* in February, 0.6%*mth* in January and 0.4%*mth* in December. This follows a period of stronger growth of 0.9–1.2%*mth* across August to November last year. Annual growth was broadly steady in March, recording 9.3%*yr*.

The latest data continue to highlight a divergence across markets, with the changed policy rate outlook weighing most heavily on Sydney and Melbourne, where price growth has softened further. In contrast, price momentum remains firm across the other capital city's.

Note that, unless specified, figures in titles, tables and the commentary below are in non-seasonally adjusted terms, consistent with the 'headline' figures reported by Cotality. Figures shown in charts are in seasonally adjusted terms.

With March well clear of the typical seasonal softness seen over December and January, the latest read provides a clearer signal on underlying momentum. Prices rose 0.6%*mth* in non-seasonally adjusted terms, while the seasonally adjusted measure recorded a slightly softer 0.5%*mth* increase. The 3-month annualised pace held around 8.0% on a seasonally adjusted basis, down from a peak of around 14% in November.

Turnover fell sharply in March, with preliminary estimates pointing to a quarterly decline of around 9.1%, likely reflecting the impact of recent policy rate hikes on buyer sentiment. The decline was concentrated in Greater Sydney and Melbourne, although all capital cities recorded falls on a three-month basis. Annual growth in turnover has now slipped to -0.7%*yr*. Despite this weakness, sales continue to outpace new listings by a wide margin, indicating that supply conditions remain tight.

Auction clearance rates remained below long-run averages in Sydney and more materially below average in Melbourne. While both markets saw clearance rates touch recent lows during March, a modest recovery was evident toward the end of the month. Overall, the results remain consistent with a pronounced slowing in these markets. Note that clearance rates are only meaningful indicators for Sydney and Melbourne.

By dwelling type, the slowdown since late last year remains more pronounced for houses than units. In March, house prices rose 0.6%*mth*, compared with a 0.7%*mth* increase for units.

Cotality home value index: Mar 2026

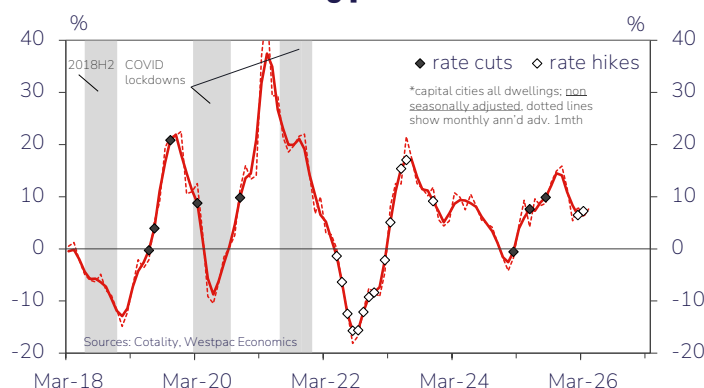
	%mth				%ann			
	Dec	Jan	Feb	Mar	Dec	Jan	Feb	Mar
Australia*	0.4	0.6	0.5	0.6	8.4	9.3	9.4	9.3
seas. adjusted	0.8	0.9	0.5	0.5	8.4	9.2	9.4	9.4
– houses	0.5	0.7	0.4	0.6	9.4	10.4	10.4	10.2
– units	0.3	0.3	0.7	0.7	5.3	5.8	6.4	6.5
Major capital cities								
Sydney	-0.3	0.1	-0.2	-0.1	6.1	6.6	5.8	4.8
Melbourne	-0.3	-0.2	-0.2	-0.2	5.1	5.1	4.5	3.4
Brisbane	1.6	1.6	1.7	1.8	14.7	16.0	17.6	19.0
Adelaide	1.7	1.2	1.2	1.2	8.3	9.4	10.7	11.4
Perth	2.0	2.3	2.3	2.5	16.5	19.3	22.0	24.3
Turnover^	3.2	-2.2	-6.0	-9.1	11.3	7.0	4.4	-0.7

* combined capital cities

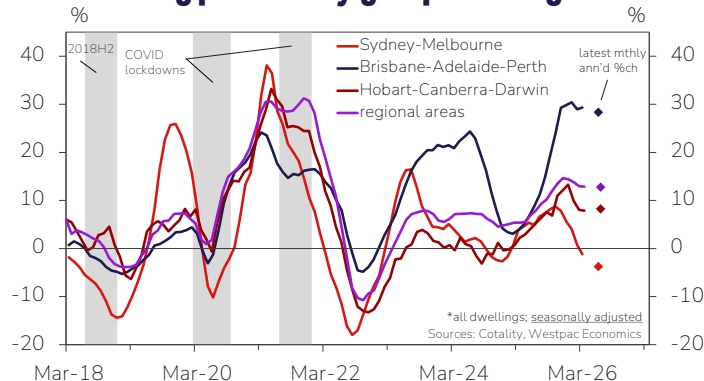
Sources: Cotality, Westpac Economics.

^ rolling 3mth total, %3mth and %ann ch, seasonally adjusted by Westpac.

Australian dwelling prices: 3mth ann'd



Dwelling prices: city groups and regional areas



The March price results by capital city were as follows:

- **Sydney:** Prices declined a further 0.1%^{mth} in non-seasonally adjusted terms. The fall was driven by a 0.3% decline in house prices, while unit prices rose 0.3%. Annual growth slowed to 4.8%^{yr}, down from a recent peak of 6.6% in January.
- **Melbourne:** Prices recorded the worst result among the capitals, falling 0.2%^{mth}, led by a 0.4% fall in house prices. Unit price growth of 0.3%^{mth} was insufficient to offset this weakness. Annual growth remained the slowest of the major capitals at 3.4%^{yr}.
- **Brisbane:** Price growth accelerated modestly, reaching 1.8%^{mth}. Both houses and units contributed, increasing 1.7% and 2.0% respectively. Annual growth lifted to 19.0%^{yr}, the strongest outcome since July 2022.
- **Adelaide:** Prices rose 1.2%^{mth}, matching the pace of the previous two months. Annual growth edged higher to 11.4%^{yr}.
- **Perth:** Prices continued to rise strongly, increasing 2.5%^{mth} and 24.0%^{yr}, the strongest performance of any capital city. Both houses and units recorded robust gains of 2.5%^{mth} and 2.9%^{mth} respectively.
- Outcomes across the smaller capitals were positive, albeit mixed. Price growth accelerated sharply in Darwin

(+1.6%^{mth}, +19.7%^{yr}), they remained firm in Hobart (+0.8%^{mth}, +7.8%^{yr}), and Canberra (+0.4%^{mth}, +6.1%^{yr}).

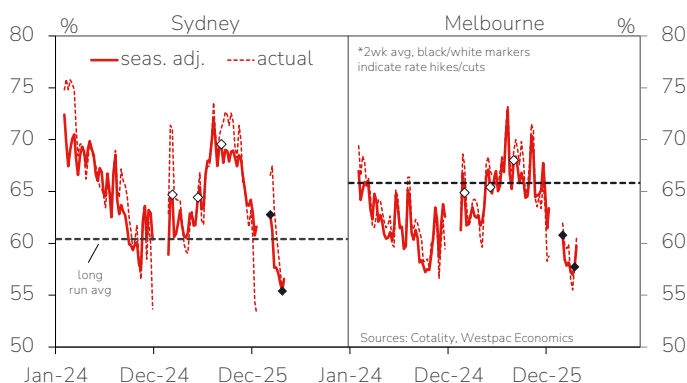
- **Regional markets** continue to outperform their respective capital cities in NSW and Victoria, though they still lag the pace of growth seen in the mid-sized capitals. Annual growth ranges from 8.0%^{yr} in regional Victoria, to 8.9%^{yr} in regional NSW, and 14.7%^{yr} in regional Queensland (which includes the Gold and Sunshine Coasts).

Overall, the March results confirm that national price growth remained elevated in March, driven by strong gains in Brisbane, Adelaide and Perth, while Sydney and Melbourne are providing a modest drag.

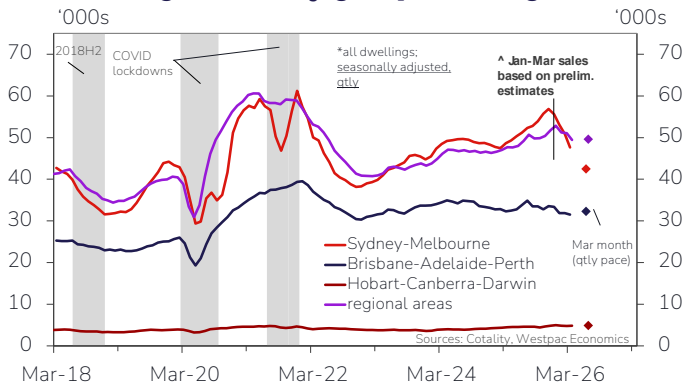
While turnover has fallen sharply following the recent dual RBA cash rate hikes, it remains early in the adjustment process. It often takes several months for the full effects of interest rate changes to flow through to housing market conditions.

Looking ahead, with further rate increases expected across May, June and August, and the economy facing a significant shock from an increase in global energy prices, additional headwinds in the Australian housing market with a further deceleration in price growth are looking increasingly likely.

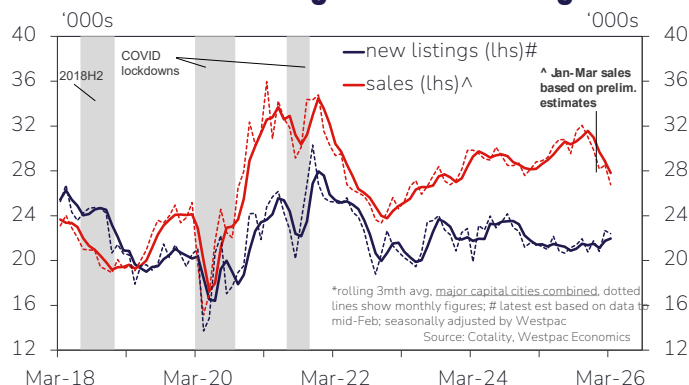
Auction clearance rates



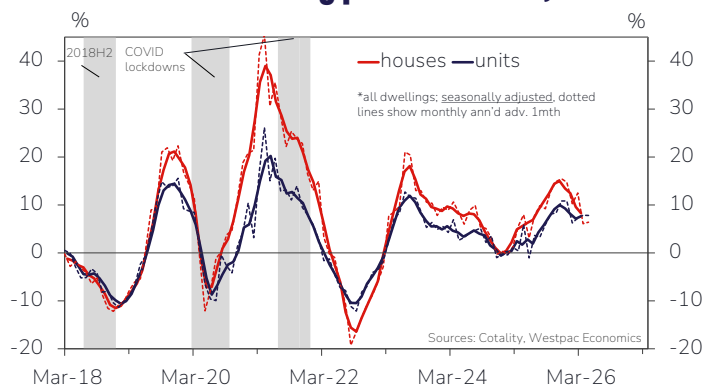
Dwelling sales: city groups and regional areas



Australian dwellings: sales and listings

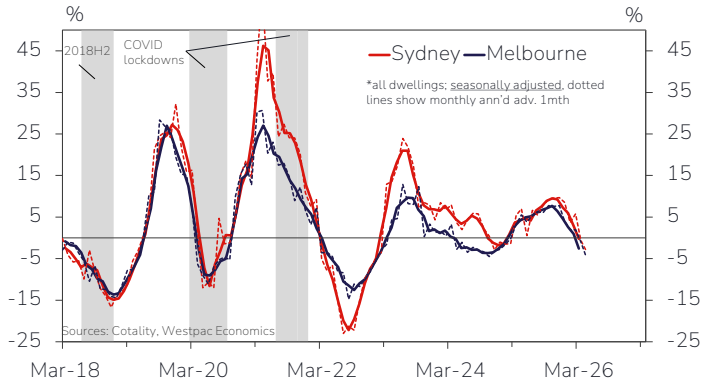


Australian dwelling prices: houses, units

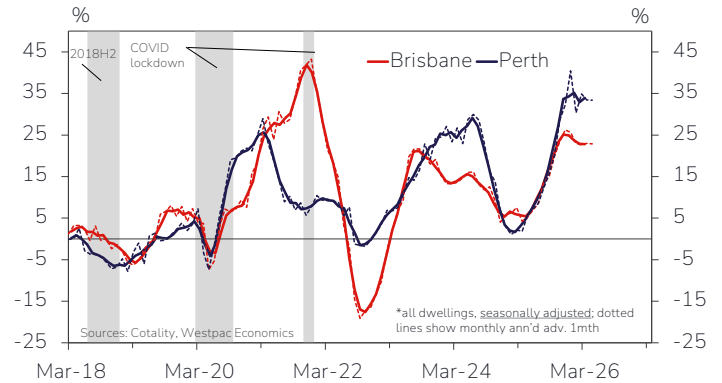


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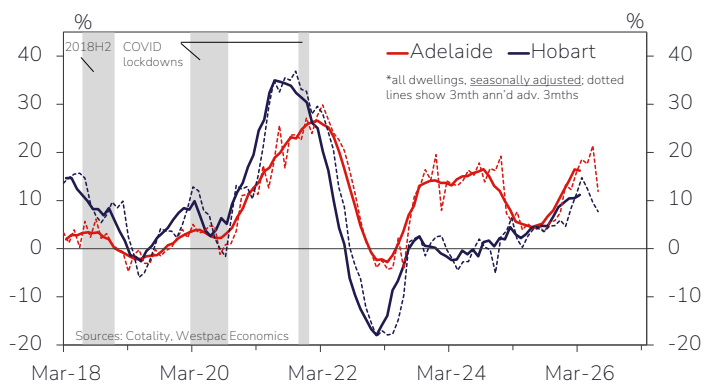
Sydney, Melbourne dwelling prices: 3mth ann'd



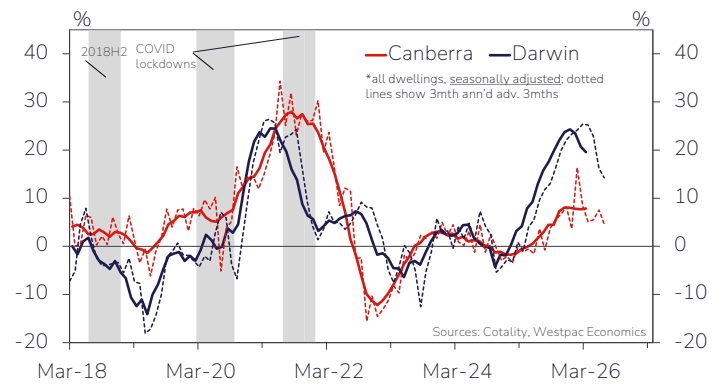
Brisbane, Perth dwelling prices: 3mth ann'd



Adelaide, Hobart dwelling prices: 6mth ann'd



Canberra, Darwin dwelling prices: 6mth ann'd



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MORNING REPORT

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Key themes

Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.

US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.

Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.

FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.

Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

Data snapshot

FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	66.1	0.6%	30 day BBSY	4.15	0.01
AUD/USD	0.7169	0.6%	90 day BBSY	4.37	-0.01
AUD/JPY	114.00	0.8%	180 day BBSY	4.77	-0.03
AUD/GBP	0.5286	0.7%	1 year swap	4.59	0.01
AUD/NZD	1.2133	0.4%	2 year swap	4.63	0.02
AUD/EUR	0.6076	0.6%	3 year swap	4.62	0.05
AUD/CNH	4.8878	0.7%	4 year swap	4.62	0.03
AUD/SGD	0.9114	0.6%	5 year swap	4.64	0.04
AUD/HKD	5.6165	0.6%	6 year swap	4.68	0.04
AUD/CAD	0.9849	0.4%	7 year swap	4.72	0.05
EUR/USD	1.1799	0.0%	8 year swap	4.77	0.04
USD/JPY	159.01	0.1%	9 year swap	4.81	0.04
USD Index	98.09	0.0%	10 year swap	5.06	0.05

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,979	0.1%	Australia		
S&P 500	7,023	0.8%	3 year bond	4.60	-0.02
Japan Nikkei	58,134	0.4%	10 year bond	4.93	-0.02
Hang Seng	25,947	0.3%	United States		
Euro Stoxx 50	5,940	-0.7%	3-month T Bill	3.61	0.01
UK FTSE100	10,560	-0.5%	2 year bond	3.76	0.02
VIX Index	18.17	-1.0%	10 year bond	4.28	0.04

Commodities	Current	Change	Other (10 year yields)		
CRB Index	372.00	0.2%	Germany	3.04	0.02
Gold	4791.04	-1.0%	Japan	2.42	0.00
Copper	13248	-0.3%	UK	4.81	0.03

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	91.29	0.0%	10 yr bond	4.99	0.03
Coal (coking)	226.00	0.8%	3 yr bond	4.65	0.03
Coal (thermal)	125.45	-2.5%	3 mth bill rate	4.32	0.00
Iron Ore	105.20	0.7%	SPI 200	9,018	0.0%
ACCU	36.13	-4.3%			

Data as at 7:15am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

Markets adopted a cautiously constructive tone overnight on reports that the US and Iran are seeking to arrange further peace talks in the coming days. News that both sides are reportedly weighing a two week truce extension to resolve key sticking points - including the reopening of the Strait of Hormuz and the future of Iran's nuclear programme - was taken by investors as a tentative signal of easing tensions. This tentative risk on shift came despite the ongoing US naval blockade of the Strait of Hormuz, with reports that the first west bound oil tanker bound for Iraq has transited the Strait without incident.

Elsewhere, President Trump threatened to remove Federal Reserve Chair Jerome Powell if he does not step down at the end of his term in May. Powell stated that, should his successor not be confirmed in time, he would continue to serve as chair pro tempore.

Domestically, concerns around energy supply increased after a fire reportedly broke out at Viva Energy's Geelong refinery late last night. Fire crews were called to the site around 11pm, with the blaze said to have originated in the "mogas" section of the plant, which produces motor gasoline products.

- Equities were mixed across regions. In the US, optimism around potential progress in Middle East diplomacy, ongoing enthusiasm for artificial intelligence and solid corporate earnings supported further gains, with both the S&P 500 and NASDAQ 100 closing at record highs. The S&P 500 rose 0.8% to 7,023, while the NASDAQ gained 1.6% to 24,016. In contrast, the Dow Jones underperformed, slipping -0.2%.
- European equities moved lower amid disappointing earnings from several regional heavyweights, with the Euro Stoxx 50 down -0.7% and the FTSE 100 falling -0.5%. Asian equities were stronger on hopes of easing US Iran tensions, led by Korea's KOSPI, which gained 2.1%. The Nikkei 225 and Hang Seng posted more modest gains of 0.4% and 0.3%, respectively. Locally, the ASX 200 faded from a strong open to finish just 0.1% higher.
- Bond markets retreated as oil prices stabilised and risk sentiment improved. Moves were more pronounced at the long end of the curve, with the US 2 year yield rising 2bps and the 10 year yield up 4bps. Futures pricing for the terminal Fed funds rate was little changed, implying a 36% probability of an additional rate cut by year end.
- Domestic bonds tracked the previous day's move higher in Treasuries, with both 3 year and 10 year yields down 2bps on the session. Swaps pricing continues to imply around two rate hikes by the end of the year.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Employment Mar	20k	48.9k
11:30	AU Unemployment Rate Mar	4.3%	4.3%
12:00	CN GDP Q1	4.8%	4.5%
12:00	CN Retail Sales YoY YTD Mar	2.5%	2.8%
12:00	CN Industrial Production YoY YTD Mar	5.8%	6.3%
12:00	CN Fixed Asset Investment YoY YTD Mar	1.9%	1.8%
16:00	GB Trade Balance Feb	-£1300b	£3922b
22:30	US Initial Jobless Claims 11/04/2026	212.5k	219k
22:30	US Philly Fed Apr	10pts	18.1pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- FX markets lacked a clear directional impulse, with the DXY little changed on the day. The Australian dollar outperformed, rising 0.6% to 0.7169, while the euro was broadly steady.
- Commodity markets were mixed. Oil prices remained in a holding pattern as markets awaited further clarity on prospective peace talks, with Brent up 0.1% on the day and WTI little changed. Ongoing uncertainty in the Middle East saw US oil exports surge to a record high last week of nearly 13mb/d, as buyers sought alternative supply. Gold fell -1.0% on news of a possible ceasefire extension, copper slipped -0.3%, while iron ore gained 0.7%.

International Data

The **April Federal Reserve Beige Book** reports US economic activity grew at "a slight to modest pace in eight of the twelve" districts since the last update. Two districts reported no change and two districts "slight to modest declines". The Middle East conflict is a source of material uncertainty, and many respondents are taking a wait-and-see approach. Overall, "employment was steady to up slightly during this reporting period", with new hiring mostly for replacement. Price growth was characterised as "moderate" overall, though input costs generally "outpaced selling price growth", compressing margins.

The **FOMC's Bowman, Musalem and Hammack** were cautious on inflation and sanguine regarding the labour market overnight.

The **US' Empire manufacturing survey** jumped from -0.2 to 11.0 in April.

US import prices rose 0.8% in March after a downwardly revised 0.9% gain in February. Ex petroleum, prices were up just 0.1% in the month.

The **US NAHB housing market index** fell from 38 to 34 in April, 33% below the average of the past 5 years.

Local Data

There was no top-tier economic data released yesterday.



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90 day BBSY	4.37	-0.01
180 day BBSY	4.77	-0.03
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2 year swap	4.63	0.02
3 year swap	4.62	0.05
4 year swap	4.62	0.03
5 year swap	4.64	0.04
6 year swap	4.68	0.04
7 year swap	4.72	0.05
8 year swap	4.77	0.04
9 year swap	4.81	0.04
10 year swap	5.06	0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.02
10 year bond	4.93	-0.02
United States		
3-month T Bill	3.61	0.01
2 year bond	3.76	0.02
10 year bond	4.28	0.04
Other (10 year yields)		
Germany	3.04	0.02
Japan	2.42	0.00
UK	4.81	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.99	0.03
3 yr bond	4.65	0.03
3 mth bill rate	4.32	0.00
SPI 200	9,018	0.0%



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Financial Markets

Markets adopted a cautiously constructive tone overnight on reports that the US and Iran are seeking to arrange further peace talks in the coming days. News that both sides are reportedly weighing a two week truce extension to resolve key sticking points - including the reopening of the Strait of Hormuz and the future of Iran's nuclear programme - was taken by investors as a tentative signal of easing tensions. This tentative risk on shift came despite the ongoing US naval blockade of the Strait of Hormuz, with reports that the first west bound oil tanker bound for Iraq has transited the Strait without incident.

Elsewhere, President Trump threatened to remove Federal Reserve Chair Jerome Powell if he does not step down at the end of his term in May. Powell stated that, should his successor not be confirmed in time, he would continue to serve as chair pro tempore.

Domestically, concerns around energy supply increased after a fire reportedly broke out at Viva Energy's Geelong refinery late last night. Fire crews were called to the site around 11pm, with the blaze said to have originated in the "mogas" section of the plant, which produces motor gasoline products.

- Equities were mixed across regions. In the US, optimism around potential progress in Middle East diplomacy, ongoing enthusiasm for artificial intelligence and solid corporate earnings supported further gains, with both the S&P 500 and NASDAQ 100 closing at record highs. The S&P 500 rose 0.8% to 7,023, while the NASDAQ gained 1.6% to 24,016. In contrast, the Dow Jones underperformed, slipping -0.2%.
- European equities moved lower amid disappointing earnings from several regional heavyweights, with the Euro Stoxx 50 down -0.7% and the FTSE 100 falling -0.5%. Asian equities were stronger on hopes of easing US Iran tensions, led by Korea's KOSPI, which gained 2.1%. The Nikkei 225 and Hang Seng posted more modest gains of 0.4% and 0.3%, respectively. Locally, the ASX 200 faded from a strong open to finish just 0.1% higher.
- Bond markets retreated as oil prices stabilised and risk sentiment improved. Moves were more pronounced at the long end of the curve, with the US 2 year yield rising 2bps and the 10 year yield up 4bps. Futures pricing for the terminal Fed funds rate was little changed, implying a 36% probability of an additional rate cut by year end.
- Domestic bonds tracked the previous day's move higher in Treasuries, with both 3 year and 10 year yields down 2bps on the session. Swaps pricing continues to imply around two rate hikes by the end of the year.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Employment Mar	20k	48.9k
11:30	AU Unemployment Rate Mar	4.3%	4.3%
12:00	CN GDP Q1	4.8%	4.5%
12:00	CN Retail Sales YoY YTD Mar	2.5%	2.8%
12:00	CN Industrial Production YoY YTD Mar	5.8%	6.3%
12:00	CN Fixed Asset Investment YoY YTD Mar	1.9%	1.8%
16:00	GB Trade Balance Feb	-£1300b	£3922b
22:30	US Initial Jobless Claims 11/04/2026	212.5k	219k
22:30	US Philly Fed Apr	10pts	18.1pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- FX markets lacked a clear directional impulse, with the DXY little changed on the day. The Australian dollar outperformed, rising 0.6% to 0.7169, while the euro was broadly steady.
- Commodity markets were mixed. Oil prices remained in a holding pattern as markets awaited further clarity on prospective peace talks, with Brent up 0.1% on the day and WTI little changed. Ongoing uncertainty in the Middle East saw US oil exports surge to a record high last week of nearly 13mb/d, as buyers sought alternative supply. Gold fell -1.0% on news of a possible ceasefire extension, copper slipped -0.3%, while iron ore gained 0.7%.

International Data

The **April Federal Reserve Beige Book** reports US economic activity grew at "a slight to modest pace in eight of the twelve" districts since the last update. Two districts reported no change and two districts "slight to modest declines". The Middle East conflict is a source of material uncertainty, and many respondents are taking a wait-and-see approach. Overall, "employment was steady to up slightly during this reporting period", with new hiring mostly for replacement. Price growth was characterised as "moderate" overall, though input costs generally "outpaced selling price growth", compressing margins.

The **FOMC's Bowman, Musalem and Hammack** were cautious on inflation and sanguine regarding the labour market overnight.

The **US' Empire manufacturing survey** jumped from -0.2 to 11.0 in April.

US import prices rose 0.8% in March after a downwardly revised 0.9% gain in February. Ex petroleum, prices were up just 0.1% in the month.

The **US NAHB housing market index** fell from 38 to 34 in April, 33% below the average of the past 5 years.

Local Data

There was no top-tier economic data released yesterday.



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Cliff Notes: ceasefire optimism to be tested

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By [Elliot Clarke](#), [Ryan Wells](#) & [Mantas Vanagas](#)

10:47 April 10 2026

 Share

Key insights from the week that was.



Ahead of the worst of the current conflict, the [ABS' household spending indicator](#) gained 0.3% in February, in line with January's result and the trend pace of the past two years. Services continued to drive growth overall, aided in particular by holiday-related spending. Goods spending only managed a 0.1% gain, however, remaining weak.

Our Westpac-DataX Card Tracker suggests spending growth is likely to moderate in coming months as higher energy prices and weaker sentiment are felt, though a lasting end to hostilities could ease concern and see households look through some of the cost shock already in train. Geopolitical considerations are challenging for market participants to digest, let alone households and small business. For these individuals, in the fulness of time, pricing responses and time delays up and down the supply chain could prove as, or more, significant than the energy market dynamics currently being witnessed. Risks for the Australian consumer are therefore likely to linger.

In New Zealand, the RBNZ maintained the stance of policy as expected. However, our New Zealand team took the commentary to be hawkish, with a particular focus on second-round inflation pressures. The RBNZ's short-term inflation forecast is now 4.2%yr at June 2026, in line with Westpac NZ Economics' 4.1%yr projection. As a result, Westpac's expected timing for the first hike for the coming cycle has been brought forward from December to September 2026, with the risk of a further acceleration if evidence of second-round inflation impacts accumulates.

Further afield, the data flow was concentrated in the US and mixed in tone. Over the Easter long weekend, nonfarm payrolls rebounded 178k in March, bringing the three-month average back up to 68k compared to an average monthly outcome of -8k in the second half of 2025 and 10k over the full year. The unemployment rate was also consistent with labour supply and demand being in balance in March, edging back down to 4.3%. Note though, this outcome was due to a further decline in the participation rate (now down 0.7ppts since April 2025) rather than an increase in household survey employment.

The weak outcomes for employment through late-2025 look to increasingly be affecting household demand – indeed, the downward revision to Q4 GDP to just 0.5% annualised was in part due to sub-par consumption growth (1.9% annualised).

Since the turn of the year, momentum looks to have slowed further, with real personal consumption expenditure up just 0.1% in February after a flat January. With business investment soft and susceptible to downside risks (core goods order growth in Q1-to-date is less than a third of the pace registered in Q4), US Q1 GDP growth looks likely to maintain a pace well below trend, closer to Q4's third estimate than the 1.3% annualised pace currently projected by the Atlanta Fed's GDPNow nowcast. This is before the sentiment and cost of living shock emanating from the Middle East is felt.

The above outcomes are unlikely to materially alter FOMC member's baseline view and overall risk assessment. While the latest meeting minutes indicate "a vast majority of participants" see "risks to the employment side of the mandate... [as] skewed to the downside", the labour market is considered to be in good health overall. Active risk assessment is therefore likely to focus more on price uncertainty, both with respect to the initial jump in energy prices and second-round effects which, over time, could build greater persistence into the core inflation pulse. This is not to say that the FOMC will vote on hiking interest rates anytime soon, in contrast to the RBA and RBNZ, but it likely means debate over a need to cut further will be deferred for the foreseeable future.

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Cliff Notes: mixed messages

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By Elliot Clarke

Head of International Economics, Westpac

09:28 April 02 2026

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Key insights from the week that was.



At the turn of the week, Chief Economist Luci Ellis and Westpac Economics highlighted how severe the inflationary impact is expected to be for Australia. Recognising the extreme uncertainty surrounding the conflict and the passage of time, we extended our baseline supply assumption from a one to two-month complete shutdown of the Strait of Hormuz followed by a protracted recovery in transit from 20%

of pre-conflict supply in May to normal supply at year end. Also, a consequence of elevated refining margins globally, annual Australian consumer inflation is now expected to peak around 6%yr in mid-Q2. While headline inflation will fall back to target over the following year, trimmed mean inflation is forecast to remain above 3.0%yr until end-2027 and only settle in the middle of the target range in late-2028, having peaked at 4.0%yr at end-2026.

With Australia already experiencing tight capacity and elevated domestic inflation pressures, attested to again by the RBA in the March Monetary Policy Board meeting minutes, the Middle East conflict warrants pre-emptive action by the RBA through three 25bp cash rate hikes in May, June and August 2026 to 4.85%. Policy is then seen on hold until 2028, when success with inflation should allow the cash rate to be reduced by 100bps steadily through the year. The consequence for GDP is likely to be a deceleration to just 1.0%yr in 2026, followed by a sub-par 1.6%yr gain in 2027, then an above-trend 2.8%yr recovery in 2028. The unemployment rate is forecast to rise to 5.0% at end-2026, and to take until end-2028 to return to its full employment level, circa 4.5%.

To the above forecasts, time matters a great deal. If, as has been mooted in recent days (and may be confirmed in a Presidential address later today), the Trump administration calls a quick end to the US' strikes against Iran, Australian GDP and the labour market may receive a reprieve. That said, heightened inflation will remain an acute risk while transit and supply-chain disruptions persist, and businesses may also take the opportunity to re-set margins. The balance between inflation and activity risks will therefore remain in focus for the RBA over the coming year. Ahead of the Federal Budget, the Government's financial position is also in flux, although current conditions look more likely to prove a positive than negative at this stage.

Local data out this week meanwhile focused on housing. Cotality home values increased a solid 0.6% in March. Although affordability saw a divergence in conditions city by city, with prices down a touch in Sydney and Melbourne as strong growth continued in Brisbane, Adelaide and Perth. Where conditions are weakest, reduced turnover is holding prices up. Dwelling approvals remained volatile in February, a 29.7% monthly gain lifting the annual growth rate to 14%yr. Australia clearly has need for significant, sustained additions to housing supply across our major cities, but affordability and the cost of construction are material risks which are likely to persist into the medium term.

Offshore, the list of data worthy of mention was short this week. University of Michigan consumer sentiment was, unsurprisingly, weak in March, 19% below the 5-year average and 37% under the full-history benchmark. The Conference Board's measure showed greater resilience but was still weak versus history. That said, ADP private payrolls continued to grow in March, and the retail sales control group recorded a solid gain of 0.5%moth. The ISM manufacturing index for March was also favourable, although the survey only caught the beginning of disruptions related to the Middle East conflict and the detail was also mixed, with production up, new orders down and employment contracting. China's official PMIs emphasised the nation's ability to weather uncertainty, with both the manufacturing and services indexes higher in March.

The key international data release for the week is still to come on Friday night. The US March employment report will be closely scrutinised after February's weak detail reset participants current understanding and expectations for the labour market. US policy makers have been more focused on

inflation risks in recent weeks, but another poor employment result could see them reconsider this view. In contrast, a rebound in job creation will likely see market pricing for near-term policy decisions shift materially in favour of a hike, or two, as has been the case elsewhere across the developed world.

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17 APRIL 2026

WESTPAC-DATAX CARD TRACKER

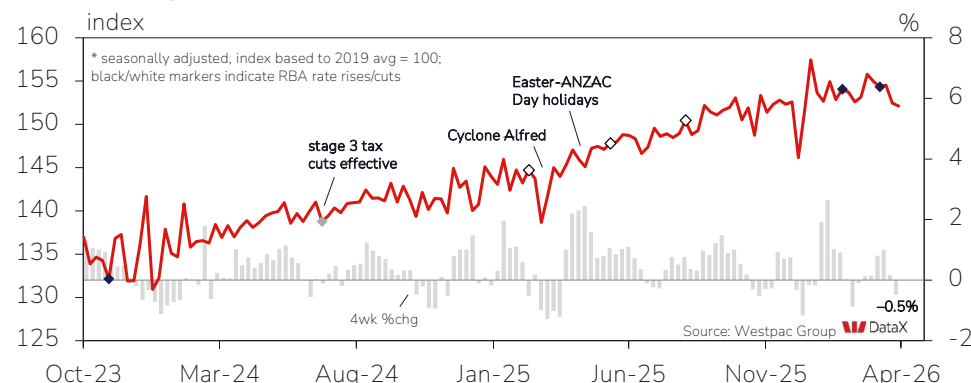
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Card activity points to continued slowing in non-fuel spend

- The **Westpac-DataX Card Tracker Index*** declined 2.2pts over the three weeks to April 11, reflecting a mix of factors including the fuel excise tax cut, some easing in the pull-forward of fuel purchases and a continued moderation in non-fuel segments.
- Quarterly momentum remains subdued, card activity up 1.2% over the March quarter, tracking at a similar 1.1% pace as at mid-April. That is a material slowing on the 2% average seen over the June, September and December quarters last year. Notably, non-fuel spend is tracking a more subdued 0.7-0.9%qtr pace.
- Monthly growth has been very choppy, the fuel price spike and lift in volumes driving a 1.9% gain in the March month but the temporary halving in fuel excise tax contributing to a pull back in the first two weeks of April, the latest week tracking a monthly decline of 0.5%. Non fuel activity rose 0.5% in the March month but is tracking a monthly contraction of 1.1% as at mid-April.
- While the card data is adjusted for regular seasonal patterns, including Easter, some of the softness in April may be a residual holiday-related drag.
- The softening in non-fuel card activity continues to mainly centre on international spend (some of which may be due to cancelled overseas travel) and discretionary services (particularly accommodation and recreational services) but is starting to become more apparent in discretionary goods as well, particularly housing-related categories.
- The slowing continues to be broad-based, reflecting the common drivers of around both fuel and non fuel spend.
- Overall, the 1.2%qtr rise in card activity in the March quarter is likely to be flat or down slightly once adjusted for price effects. The Q1 CPI, due April 29, will give a better sense of how activity has tracked in real, inflation-adjusted terms. Note that the total spending measures in the Q1 national accounts (due June 3) will be somewhat firmer due to effects from the roll-off electricity rebates.

“Non-fuel activity ... tracking a monthly contraction of 1.1% as at mid-April.”

1. Westpac-DataX Card Tracker Index*



The **Westpac-DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p10 for a detailed explanation.

This report is produced by Westpac Economics.

Matthew Hassan, Head of Australian Macro-Forecasting

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This issue was finalised on 17 April 2026.

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Quarterly momentum slows amid volatile monthly swings

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- Quarterly momentum has shown a clear moderation since November, coming in at 1.2% for the March quarter, the latest week tracking a slightly softer 1.1% quarterly pace. The same growth rates excluding fuel are 0.9%qtr and 0.7%qtr respectively.
- Monthly activity been very choppy through March-April reflecting both fuel price effects (an initial surge then partial retracement following the

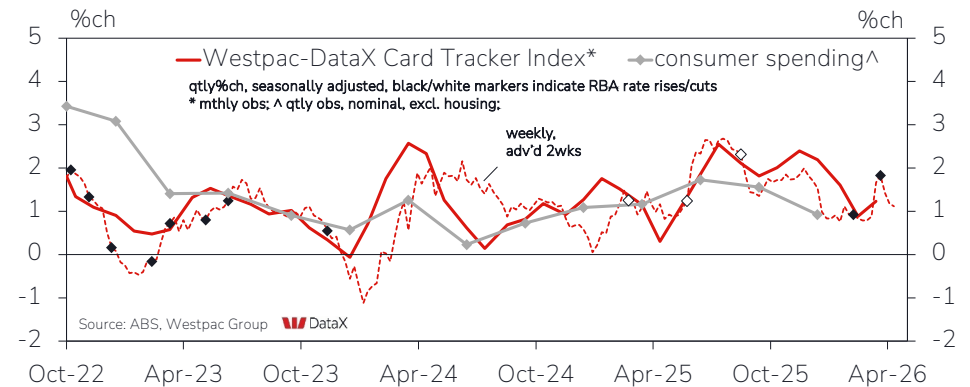
temporary halving in fuel excise tax that came into effect in April) and volume effects (a surge in demand as buyers tried to secure fuel ahead of price rises and possible shortages). Non-fuel activity posted a 0.5% rise in the March month but is tracking a 1.1% monthly contraction as at mid-April.

- Official ABS data has yet to capture these effects. The latest available monthly household spending indicator is for the month of February (see [here](#)) with the March update due to be released on May 5. This is likely to show a 2%+ rise driven by fuel. The March quarter national accounts estimates of total spending are due on June 3.

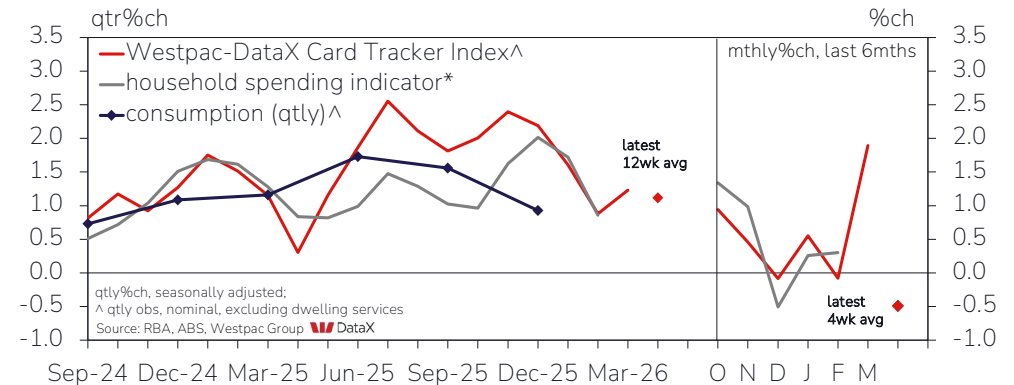
qtrly%ch	Q3	Q4	Q1	latest^
Westpac-DataX Card Tracker	1.8	2.2	1.2	1.1
ABS monthly household spending indicator*				
Nominal	1.0	2.0	n.a.	n.a.
Real*	0.1	0.9	n.a.	n.a.
ABS consumer spending (qtrly)#				
Nominal	1.6	0.9	n.a.	n.a.
Real	0.6	0.2	n.a.	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p10 for more details.
 * ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
 # Consumer spending excludes housing costs.
 Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



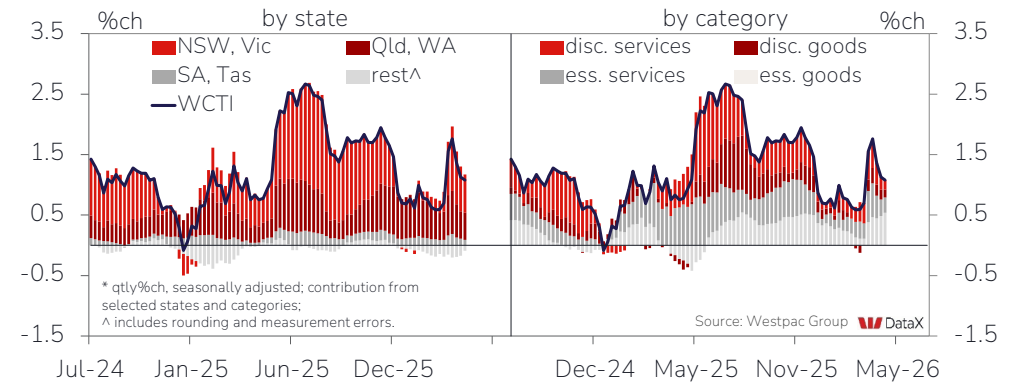
Fuel surge continues, most other segments weakening

- Chart 4 shows the category and state contributions to quarterly growth in domestic card activity week-to-week (i.e. excluding international transactions). Charts showing more detailed category breakdowns and other aspects of the card data are presented on p7-8.
- By major category, the slower quarterly growth pulse since March has centred on discretionary services with discretionary goods and essential services also moderating. Within discretionary goods the main slowdown has been in housing-related segments such as furnishings and household appliances, with recreational goods holding firmer (all figures are adjusted for regular seasonal patterns).
- By state, quarterly growth is tracking a slightly slower pace in SA (+0.8%qtr) but is firmer in Tas (+2%qtr) and WA (1.9%qtr).
- Chart 5 shows quarterly growth in card spending broken into four groups: fuel, hospitality, other domestic and international. Markers show the quarterly pace based on the last four weeks. Fuel spend continues to lift, the latest week up 4.6%qtr. Across other categories, international transactions are up 1.7%qtr, the pacing moderating sharply since early February. Hospitality and other domestic activity are tracking a more subdued 0.6-0.7%qtr pace, essentially stalling flat over the last four weeks.

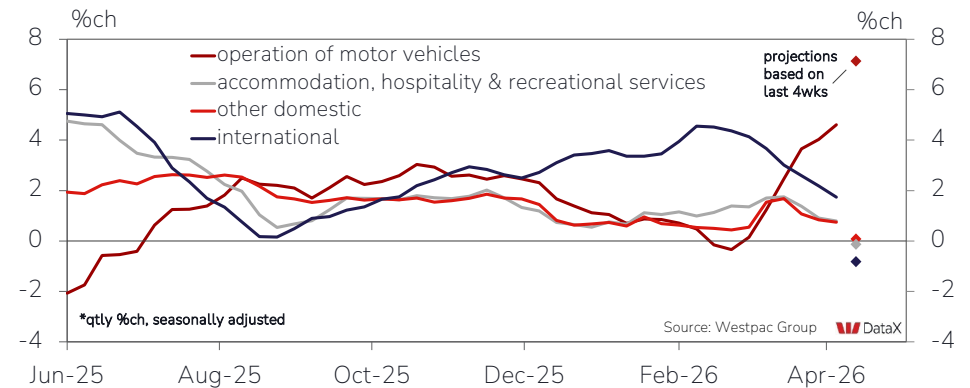
	Jan	Feb	Mar	11/4
Westpac-DataX Card Tracker	154.4	154.2	157.2	152.1
By category				
– discretionary*	156.0	155.5	156.4	152.0
– essential*	149.5	150.0	155.6	150.7
By state				
– NSW	148.7	148.2	150.9	145.5
– Vic	145.3	146.1	148.2	142.9
– Qld	169.7	165.2	172.9	166.6
– WA	169.8	171.1	173.0	172.1
– SA	161.6	159.9	164.9	157.8

All indexes based on the value of spending-related transactions, seasonally adjusted, 2019 avg=100, see p10 for more details including classifications.
 * indexes revised due to re-classification.
 Sources: ABS, Westpac Group

4. Card activity: contribution by state, broad category



5. Card activity: fuel, hospitality, international vs rest

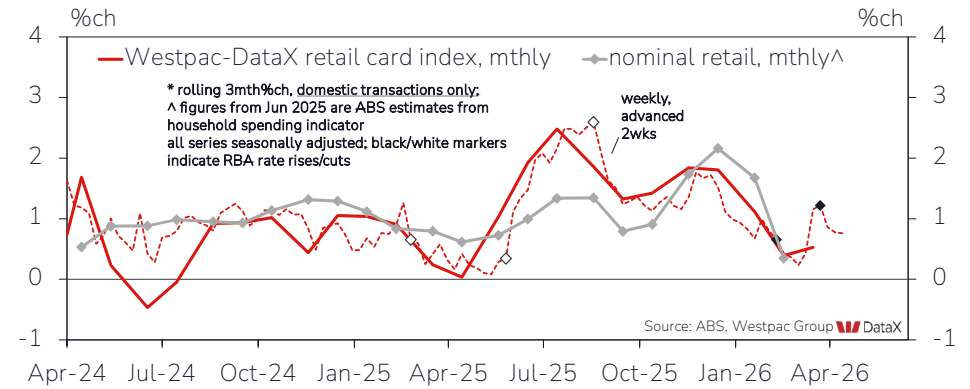


Retail a touch softer, basic food in particular

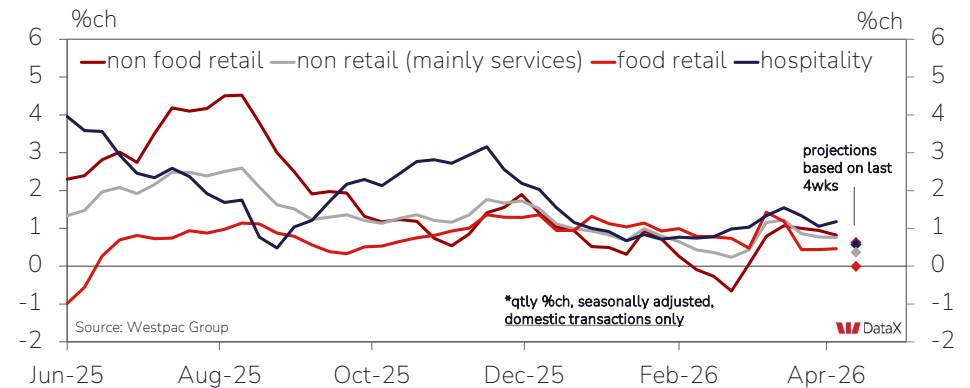
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- Both the MHSI and retail card indexes have seen quarterly growth momentum moderate over the last three weeks in line with the lift in total card activity. However growth in both is a touch softer, the MHSI card index running at 0.9%qtr, 5.9%yr while the retail card index is growing at 0.8%qtr, 5.5%yr. Both reflect the fact that fuel is not included.
- The sub-category split shows little change in relative performances, hospitality (+1.2%qtr) slightly outperforming non food retail (0.8%qtr) and food retail lagging (+0.5%qtr). The latest four weeks show a further drop with food stalling about flat, although, as with total activity, there may be some residual effects from the timing of Easter.
- Non-retail card activity (including fuel) is tracking at a slightly firmer 0.8%qtr although here will be a mix of strong fuel and weak services spend in this component (fuel is not in-scope for retail measures).

	Jan	Feb	Mar	11/4
MHSI card index	150.6	150.4	153.7	149.3
– qtly%ch	1.3	0.5	1.0	0.9
– qtly, ann%ch	5.4	5.5	6.3	5.9
ABS MHSI				
– %ch	0.3	0.3	n.a.	n.a.
– qtly%ch	1.7	0.9	n.a.	n.a.
– qtly ann%ch	5.0	4.8	n.a.	n.a.
Retail card index	151.0	150.5	152.1	149.8
– qtly%ch	1.1	0.4	0.5	0.8
– qtly, ann%ch	5.1	5.2	5.7	5.5
ABS retail sales*				
– %ch	0.5	0.4	n.a.	n.a.
– qtly%ch	1.7	0.3	n.a.	n.a.
– qtly ann%ch	4.6	4.2	n.a.	n.a.

6. Card activity: retail



7. Card activity: broad retail and non-retail groups



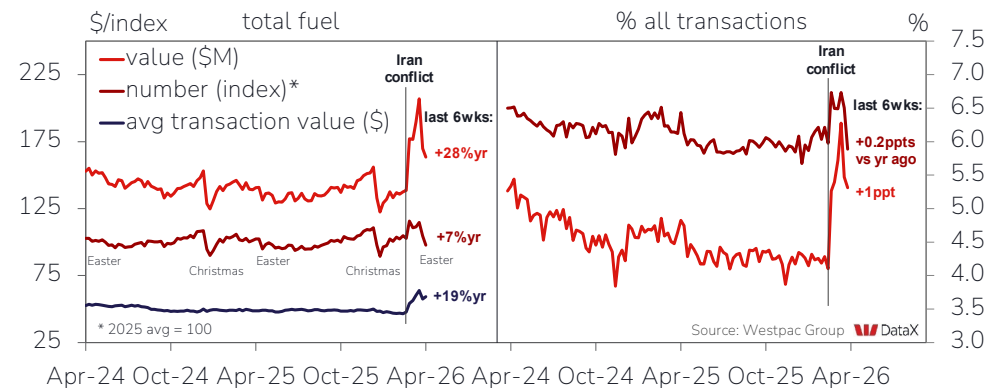
Middle East energy shock: update

- The energy shock continues to have significant impacts on card activity in fuel and related categories.
- Chart 8 shows card activity across a sub-set of the 'operation of motor vehicles' category referred to elsewhere in this report, that is more specifically capturing activity across petrol stations. The left panel tracks the total value of transactions, the number of transactions and the implied average value. Note that the average value will broadly track pump prices but is also affected by shifts in average litres purchases, the fuel mix (diesel vs petrol) and non-fuel purchases.
- Since our last update, the total value of fuel card transactions initially moved higher before falling sharply in the first two weeks of April.
- That fall reflects three factors: 1) the temporary halving of fuel excise tax from April 1 which contributed to a 9.8% drop in average transaction values; 2) some easing in the pull forward surge in fuel purchases evident through March; and 3) the impact of Easter holidays in early April (a holiday related variation in transaction numbers is clearly evident in previous years).
- Even with these variations, the average

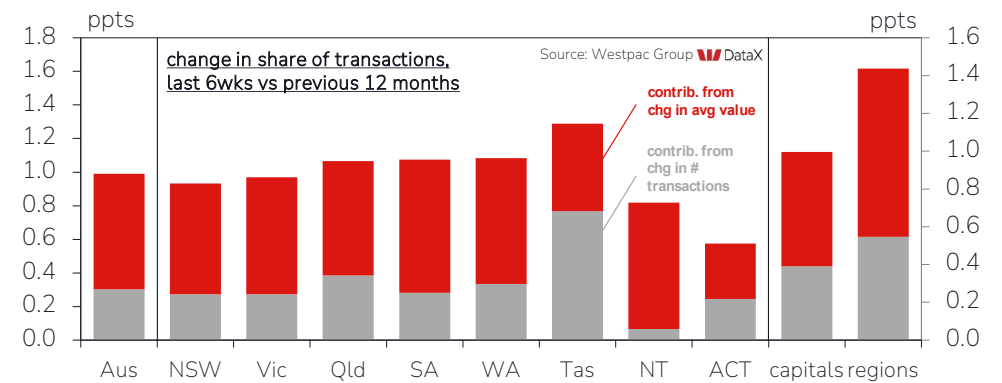
value of transactions over the last six weeks is up 28% on a year ago, with 7% of the variation due to an increase in the number of transactions and the remaining 19% due to an increase in average transaction value.

- As a share of total card activity, fuel has been 1ppt higher over the last six weeks compared to a year ago, with 0.2ppts of this due to the higher share of the total number of transactions.
- Chart 9 shows how the change in the share of all transactions compares across states and between capital cities and regional areas.
- Across the major states, the shift has been a little less pronounced in NSW and Vic, and a little more so in Qld, SA and WA. Variations have been larger across smaller states with a notably bigger increase in Tas but smaller rises in NT and ACT (lower coverage may be an issue for these jurisdictions). More strikingly, regional areas continue to see a bigger increase, in the order of 1.4ppts. This reflects a variety of factors including more material supply issues and higher fuel spend due to longer travel distances which may be requiring more cut backs on non fuel transactions.

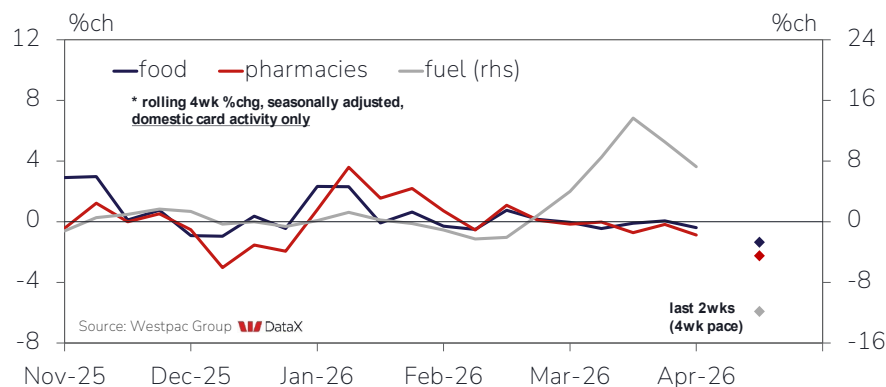
8. Card activity: fuel



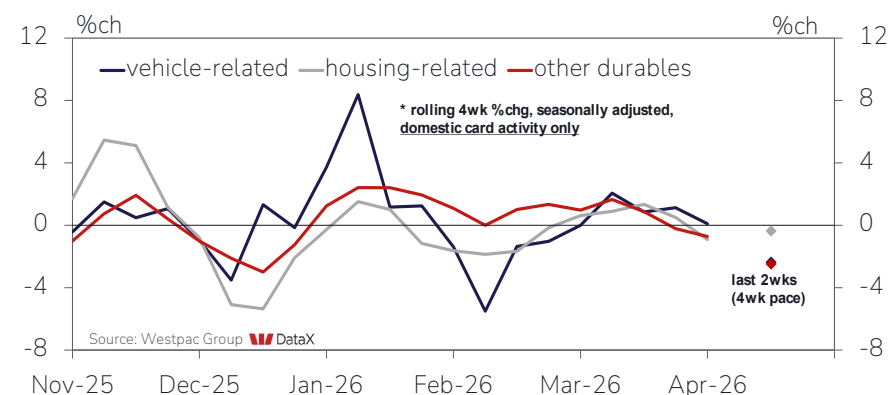
9. Card activity: fuel by state



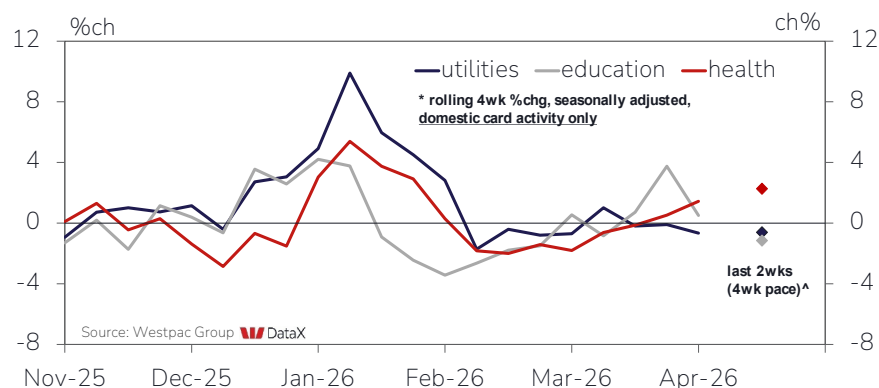
12. Card activity: essential goods



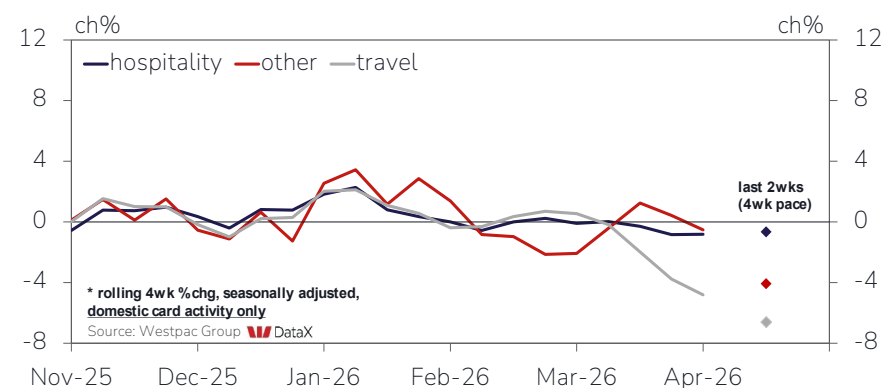
13. Card activity: discretionary goods



14. Card activity: essential services

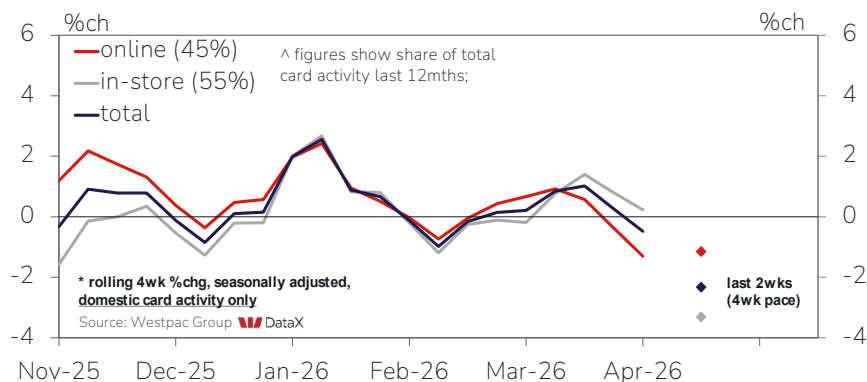


15. Card activity: discretionary services

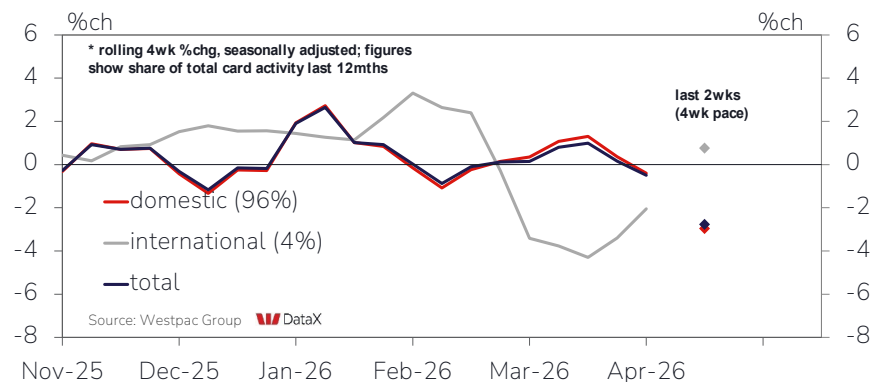


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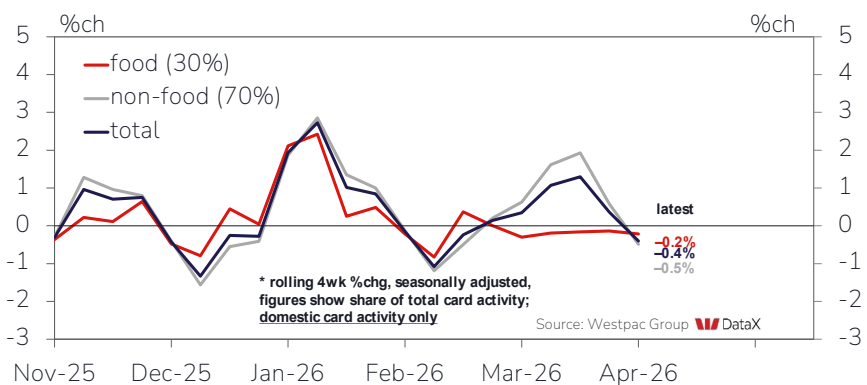
16. Card activity: online and in-store



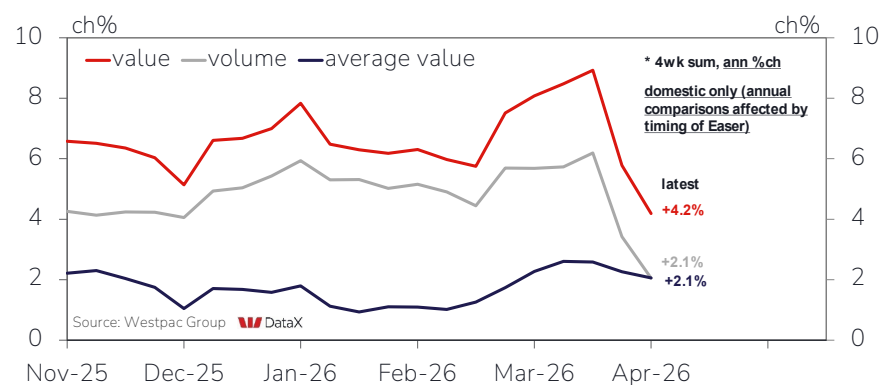
17. Card activity: domestic and international



18. Card activity: food and non-food



19. Card activity: value and volume



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	2024			2025			2026			week ending:					
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Jan	Feb	Mar	21/3	28/3	4/4	11/4
Westpac–DataX Card Tracker Index	140.1	141.3	143.1	144.7	147.4	150.1	153.4	155.3	154.4	154.2	157.2	154.3	154.5	152.4	152.1
qtly%ch	0.6	0.8	1.3	1.1	1.9	1.8	2.2	1.2	1.6	0.9	1.2	1.8	1.4	1.2	1.1
qtly, ann%ch	4.2	4.0	5.4	3.9	5.2	6.2	7.2	7.3	6.6	6.7	7.3	7.4	7.3	7.2	6.9
By category															
– discretionary^	141.6	143.2	145.7	146.0	149.1	151.6	155.2	156.0	156.0	155.5	156.4	155.2	153.1	152.6	152.0
– essential^	137.6	138.1	138.7	141.4	143.3	146.1	148.5	151.7	149.5	150.0	155.6	152.3	154.6	150.6	150.7
services	145.6	147.8	150.4	153.1	156.5	160.0	164.1	166.3	165.9	166.5	166.4	164.6	162.4	161.4	162.2
– discretionary services^	148.2	151.1	154.3	155.0	158.9	161.3	166.1	166.9	167.1	167.1	166.5	165.9	162.7	161.9	163.0
– essential services^	141.9	143.0	144.8	150.4	153.0	158.1	161.3	165.3	164.1	165.6	166.2	162.7	161.9	160.8	161.1
goods	134.8	134.9	135.6	136.0	137.8	139.6	141.8	143.6	142.0	141.4	147.4	144.8	146.7	143.5	142.4
– discretionary goods	134.3	134.5	136.3	136.3	138.4	140.9	143.3	144.1	143.9	142.8	145.4	143.4	142.6	142.5	140.1
– essential goods	135.1	135.1	135.0	135.7	137.3	138.5	140.5	143.2	140.4	140.2	149.0	146.0	150.1	144.2	144.4
MHSI card index*	139.2	140.2	141.8	142.5	145.1	147.2	150.1	151.6	150.6	150.4	153.7	152.1	152.0	149.8	149.3
qtly%ch	0.2	0.7	1.1	0.5	1.8	1.5	1.9	1.0	1.3	0.5	1.0	1.5	1.2	1.0	0.9
qtly, ann%ch	3.6	3.4	4.7	2.6	4.2	5.0	5.8	6.3	5.4	5.5	6.3	6.2	6.2	6.1	5.9
retail card index*	139.9	141.2	142.7	143.1	145.8	147.7	150.4	151.2	151.0	150.5	152.1	150.8	151.3	150.5	149.8
qtly%ch	-0.5	0.9	1.1	0.2	1.9	1.3	1.8	0.5	1.1	0.4	0.5	1.2	0.9	0.8	0.8
qtly, ann%ch	2.6	2.9	4.1	1.8	4.2	4.6	5.4	5.7	5.1	5.2	5.7	5.8	5.8	5.7	5.5
By state															
– NSW	135.5	136.4	138.0	140.1	142.4	143.7	147.9	149.3	148.7	148.2	150.9	148.8	149.9	147.1	145.5
– Vic	134.7	135.3	136.9	138.6	140.0	142.4	144.8	146.5	145.3	146.1	148.2	146.7	145.8	144.1	142.9
– Qld	148.2	151.0	153.9	155.2	158.1	162.2	168.7	169.3	169.7	165.2	172.9	168.7	168.7	168.4	166.6
– WA	148.8	151.4	154.1	157.1	159.8	163.4	168.2	171.3	169.8	171.1	173.0	172.0	172.0	170.1	172.1
– SA	146.9	147.8	150.2	151.8	154.2	157.0	160.8	162.1	161.6	159.9	164.9	163.0	163.1	160.5	157.8

All indexes based on the value of spending-related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p10 for more details.

* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

^ indexes revised due to re-classification.

Sources: ABS, Westpac Group

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About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non card transactions. This was a significant factor during the COVID-19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact-less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending-related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle-related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.



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16 April 2026

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Today's economic developments and market movements.

Key themes

Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.

US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.

Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.

FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.

Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.6%
AUD/USD	0.7169	0.6%
AUD/JPY	114.00	0.8%
AUD/GBP	0.5286	0.7%
AUD/NZD	1.2133	0.4%
AUD/EUR	0.6076	0.6%
AUD/CNH	4.8878	0.7%
AUD/SGD	0.9114	0.6%
AUD/HKD	5.6165	0.6%
AUD/CAD	0.9849	0.4%
EUR/USD	1.1799	0.0%
USD/JPY	159.01	0.1%
USD Index	98.09	0.0%

Equities	Close	Change
S&P/ASX 200	8,979	0.1%
S&P 500	7,023	0.8%
Japan Nikkei	58,134	0.4%
Hang Seng	25,947	0.3%
Euro Stoxx 50	5,940	-0.7%
UK FTSE100	10,560	-0.5%
VIX Index	18.17	-1.0%

Commodities	Current	Change
CRB Index	372.00	0.2%
Gold	4791.04	-1.0%
Copper	13248	-0.3%
Oil (WTI futures)	91.29	0.0%
Coal (coking)	226.00	0.8%
Coal (thermal)	125.45	-2.5%
Iron Ore	105.20	0.7%
ACCU	36.13	-4.3%

Data as at 7:15am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.15	0.01
90 day BBSY	4.37	-0.01
180 day BBSY	4.77	-0.03
1 year swap	4.59	0.01
2 year swap	4.63	0.02
3 year swap	4.62	0.05
4 year swap	4.62	0.03
5 year swap	4.64	0.04
6 year swap	4.68	0.04
7 year swap	4.72	0.05
8 year swap	4.77	0.04
9 year swap	4.81	0.04
10 year swap	5.06	0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.02
10 year bond	4.93	-0.02
United States		
3-month T Bill	3.61	0.01
2 year bond	3.76	0.02
10 year bond	4.28	0.04
Other (10 year yields)		
Germany	3.04	0.02
Japan	2.42	0.00
UK	4.81	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.99	0.03
3 yr bond	4.65	0.03
3 mth bill rate	4.32	0.00
SPI 200	9,018	0.0%



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Financial Markets

Markets adopted a cautiously constructive tone overnight on reports that the US and Iran are seeking to arrange further peace talks in the coming days. News that both sides are reportedly weighing a two week truce extension to resolve key sticking points - including the reopening of the Strait of Hormuz and the future of Iran's nuclear programme - was taken by investors as a tentative signal of easing tensions. This tentative risk on shift came despite the ongoing US naval blockade of the Strait of Hormuz, with reports that the first west bound oil tanker bound for Iraq has transited the Strait without incident.

Elsewhere, President Trump threatened to remove Federal Reserve Chair Jerome Powell if he does not step down at the end of his term in May. Powell stated that, should his successor not be confirmed in time, he would continue to serve as chair pro tempore.

Domestically, concerns around energy supply increased after a fire reportedly broke out at Viva Energy's Geelong refinery late last night. Fire crews were called to the site around 11pm, with the blaze said to have originated in the "mogas" section of the plant, which produces motor gasoline products.

- Equities were mixed across regions. In the US, optimism around potential progress in Middle East diplomacy, ongoing enthusiasm for artificial intelligence and solid corporate earnings supported further gains, with both the S&P 500 and NASDAQ 100 closing at record highs. The S&P 500 rose 0.8% to 7,023, while the NASDAQ gained 1.6% to 24,016. In contrast, the Dow Jones underperformed, slipping -0.2%.
- European equities moved lower amid disappointing earnings from several regional heavyweights, with the Euro Stoxx 50 down -0.7% and the FTSE 100 falling -0.5%. Asian equities were stronger on hopes of easing US Iran tensions, led by Korea's KOSPI, which gained 2.1%. The Nikkei 225 and Hang Seng posted more modest gains of 0.4% and 0.3%, respectively. Locally, the ASX 200 faded from a strong open to finish just 0.1% higher.
- Bond markets retreated as oil prices stabilised and risk sentiment improved. Moves were more pronounced at the long end of the curve, with the US 2 year yield rising 2bps and the 10 year yield up 4bps. Futures pricing for the terminal Fed funds rate was little changed, implying a 36% probability of an additional rate cut by year end.
- Domestic bonds tracked the previous day's move higher in Treasuries, with both 3 year and 10 year yields down 2bps on the session. Swaps pricing continues to imply around two rate hikes by the end of the year.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Employment Mar	20k	48.9k
11:30	AU Unemployment Rate Mar	4.3%	4.3%
12:00	CN GDP Q1	4.8%	4.5%
12:00	CN Retail Sales YoY YTD Mar	2.5%	2.8%
12:00	CN Industrial Production YoY YTD Mar	5.8%	6.3%
12:00	CN Fixed Asset Investment YoY YTD Mar	1.9%	1.8%
16:00	GB Trade Balance Feb	-£1300b	£3922b
22:30	US Initial Jobless Claims 11/04/2026	212.5k	219k
22:30	US Philly Fed Apr	10pts	18.1pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- FX markets lacked a clear directional impulse, with the DXY little changed on the day. The Australian dollar outperformed, rising 0.6% to 0.7169, while the euro was broadly steady.
- Commodity markets were mixed. Oil prices remained in a holding pattern as markets awaited further clarity on prospective peace talks, with Brent up 0.1% on the day and WTI little changed. Ongoing uncertainty in the Middle East saw US oil exports surge to a record high last week of nearly 13mb/d, as buyers sought alternative supply. Gold fell -1.0% on news of a possible ceasefire extension, copper slipped -0.3%, while iron ore gained 0.7%.

International Data

The **April Federal Reserve Beige Book** reports US economic activity grew at "a slight to modest pace in eight of the twelve" districts since the last update. Two districts reported no change and two districts "slight to modest declines". The Middle East conflict is a source of material uncertainty, and many respondents are taking a wait-and-see approach. Overall, "employment was steady to up slightly during this reporting period", with new hiring mostly for replacement. Price growth was characterised as "moderate" overall, though input costs generally "outpaced selling price growth", compressing margins.

The **FOMC's Bowman, Musalem and Hammack** were cautious on inflation and sanguine regarding the labour market overnight.

The **US' Empire manufacturing survey** jumped from -0.2 to 11.0 in April.

US import prices rose 0.8% in March after a downwardly revised 0.9% gain in February. Ex petroleum, prices were up just 0.1% in the month.

The **US NAHB housing market index** fell from 38 to 34 in April, 33% below the average of the past 5 years.

Local Data

There was no top-tier economic data released yesterday.



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FX Last 24 hrs	Current	Change	AUS Interest Rate Swaps	Last	Change
TWI	66.1	0.6%	30 day BBSY	4.15	0.01
AUD/USD	0.7169	0.6%	90 day BBSY	4.37	-0.01
AUD/JPY	114.00	0.8%	180 day BBSY	4.77	-0.03
AUD/GBP	0.5286	0.7%	1 year swap	4.59	0.01
AUD/NZD	1.2133	0.4%	2 year swap	4.63	0.02
AUD/EUR	0.6076	0.6%	3 year swap	4.62	0.05
AUD/CNH	4.8878	0.7%	4 year swap	4.62	0.03
AUD/SGD	0.9114	0.6%	5 year swap	4.64	0.04
AUD/HKD	5.6165	0.6%	6 year swap	4.68	0.04
AUD/CAD	0.9849	0.4%	7 year swap	4.72	0.05
EUR/USD	1.1799	0.0%	8 year swap	4.77	0.04
USD/JPY	159.01	0.1%	9 year swap	4.81	0.04
USD Index	98.09	0.0%	10 year swap	5.06	0.05

Equities	Close	Change	Government Bond Yields	Close	Change
S&P/ASX 200	8,979	0.1%	Australia		
S&P 500	7,023	0.8%	3 year bond	4.60	-0.02
Japan Nikkei	58,134	0.4%	10 year bond	4.93	-0.02
Hang Seng	25,947	0.3%	United States		
Euro Stoxx 50	5,940	-0.7%	3-month T Bill	3.61	0.01
UK FTSE100	10,560	-0.5%	2 year bond	3.76	0.02
VIX Index	18.17	-1.0%	10 year bond	4.28	0.04

Commodities	Current	Change	Other (10 year yields)		
CRB Index	372.00	0.2%	Germany	3.04	0.02
Gold	4791.04	-1.0%	Japan	2.42	0.00
Copper	13248	-0.3%	UK	4.81	0.03

			Sydney Futures Exchange	Current	Change
Oil (WTI futures)	91.29	0.0%	10 yr bond	4.99	0.03
Coal (coking)	226.00	0.8%	3 yr bond	4.65	0.03
Coal (thermal)	125.45	-2.5%	3 mth bill rate	4.32	0.00
Iron Ore	105.20	0.7%	SPI 200	9,018	0.0%
ACCU	36.13	-4.3%			

Data as at 7:15am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.



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Financial Markets

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- Equities were mixed across regions. In the US, optimism around potential progress in Middle East diplomacy, ongoing enthusiasm for artificial intelligence and solid corporate earnings supported further gains, with both the S&P 500 and NASDAQ 100 closing at record highs. The S&P 500 rose 0.8% to 7,023, while the NASDAQ gained 1.6% to 24,016. In contrast, the Dow Jones underperformed, slipping -0.2%.
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- Domestic bonds tracked the previous day's move higher in Treasuries, with both 3 year and 10 year yields down 2bps on the session. Swaps pricing continues to imply around two rate hikes by the end of the year.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Employment Mar	20k	48.9k
11:30	AU Unemployment Rate Mar	4.3%	4.3%
12:00	CN GDP Q1	4.8%	4.5%
12:00	CN Retail Sales YoY YTD Mar	2.5%	2.8%
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22:30	US Initial Jobless Claims 11/04/2026	212.5k	219k
22:30	US Philly Fed Apr	10pts	18.1pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- FX markets lacked a clear directional impulse, with the DXY little changed on the day. The Australian dollar outperformed, rising 0.6% to 0.7169, while the euro was broadly steady.
- Commodity markets were mixed. Oil prices remained in a holding pattern as markets awaited further clarity on prospective peace talks, with Brent up 0.1% on the day and WTI little changed. Ongoing uncertainty in the Middle East saw US oil exports surge to a record high last week of nearly 13mb/d, as buyers sought alternative supply. Gold fell -1.0% on news of a possible ceasefire extension, copper slipped -0.3%, while iron ore gained 0.7%.

International Data

The **April Federal Reserve Beige Book** reports US economic activity grew at "a slight to modest pace in eight of the twelve" districts since the last update. Two districts reported no change and two districts "slight to modest declines". The Middle East conflict is a source of material uncertainty, and many respondents are taking a wait-and-see approach. Overall, "employment was steady to up slightly during this reporting period", with new hiring mostly for replacement. Price growth was characterised as "moderate" overall, though input costs generally "outpaced selling price growth", compressing margins.

The **FOMC's Bowman, Musalem and Hammack** were cautious on inflation and sanguine regarding the labour market overnight.

The **US' Empire manufacturing survey** jumped from -0.2 to 11.0 in April.

US import prices rose 0.8% in March after a downwardly revised 0.9% gain in February. Ex petroleum, prices were up just 0.1% in the month.

The **US NAHB housing market index** fell from 38 to 34 in April, 33% below the average of the past 5 years.

Local Data

There was no top-tier economic data released yesterday.



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16 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.

US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.

Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.

FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.

Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

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3 year swap	4.62	0.05
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10 year swap	5.06	0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.02
10 year bond	4.93	-0.02
United States		
3-month T Bill	3.61	0.01
2 year bond	3.76	0.02
10 year bond	4.28	0.04
Other (10 year yields)		
Germany	3.04	0.02
Japan	2.42	0.00
UK	4.81	0.03

Sydney Futures Exchange	Current	Change
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3 yr bond	4.65	0.03
3 mth bill rate	4.32	0.00
SPI 200	9,018	0.0%



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Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- FX markets lacked a clear directional impulse, with the DXY little changed on the day. The Australian dollar outperformed, rising 0.6% to 0.7169, while the euro was broadly steady.
- Commodity markets were mixed. Oil prices remained in a holding pattern as markets awaited further clarity on prospective peace talks, with Brent up 0.1% on the day and WTI little changed. Ongoing uncertainty in the Middle East saw US oil exports surge to a record high last week of nearly 13mb/d, as buyers sought alternative supply. Gold fell -1.0% on news of a possible ceasefire extension, copper slipped -0.3%, while iron ore gained 0.7%.

International Data

The **April Federal Reserve Beige Book** reports US economic activity grew at "a slight to modest pace in eight of the twelve" districts since the last update. Two districts reported no change and two districts "slight to modest declines". The Middle East conflict is a source of material uncertainty, and many respondents are taking a wait-and-see approach. Overall, "employment was steady to up slightly during this reporting period", with new hiring mostly for replacement. Price growth was characterised as "moderate" overall, though input costs generally "outpaced selling price growth", compressing margins.

The **FOMC's Bowman, Musalem and Hammack** were cautious on inflation and sanguine regarding the labour market overnight.

The **US' Empire manufacturing survey** jumped from -0.2 to 11.0 in April.

US import prices rose 0.8% in March after a downwardly revised 0.9% gain in February. Ex petroleum, prices were up just 0.1% in the month.

The **US NAHB housing market index** fell from 38 to 34 in April, 33% below the average of the past 5 years.

Local Data

There was no top-tier economic data released yesterday.



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On hoping you'll be wrong

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By Luci Ellis

Chief Economist Westpac Group, Westpac

08:25 April 10 2026

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Forecasts are an assessment of the most likely outcome, not the preferred one. The ceasefire announcement was welcome, but whether it holds is highly uncertain.



- The economy does not care about your feelings, so forecasts must reflect what you think is the most likely outcome, not necessarily what you wish would happen. This distinction is especially salient

now. The outright fall in global fuel supply has different implications than other recent supply shocks, and the outlook for Australia and the world is rough.

- The ceasefire announced this week was obviously welcome, but the question is whether the Strait of Hormuz opens properly. The first 24 hours after the announcement were not promising. But if it does, that would be a better outcome than the baseline forecast update we released last week. We would be happy if our baseline forecast was wrong for this reason.
- The key issue for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

The thing about forecasting is that your preferences do not matter. A baseline scenario is simply what you think is most likely. It is not necessarily what you wish would happen. And of course things could play out differently. It is the role of scenario and risk-sensitivity analysis to articulate these other possible future states of the world.

The disconnect between what you hope will happen and what you think will actually happen is especially salient now. The near-term outlook for Australia is tough: higher inflation, with consumers again squeezed by some combination of higher interest rates, lower income growth and higher unemployment. Things are even worse for many other countries. Australia has been able to leverage its LNG exports to ensure we have – so far – not been left short of other fuels. Many lower-income countries do not have this advantage and have been facing the prospect of shortages and rationing; some of our neighbours in the Pacific are particularly hard-hit.

The economic shock from the Gulf conflict centres on global oil and gas supply. It is different from COVID, when the disruptions were all the way down supply chains. It also differs from the energy shock following Russia's invasion of Ukraine, where the Russian oil and gas supply did not disappear, it just needed time to be redistributed to non-European nations willing to buy it despite the sanctions; the peak decline in its oil output was estimated to be around 3 million barrels per day, but the disruption faded quickly. This time around, the oil and gas are not getting out of the Persian Gulf. Some production has been redirected through Saudi pipelines to other ports, but not all of it. Current estimates are that the net reduction of global production has been 8–9 million barrels per day for oil and one-fifth of pre-war global supply for gas. And at the same time, Russia's output capacity has been reduced by successful Ukrainian attacks on Russian oil infrastructure; news reports suggest this has cut global output by a further 0.7–1 million barrels per day.

The effect on prices from such a cut to capacity was always going to be severe.

News this week that a two-week ceasefire had been agreed was obviously welcome. Assuming it holds well enough to reopen the Strait of Hormuz properly – a big if given the attacks in the 24 hours following its announcement – it would be a better outcome than the baseline update we released last week, and one of the “risks on both sides” we contemplated when we released it. A lasting ceasefire and faster opening up of the Strait would put energy prices on a trajectory between the one we contemplated in last week's baseline, and the one underpinning the forecasts in the March Market

Outlook. A return to pre-war prices is unlikely in the short term, though, given the damage to oil and gas infrastructure in the Gulf states and in Russia.

Even if the ceasefire holds well enough that the Strait stays open, a key watchpoint is whether ships enter the Gulf during the next two weeks, not just whether those previously stuck there leave. If ships do not enter, the next wave of production will not be able to be shipped. Supply will sag again a few weeks later and prices will rebound, especially for refined product.

If the ceasefire does not hold, the reprieve on fuel supply will be brief. Trust between the parties is low and Iranian control of the Strait – even jointly with Oman – is an unstable equilibrium that is unacceptable to much of the rest of the world. Even if the ceasefire gets back on track after its rocky start, flare-ups later in the year cannot be ruled out.

The real question for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. On this there is less cause for optimism. While ‘temporary fuel levies’ are easier to unwind as fuel prices decline, for many products, list prices have been lifted significantly and a reversal seems less likely. Building materials are a particular issue, with the cost of building a detached home increasing as much as 10%, on our preliminary estimates. The lift in pricing has been widespread across industries and in some cases quite large relative to overall inflation trends. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

Our next forecast round, scheduled for release next week, will contemplate both the case where traffic through the Strait remains disrupted and one where the ceasefire holds.

If the ceasefire does hold, downside risks to growth diminish and inflation risks ease. Because of the downstream pass-through to other prices we are already seeing, though, the inflation risks do not disappear and the RBA is still likely to raise the cash rate further. Still, it would be a better outcome than our current published baseline. This would be one of the instances where we would be quite happy to be wrong.

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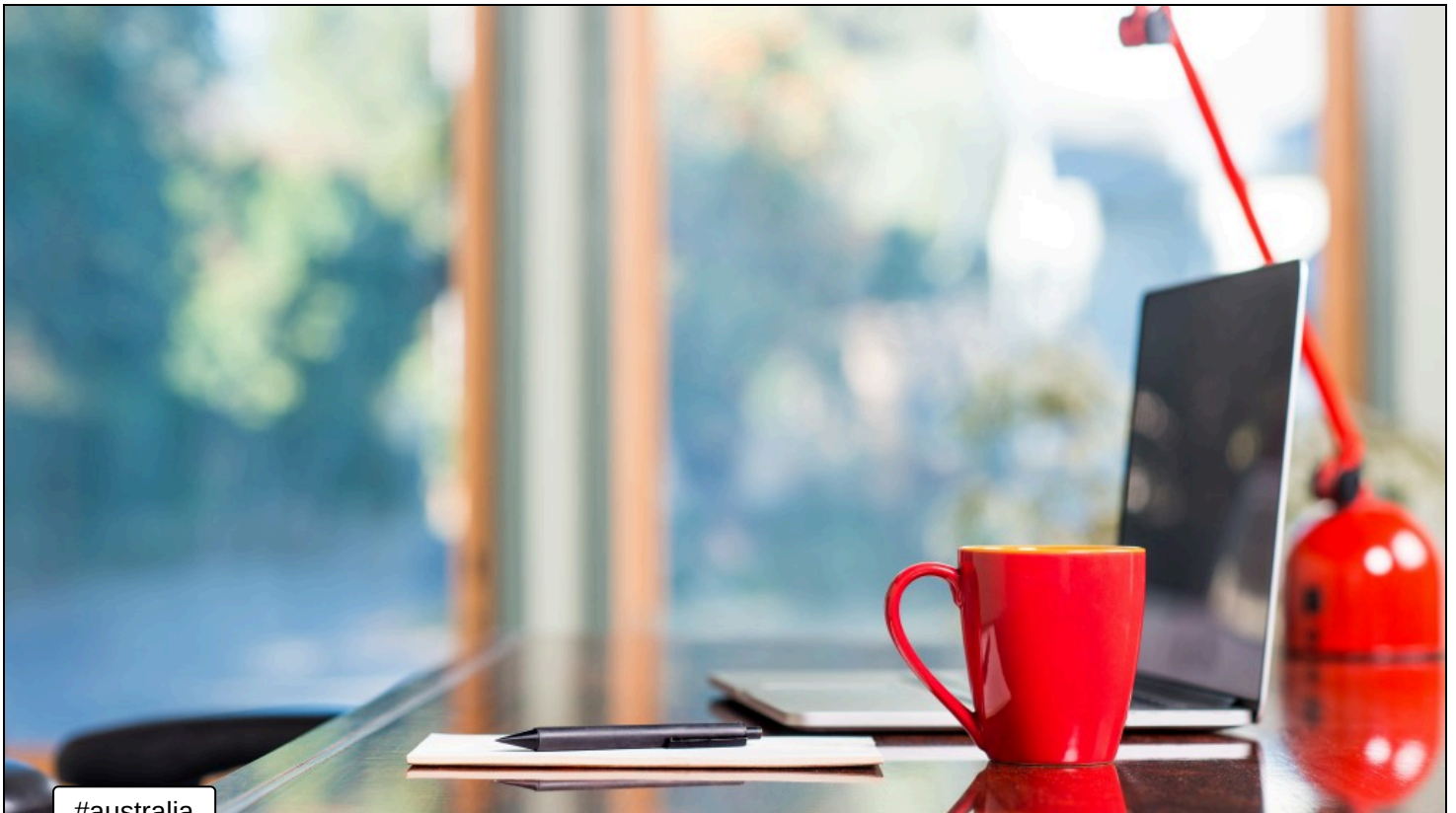


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Once bitten, twice shy. Why inflation is being pumped up

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By Justin Smirk

Senior Economist, Westpac

16:26 April 09 2026

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A short video from Justin Smirk on economic forecasting uncertainties amid a geopolitical conflict focusing on scenarios involving closures of the Strait of Hormuz and their impact on energy prices and inflation.

This video dives into recent developments such as a ceasefire and the reopening of the Strait, and their implications for inflation and monetary policy in Australia. The Westpac Economics Team has built up a series of conflict scenarios and baseline forecasts including a baseline before conflict, a one-

month closure of the Strait of Hormuz with minimal damage, and a two-month closure with some damage and slow recovery. Our current forecasts are based on the two-month closure scenario but predate the recent two-week ceasefire and the claimed reopening of the Strait. The ceasefire, if it holds, represents a positive risk with potentially faster reopening and lower energy prices than previously anticipated.

- **Inflation impact and fuel prices:** Crude oil prices to average around US\$120 per barrel in the June quarter, with Brent trading under US\$100 per barrel currently. Refining margins are expected to normalize slowly, and despite reductions in Australian fuel excise, unleaded petrol prices are projected to peak at \$2.46 per litre in late May, with a 26¢ increase when excise returns to normal. This results in a 1.5% CPI increase in the March quarter, a 4.2% annual pace with a further 1.9% CPI rise in the June quarter for a 5.4% annual rate.
- **Core inflation and price pass-through:** Firms are passing fuel cost increases to other prices more rapidly than in the past, often via fuel surcharges or direct price hikes, raising concerns for RBA to the magnitude of pass-through to core inflation measures. Consequently, core inflation estimates have been raised, with the quarterly Trimmed Mean expected to rise 0.9% in March, 1% in June and September, then easing a touch to 0.9% in December. Core inflation is projected to accelerate from 3.4% annual pace in December to 4.0% by September and remain at that level through to year-end and will be staying near the top of the RBA's target band at around 3% by end 2027.
- **Monetary policy outlook and uncertainties:** Monthly CPI is expected to show more volatility than quarterly figures, with auto fuel prices surging 35% in March, pushing monthly CPI annual pace to around 6% in May or June. Monthly core inflation is projected to peak around 4% in the second half of the year. The RBA is expected to respond with 25 basis point rate hikes in May, June, and August. However, outcomes depend on whether the ceasefire holds, energy prices fall faster, and pass-through is less than expected, or conversely, if conflict reignites, supply disruptions persist, and inflation pressures intensify.

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16 April 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets adopted a cautiously constructive tone on reports that the US and Iran are seeking to arrange further peace talks, with indications that both sides are weighing a two-week truce extension to resolve key issues, including the reopening of the Strait of Hormuz and Iran's nuclear programme.

US equities closed at record highs, supported by improving risk sentiment, enthusiasm around artificial intelligence and solid corporate earnings. Moves across other regions were more mixed.

Bond markets retreated modestly as oil prices stabilised and risk sentiment improved, with US yields higher across the curve.

FX markets lacked clear direction, with the USD broadly steady on the session with the DXY unchanged.

Oil prices held steady as markets awaited further clarity on prospective peace talks; Brent edged 0.1% higher while WTI was little changed.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.6%
AUD/USD	0.7169	0.6%
AUD/JPY	114.00	0.8%
AUD/GBP	0.5286	0.7%
AUD/NZD	1.2133	0.4%
AUD/EUR	0.6076	0.6%
AUD/CNH	4.8878	0.7%
AUD/SGD	0.9114	0.6%
AUD/HKD	5.6165	0.6%
AUD/CAD	0.9849	0.4%
EUR/USD	1.1799	0.0%
USD/JPY	159.01	0.1%
USD Index	98.09	0.0%

Equities	Close	Change
S&P/ASX 200	8,979	0.1%
S&P 500	7,023	0.8%
Japan Nikkei	58,134	0.4%
Hang Seng	25,947	0.3%
Euro Stoxx 50	5,940	-0.7%
UK FTSE100	10,560	-0.5%
VIX Index	18.17	-1.0%

Commodities	Current	Change
CRB Index	372.00	0.2%
Gold	4791.04	-1.0%
Copper	13248	-0.3%
Oil (WTI futures)	91.29	0.0%
Coal (coking)	226.00	0.8%
Coal (thermal)	125.45	-2.5%
Iron Ore	105.20	0.7%
ACCU	36.13	-4.3%

Data as at 7:15am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.15	0.01
90 day BBSY	4.37	-0.01
180 day BBSY	4.77	-0.03
1 year swap	4.59	0.01
2 year swap	4.63	0.02
3 year swap	4.62	0.05
4 year swap	4.62	0.03
5 year swap	4.64	0.04
6 year swap	4.68	0.04
7 year swap	4.72	0.05
8 year swap	4.77	0.04
9 year swap	4.81	0.04
10 year swap	5.06	0.05

Government Bond Yields	Close	Change
Australia		
3 year bond	4.60	-0.02
10 year bond	4.93	-0.02
United States		
3-month T Bill	3.61	0.01
2 year bond	3.76	0.02
10 year bond	4.28	0.04
Other (10 year yields)		
Germany	3.04	0.02
Japan	2.42	0.00
UK	4.81	0.03

Sydney Futures Exchange	Current	Change
10 yr bond	4.99	0.03
3 yr bond	4.65	0.03
3 mth bill rate	4.32	0.00
SPI 200	9,018	0.0%



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Financial Markets

Markets adopted a cautiously constructive tone overnight on reports that the US and Iran are seeking to arrange further peace talks in the coming days. News that both sides are reportedly weighing a two week truce extension to resolve key sticking points - including the reopening of the Strait of Hormuz and the future of Iran's nuclear programme - was taken by investors as a tentative signal of easing tensions. This tentative risk on shift came despite the ongoing US naval blockade of the Strait of Hormuz, with reports that the first west bound oil tanker bound for Iraq has transited the Strait without incident.

Elsewhere, President Trump threatened to remove Federal Reserve Chair Jerome Powell if he does not step down at the end of his term in May. Powell stated that, should his successor not be confirmed in time, he would continue to serve as chair pro tempore.

Domestically, concerns around energy supply increased after a fire reportedly broke out at Viva Energy's Geelong refinery late last night. Fire crews were called to the site around 11pm, with the blaze said to have originated in the "mogas" section of the plant, which produces motor gasoline products.

- Equities were mixed across regions. In the US, optimism around potential progress in Middle East diplomacy, ongoing enthusiasm for artificial intelligence and solid corporate earnings supported further gains, with both the S&P 500 and NASDAQ 100 closing at record highs. The S&P 500 rose 0.8% to 7,023, while the NASDAQ gained 1.6% to 24,016. In contrast, the Dow Jones underperformed, slipping -0.2%.
- European equities moved lower amid disappointing earnings from several regional heavyweights, with the Euro Stoxx 50 down -0.7% and the FTSE 100 falling -0.5%. Asian equities were stronger on hopes of easing US Iran tensions, led by Korea's KOSPI, which gained 2.1%. The Nikkei 225 and Hang Seng posted more modest gains of 0.4% and 0.3%, respectively. Locally, the ASX 200 faded from a strong open to finish just 0.1% higher.
- Bond markets retreated as oil prices stabilised and risk sentiment improved. Moves were more pronounced at the long end of the curve, with the US 2 year yield rising 2bps and the 10 year yield up 4bps. Futures pricing for the terminal Fed funds rate was little changed, implying a 36% probability of an additional rate cut by year end.
- Domestic bonds tracked the previous day's move higher in Treasuries, with both 3 year and 10 year yields down 2bps on the session. Swaps pricing continues to imply around two rate hikes by the end of the year.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Employment Mar	20k	48.9k
11:30	AU Unemployment Rate Mar	4.3%	4.3%
12:00	CN GDP Q1	4.8%	4.5%
12:00	CN Retail Sales YoY YTD Mar	2.5%	2.8%
12:00	CN Industrial Production YoY YTD Mar	5.8%	6.3%
12:00	CN Fixed Asset Investment YoY YTD Mar	1.9%	1.8%
16:00	GB Trade Balance Feb	-£1300b	£3922b
22:30	US Initial Jobless Claims 11/04/2026	212.5k	219k
22:30	US Philly Fed Apr	10pts	18.1pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- FX markets lacked a clear directional impulse, with the DXY little changed on the day. The Australian dollar outperformed, rising 0.6% to 0.7169, while the euro was broadly steady.
- Commodity markets were mixed. Oil prices remained in a holding pattern as markets awaited further clarity on prospective peace talks, with Brent up 0.1% on the day and WTI little changed. Ongoing uncertainty in the Middle East saw US oil exports surge to a record high last week of nearly 13mb/d, as buyers sought alternative supply. Gold fell -1.0% on news of a possible ceasefire extension, copper slipped -0.3%, while iron ore gained 0.7%.

International Data

The **April Federal Reserve Beige Book** reports US economic activity grew at "a slight to modest pace in eight of the twelve" districts since the last update. Two districts reported no change and two districts "slight to modest declines". The Middle East conflict is a source of material uncertainty, and many respondents are taking a wait-and-see approach. Overall, "employment was steady to up slightly during this reporting period", with new hiring mostly for replacement. Price growth was characterised as "moderate" overall, though input costs generally "outpaced selling price growth", compressing margins.

The **FOMC's Bowman, Musalem and Hammack** were cautious on inflation and sanguine regarding the labour market overnight.

The **US' Empire manufacturing survey** jumped from -0.2 to 11.0 in April.

US import prices rose 0.8% in March after a downwardly revised 0.9% gain in February. Ex petroleum, prices were up just 0.1% in the month.

The **US NAHB housing market index** fell from 38 to 34 in April, 33% below the average of the past 5 years.

Local Data

There was no top-tier economic data released yesterday.



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Q1 Job Vacancies: modest increase

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By [Luka Belobrajdic](#)
Economist, Westpac

15:31 April 02 2026

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The level of job vacancies rose between November and February, up 8.9k (2.7%) to 338k, remaining at levels comparable to the past year.

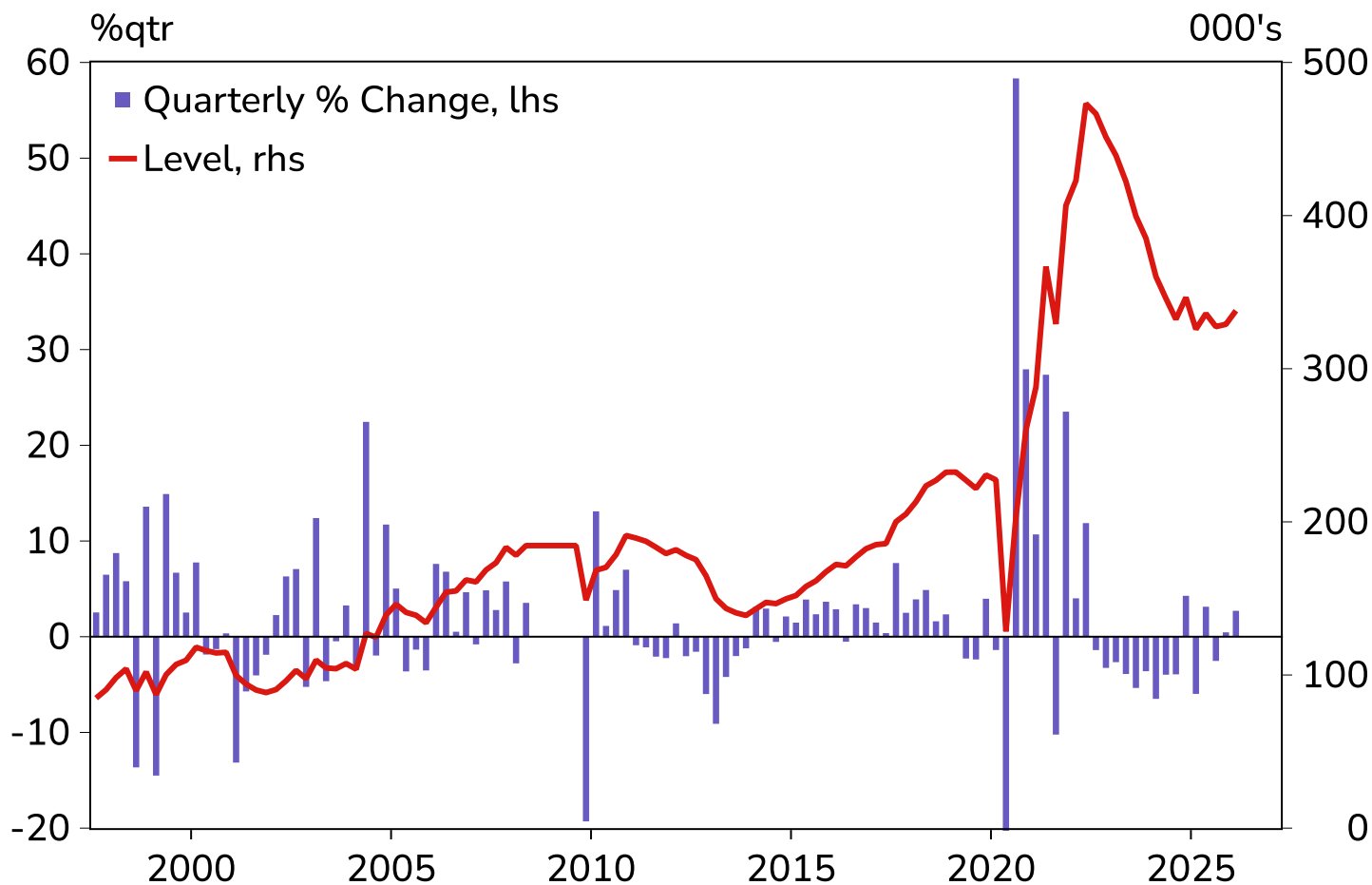


The number of job vacancies increased by 8.9k (2.7%) between November and February, slightly below our expectation. Of note, however, the Q4 2025 outcome was revised higher to 329k (327k previously). Today's result was broadly consistent with the recent strengthening evident in monthly

partials from other job vacancy and advertisement data. While the broad trends across these sources remain aligned, quarterly outcomes can differ given the varied nature and coverage of the underlying data.

Over 2022 to 2024, the stock of job vacancies were falling at a rapid pace from its peak as labour supply came back online after the pandemic. Over 2025, job vacancies were broadly steady: 326k in Q1, lifting to 336k in Q2, before returning to 327k in Q3 and recording modest growth to 329k in Q4. Today's outcome is the strongest since Q4 2024, though still well within the recent range, and leaves vacancies around 40% above pre-pandemic- levels.

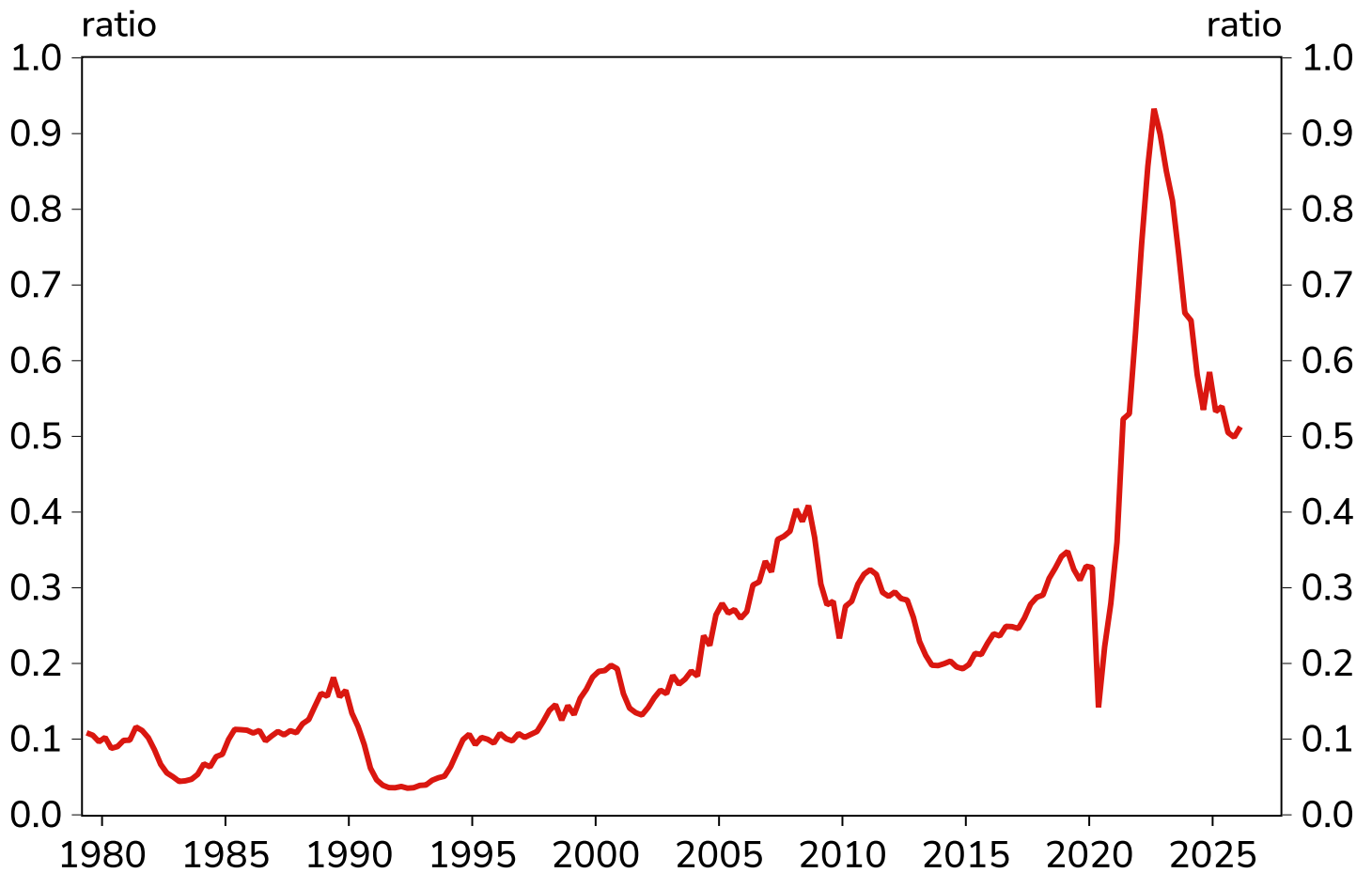
Job Vacancies



Source: ABS, Macrobond, Westpac Economics

In response to the unexpected moderation in unemployment over the December-January months, the vacancy-to-unemployment ratio - a key metric that provides a better perspective on the degree of 'slack' in the labour market - has edged higher. The ratio rose to 0.51 in February 2026, from 0.50 in November 2025. Importantly, it remains below its level in the same period last year (0.53), reinforcing the view that the labour market continues to gradually soften. This is still higher than the 0.20-0.35 range that prevailed prior to the pandemic, although this was a period characterised by a greater degree of labour market slack and below-target inflation.

Vacancy-to-Unemployment Ratio

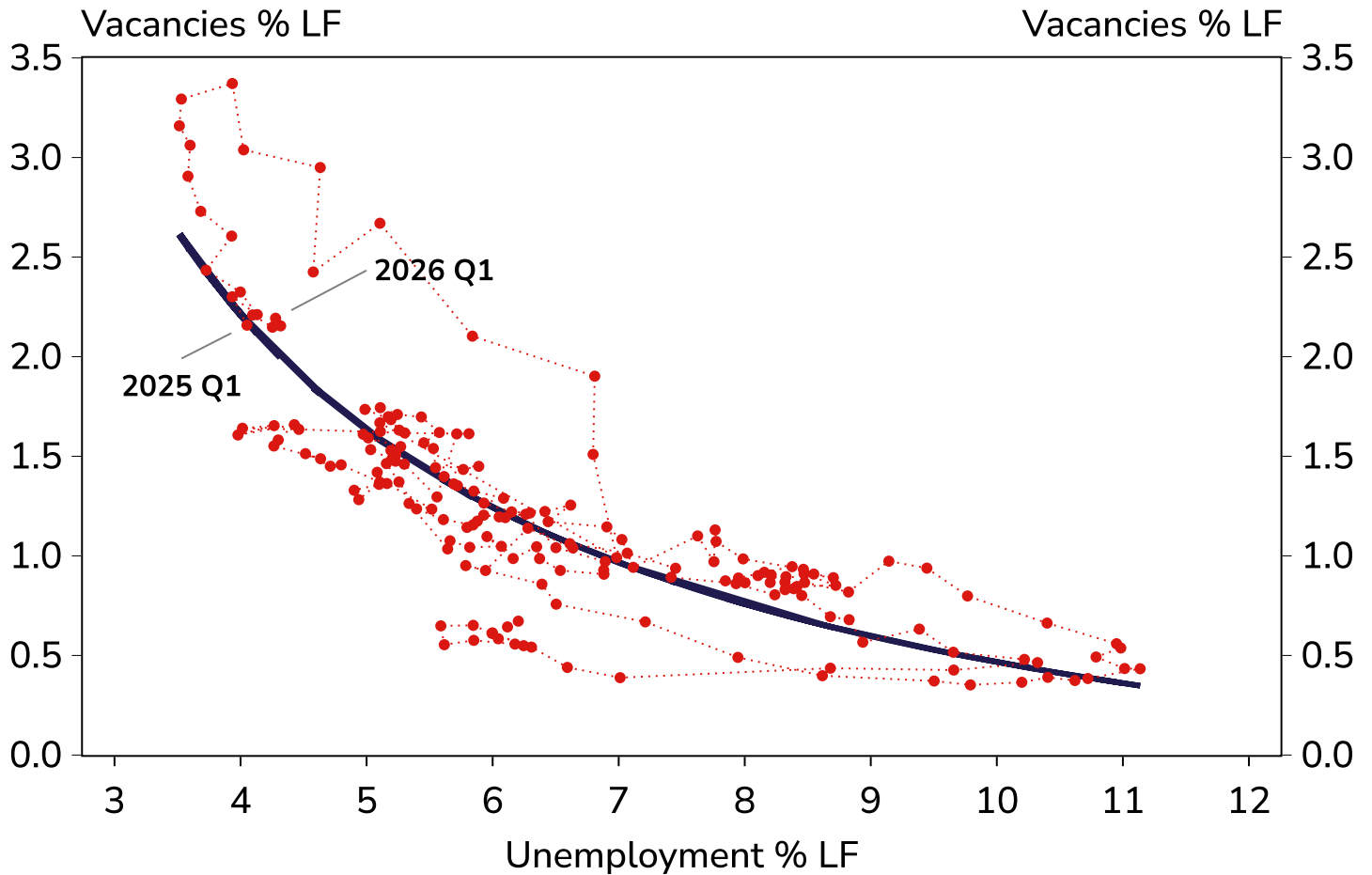


Source: ABS, Macrobond, Westpac Economics

To place the current vacancy-to-unemployment dynamics in context, the Beveridge curve provides a useful reference point by mapping the typical relationship between the vacancy rate (vacancies as a proportion of the labour force) and the unemployment rate over time. Over 2022 to 2024, the labour market was sliding down the 'steep part' of the Beveridge curve, where large falls in vacancies (due to strong jobs growth) came without much of a lift in the unemployment rate.

In the latest quarter, the vacancy rate recorded a mild increase, as the rise in vacancies more than offset ongoing growth in the labour force. At the same time, a brief easing in the unemployment rate at the start of the year saw the labour market operating more-or-less around the Beveridge curve. This suggests that the relationship between vacancies and unemployment continues to behave broadly as expected.

Beveridge Curve



Source: ABS, Macrobond, Westpac Economics

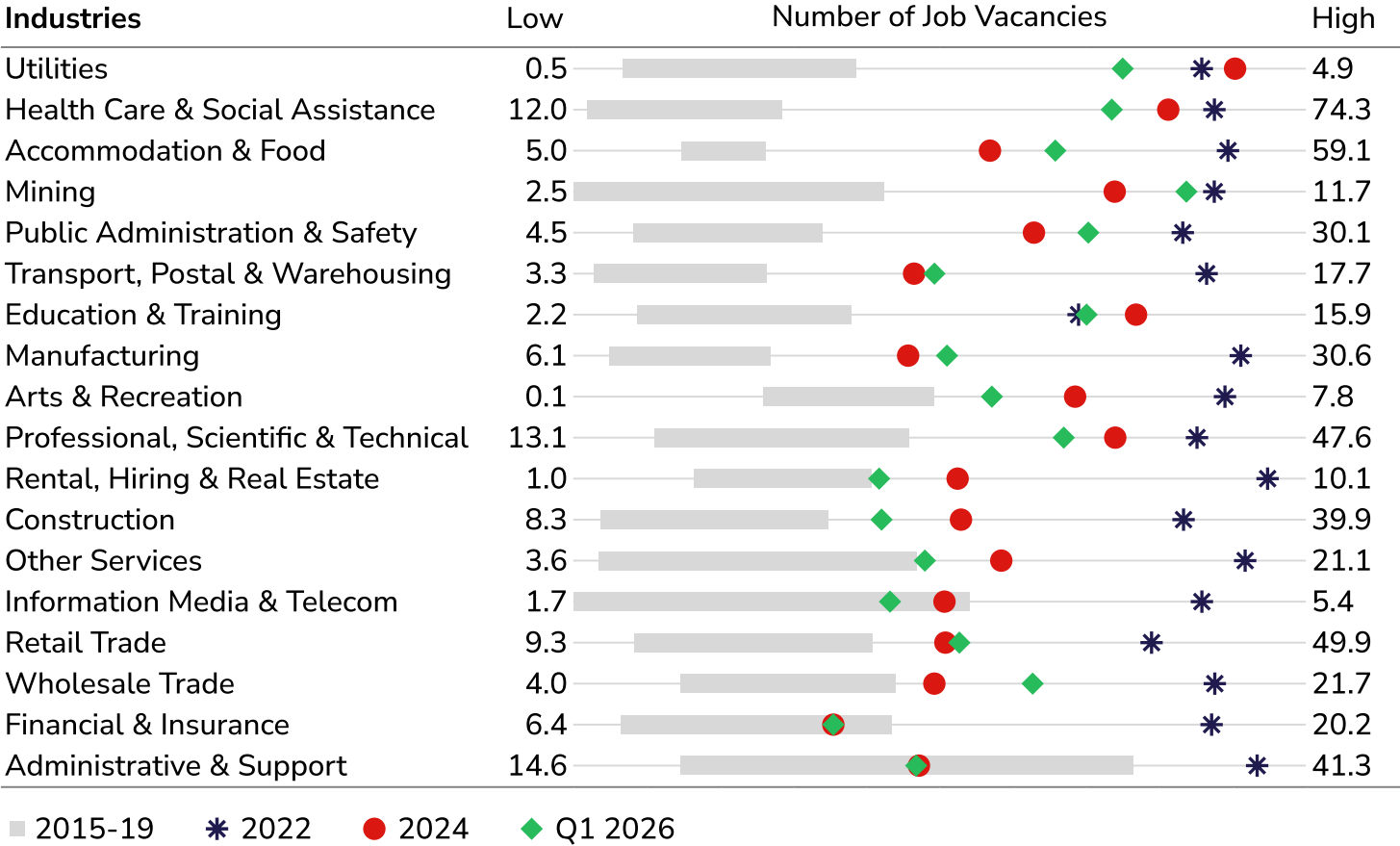
The start of 2026 saw a divergence in vacancy growth across sectors. Vacancies in the private sector (around 88% of the total) rose by 9.2k (3.2%) in Q1, while public sector vacancies (12% of the total) edged lower, falling by 0.2k (−0.5%).

All statistics mentioned below are not seasonally adjusted and hence may not add up to the seasonally adjusted statistics referenced above.

At the industry level, outcomes across private sector dominated industries were mixed. Construction recorded the largest increase in both level and percentage terms, with vacancies rising by 3.5k (19%). Retail trade vacancies increased by 2.9k (10%), consistent with firmer consumer conditions ahead of the escalation in Middle East conflict. Professional, scientific and technical services also posted solid gains, with vacancies up by 2.6k (7.7%). In contrast, administrative and support services was the weakest performing private sector industry, with vacancies declining by 1.6k (−5.6%).

The softness in public sector vacancies was broad based across industries with a significant public sector presence. Vacancies in public administration and safety declined by 0.7k (−3.0%), while health care and social assistance recorded the largest fall of any industry, down 1.8k (−3.0%). This aligns with our earlier observation that jobs growth in the 'care economy' has pulled back significantly after a monumental hiring effort over recent years.

Job Vacancies by Industry



Source: ABS, Macrobond, Westpac Economics

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Week beginning 13 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: On hoping you'll be wrong.

The Week That Was: Ceasefire optimism to be tested.

Focus on New Zealand: A hawkish RBNZ is prepared to act decisively.

For the week ahead:

Australia: Unemployment rate, employment change, Westpac-MI consumer sentiment, Westpac-Now.

New Zealand: Retail card spending, selected price indices, REINZ house sales and prices, net migration.

Japan: Industrial production.

China: GDP, fixed asset investment, industrial production, retail sales.

Euro area: HICP inflation, trade balance, industrial production.

UK: Monthly GDP.

United States: PPI, Federal Reserve's Biege Book, industrial production, existing home sales.

Information contained in this report current as at 10 April 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

On hoping you'll be wrong



Luci Ellis
Chief Economist, Westpac Group

- The economy does not care about your feelings, so forecasts must reflect what you think is the most likely outcome, not necessarily what you wish would happen. This distinction is especially salient now. The outright fall in global fuel supply has different implications than other recent supply shocks, and the outlook for Australia and the world is rough.
- The ceasefire announced this week was obviously welcome, but the question is whether the Strait of Hormuz opens properly. The first 24 hours after the announcement were not promising. But if it does, that would be a better outcome than the baseline forecast update we released last week. We would be happy if our baseline forecast was wrong for this reason.
- The key issue for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

The thing about forecasting is that your preferences do not matter. A baseline scenario is simply what you think is most likely. It is not necessarily what you wish would happen. And of course things could play out differently. It is the role of scenario and risk-sensitivity analysis to articulate these other possible future states of the world.

The disconnect between what you hope will happen and what you think will actually happen is especially salient now. The near-term outlook for Australia is tough: higher inflation, with consumers again squeezed by some combination of higher interest rates, lower income growth and higher unemployment. Things are even worse for many other countries. Australia has been able to leverage its LNG exports to ensure we have – so far – not been left short of other fuels. Many lower-income countries do not have this advantage and have been facing the prospect of shortages and rationing; some of our neighbours in the Pacific are particularly hard-hit.

The economic shock from the Gulf conflict centres on global oil and gas supply. It is different from COVID, when the disruptions were all the way down supply chains. It also differs from the energy shock following Russia's invasion of Ukraine, where the Russian oil and gas supply did not disappear, it just needed time to be redistributed to non-European nations willing to buy it despite the sanctions; the peak decline in

its oil output was [estimated](#) to be around 3 million barrels per day, but the disruption faded quickly. This time around, the oil and gas are not getting out of the Persian Gulf. Some production has been redirected through Saudi pipelines to other ports, but not all of it. Current [estimates](#) are that the net reduction of global production has been 8–9 million barrels per day for oil and one-fifth of pre-war global supply for gas. And at the same time, Russia's output capacity has been reduced by successful Ukrainian attacks on Russian oil infrastructure; news [reports](#) suggest this has cut global output by a further 0.7–1 million barrels per day.

The effect on prices from such a cut to capacity was always going to be severe.

“Forecasts are an assessment of the most likely outcome, not the preferred one.”

News this week that a two-week ceasefire had been agreed was obviously welcome. Assuming it holds well enough to reopen the Strait of Hormuz properly – a big if given the attacks in the 24 hours following its announcement – it would be a better outcome than the baseline update we released last week, and one of the “risks on both sides” we contemplated when we released it. A lasting ceasefire and faster opening up of the Strait would put energy prices on a trajectory between the one we contemplated in last week's baseline, and the one underpinning the forecasts in the March [Market Outlook](#). A return to pre-war prices is unlikely in the short term, though, given the damage to oil and gas infrastructure in the Gulf states and in Russia.

Even if the ceasefire holds well enough that the Strait stays open, a key watchpoint is whether ships enter the Gulf during the next two weeks, not just whether those previously stuck there leave. If ships do not enter, the next wave of production will not be able to be shipped. Supply will sag again a few weeks later and prices will rebound, especially for refined product.

If the ceasefire does not hold, the reprieve on fuel supply will be brief. Trust between the parties is low and Iranian control of the Strait – even jointly with Oman – is an unstable equilibrium that is unacceptable to much of the rest of the world. Even if the ceasefire gets back on track after its rocky start, flare-ups later in the year cannot be ruled out.

The real question for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. On this there is less cause for optimism. While 'temporary fuel levies' are easier to unwind as fuel prices decline, for many products, list prices have been lifted significantly and a reversal seems less likely. Building materials are a particular issue, with the cost of building a detached home increasing as much as 10%, on our preliminary estimates. The lift in pricing has been widespread across industries and in some cases quite large relative to overall inflation trends. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

Our next forecast round, scheduled for release next week, will contemplate both the case where traffic through the Strait remains disrupted and one where the ceasefire holds.

If the ceasefire does hold, downside risks to growth diminish and inflation risks ease. Because of the downstream pass-through to other prices we are already seeing, though, the inflation risks do not disappear and the RBA is still likely to raise the cash rate further. Still, it would be a better outcome than our current published baseline. This would be one of the instances where we would be quite happy to be wrong.

Cliff Notes: ceasefire optimism to be tested

Elliot Clarke, Head of International Economics

Mantas Vanagas, Senior Economist

Ryan Wells, Economist

Ahead of the worst of the current conflict, the [ABS' household spending indicator](#) gained 0.3% in February, in line with January's result and the trend pace of the past two years. Services continued to drive growth overall, aided in particular by holiday-related spending. Goods spending only managed a 0.1% gain, however, remaining weak.

Our Westpac-DataX Card Tracker suggests spending growth is likely to moderate in coming months as higher energy prices and weaker sentiment are felt, though a lasting end to hostilities could ease concern and see households look through some of the [cost shock](#) already in train. Geopolitical considerations are challenging for market participants to digest, let alone households and small business. For these individuals, [in the fulness of time](#), pricing responses and time delays up and down the supply chain could prove as, or more, significant than the energy market dynamics currently being witnessed. Risks for the Australian consumer are therefore likely to linger.

In New Zealand, [the RBNZ](#) maintained the stance of policy as expected. However, our New Zealand team took the commentary to be hawkish, with a particular focus on second-round inflation pressures. The RBNZ's short-term inflation forecast is now 4.2%yr at June 2026, in line with Westpac NZ Economics' 4.1%yr projection. As a result, Westpac's expected timing for the first hike for the coming cycle has been brought forward from December to September 2026, with the risk of a further acceleration if evidence of second-round inflation impacts accumulates.

Further afield, the data flow was concentrated in the US and mixed in tone. Over the Easter long weekend, nonfarm payrolls rebounded 178k in March, bringing the three-month average back up to 68k compared to an average monthly outcome of -8k in the second half of 2025 and 10k over the full year. The unemployment rate was also consistent with labour supply and demand being in balance in March, edging back down to 4.3%. Note though, this outcome was due to a further decline in the participation rate (now down 0.7ppts since April 2025) rather than an increase in household survey employment.

The weak outcomes for employment through late-2025 look to increasingly be affecting household demand – indeed, the downward revision to Q4 GDP to just 0.5% annualised was in part due to sub-par consumption growth (1.9% annualised).

Since the turn of the year, momentum looks to have slowed further, with real personal consumption expenditure up just 0.1% in February after a flat January. With business investment soft and susceptible to downside risks (core goods order growth in Q1-to-date is less than a third of the pace

registered in Q4), US Q1 GDP growth looks likely to maintain a pace well below trend, closer to Q4's third estimate than the 1.3% annualised pace currently projected by the [Atlanta Fed's GDPNow nowcast](#). This is before the sentiment and cost of living shock emanating from the Middle East is felt.

“pricing responses and time delays... could prove as, or more, significant than the energy market dynamics”

The above outcomes are unlikely to materially alter FOMC member's baseline view and overall risk assessment. While the [latest meeting minutes](#) indicate “a vast majority of participants” see “risks to the employment side of the mandate... [as] skewed to the downside”, the labour market is considered to be in good health overall. Active risk assessment is therefore likely to focus more on price uncertainty, both with respect to the initial jump in energy prices and second-round effects which, over time, could build greater persistence into the core inflation pulse. This is not to say that the FOMC will vote on hiking interest rates anytime soon, in contrast to the RBA and RBNZ, but it likely means debate over a need to cut further will be deferred for the foreseeable future.

A hawkish RBNZ is prepared to act decisively



Kelly Eckhold
Chief Economist NZ

Views on the likely duration and the severity of the war waxed and waned over the week as markets wavered between the prospect of an end to a civilization (as mooted by President Trump) and the alternative of world peace in our time. The reality remains cloudy and the prospects of a long bumpy road ahead remain the base case. This week the RBNZ channelled these themes of uncertainty and the prospect of potentially longer-lived inflationary impacts, by delivering a hawkish hold. We brought forward our view of when the OCR will begin to normalise and have further fine-tuned how the overall tightening cycle may evolve.

The Iran war and its impacts on New Zealand remained front and centre this week. It's very well understood that the impact will critically depend on the size and duration of the disruption to global energy supply. And this week we saw the full gamut of possibilities on how the war could impact on New Zealand. Businesses and consumers have taken an initial pessimistic view of how the war will impact the operating environment. The questions now are whether those views will be borne out and just how far off course will inflation be knocked and for how long.

The early part of the week was dominated by Trump's Tuesday deadline to Iran to reopen the Straits of Hormuz to traffic or suffer devastating attacks on civilian infrastructure. Fortunately (and as frankly had seemed most likely) cooler heads prevailed, with a hastily arranged cease-fire "deal" announced that at the least allows for a couple of weeks of breathing space for further negotiations towards a permanent truce to occur. That at least is an advance on where we have been in the last six weeks, which had seen little evidence that discussions were even occurring between key players in Iran, Israel and the US. Initial negotiations will take place this weekend and reports concerning these will help determine the tone when markets reopen on Monday.

News of the ceasefire has seen a marked reduction in the risk premia evident in oil and refined products markets, resulting in a fall in prices. However, we think that the reality around the opposing parties' views on the "deal" means the prospect for a quick resolution of the situation looks low. As we stand today nothing has really changed in terms of New Zealand's medium-term fuel security situation as no meaningful increase in tanker flows out the Persian Gulf is occurring. That said, news that Asian refineries are securing crude feedstock from elsewhere – notably the US – was welcome. This would appear to lower the near-term risk of interruption to fuel inflows into New Zealand. This provides breathing space for the government to work on additional storage options and to fine-tune plans for the hopefully unlikely situation where interventions to allocate scarce fuel stocks become necessary.

This week the RBNZ channelled the themes of uncertainty about the outlook, but also realism on just how long-lasting the impact of the war might have on the economy and inflation outlook. The tone of the RBNZ's commentary shifted from the relatively sanguine approach that Governor Breman had communicated a couple of weeks ago. We signalled in our [OCR preview](#) that such a shift could be in the offing as the broader MPC had a greater opportunity to weigh in. And it seems the MPC was presented some initial forecasts which showed a markedly higher inflation profile was in the offing.

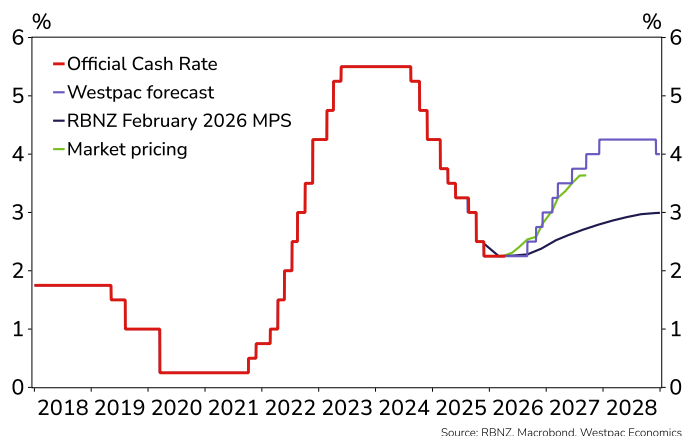
The MPC seems to have separated into a couple of camps: a more hawkish group that sees an argument for a proactive approach to lean against potentially persistent inflation pressures with a higher OCR from perhaps in May or July; and a more dovish camp that's happier to take more time to assess given the possibility that the activity implications of the oil shock could dampen inflation over the medium term. That latter group might perhaps be happier to wait until later in the year before beginning to raise rates, but even among this group there seems no appetite for OCR cuts. Hence, as it was before the Iran war, the issue for the MPC is when, not if, to tighten.

One interesting tidbit from the RBNZ's communications was the sense that coming into the war the economy was gathering momentum following a slightly disappointing December quarter. The RBNZ retains optimism that economic momentum won't be unduly undermined by the war given the assumption that it will be over relatively soon. Certainly, some of the data seemed to support that optimism given that the Business NZ PMI for March showed resilience by falling only modestly, although understandably respondents expressed more concerns in the comments submitted with their responses. The ANZ's Heavy Traffic Index – a measure of commercial traffic flows – was also resilient in March, although light traffic volumes declined, likely reflecting higher fuel prices. We also notice that weekly filled jobs trends continued to track in line with year earlier levels through March, suggesting that any job shedding due to the war has not started.

This more hawkish take from the MPC prompted us to bring forward when we expect OCR increases to begin, from December to September 2026. We expect 25bp interest rate hikes at each meeting from then until the OCR reaches 3.5% – at which point the OCR will be firmly in the neutral zone from the RBNZ's perspective. After then, the outlook is cloudier and we expect a slower approach where the OCR increases at Monetary Policy Statements only and the pace of tightening accordingly slows. We continue to believe that the same shape

of the latter part of the interest rate cycle where the OCR rises above our assessment of neutral (which remains at 3.75%), peaking at 4.25% in December 2027 and remaining at 4.25% through 2028 before returning to 3.75% in 2029. Hence, we have brought forward our OCR profile by two meetings.

RBNZ Official Cash Rate



There is a lot of uncertainty about how the economic outlook will play out for obvious reasons. Hence, we think that it's easier to break down the entire interest rate cycle into two components: the initial move of the OCR from stimulatory levels to the neutral zone; and then what happens from there. For now, we suspect it will be easier to get a handle on the first part of the cycle. And indeed, the bar to starting the lift-off of the OCR towards neutral levels is likely a lot lower than moving the OCR above neutral and beyond.

The key focus for the MPC seems to be what the high-frequency data can tell them about the peak in inflation, but especially how persistent inflation pressures are likely to be. Top of mind are indicators of inflation expectations (especially medium-term expectations), firm pricing behaviour and wage growth trends. The reality is that little will be learned about wage setting trends for some time – and indeed stronger wage growth if in the offing is more likely a 2027 than a 2026 story. So, the focus should be on what we can learn from the monthly inflation expectations surveys, the Quarterly Survey of Business Opinion and monthly Selected Price Indices to see if there are signs of broad and potentially persistent inflation pressures.

Looking to the week ahead, there are several data releases to watch. On Monday, we'll get the March Business NZ PSI which will provide a snapshot of how the service sector has been tracking coming into the current period. Later in the week, we'll get updates on migration and house sales. The latter is likely to show that house price growth has remained muted, with abundant supply and upward pressure on borrowing costs keeping a lid on prices.

On Friday we'll get updates on both selected consumer prices and retail spending for March. Those releases will warrant close attention, with the impacts of the Middle East conflict likely to be evident. On retail spending, we're expecting a fuel-related rise in spending as prices rocketed higher over the month and many people rushed to fill their tanks ahead of further price increases. However, increased spending on essentials like fuel and groceries is weighing on spending in other areas such as hospitality. As a result, core (ex-fuel) spending is likely to be down. On the price front, March's Selected Prices update will show a sharp rise in fuel costs. The big question is how those costs are rippling through the economy more broadly. The full impact of those indirect fuel price rises won't be evident until later this year. However, we will see some early impacts, with airlines announcing large increases in domestic and international airfares during the month.

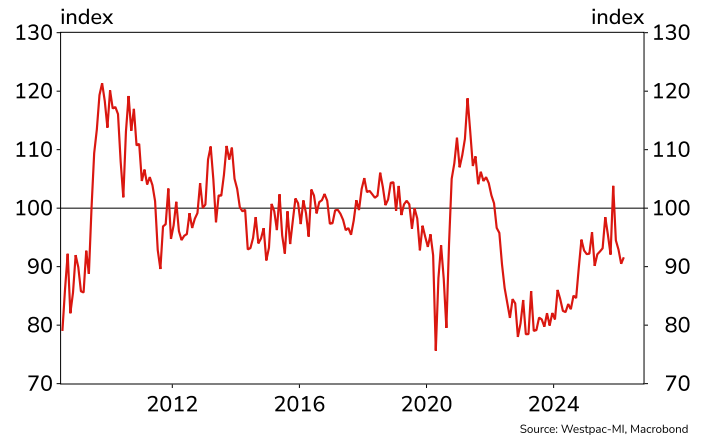
AUS: Apr Westpac-MI Consumer Sentiment (index)

Apr 14, Last: 91.6

Consumer sentiment edged 1.2% higher to 91.6 in March from 90.5 in February. The survey was conducted in the first week of the month, during the initial outbreak of conflict in the Middle East but prior to the RBA's 25bp rate hike in the third week of the month. While the survey as a whole showed a slight improvement, daily responses showed a material weakening over the course of the survey week with responses captured in the last three days of the week consistent with an index read of just 84.

The April survey is in the field over the week ending April 11. It will almost certainly show a decline with the Middle East conflict escalating (albeit with a ceasefire announced on April 8) and big spike in fuel prices (up +44c a litre vs last month). With last month's RBA rate hike and wider inflation fears also in the mix, sentiment looks primed for a sizeable fall.

Consumer Sentiment Index



AUS: Mar Labour Force – Employment Change (000s)

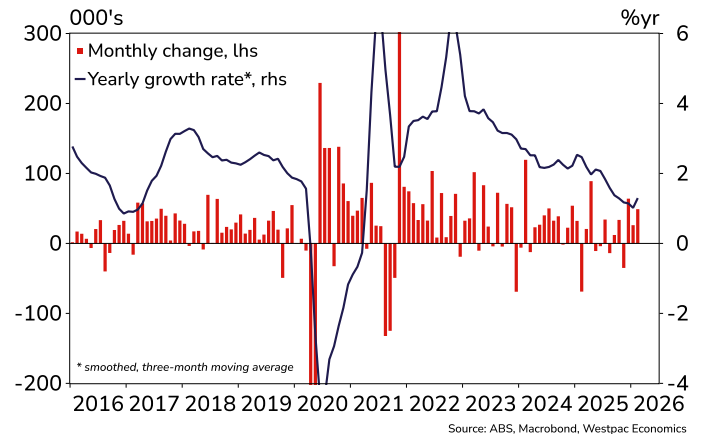
Apr 16, Last: 48.9, Westpac f/c: 25
Market f/c: 20.0, Range: 5.0 to 35.0

Feb's gain in employment was firmer than expected, but it was partly a result of a shift in seasonal patterns around marginally attached workers, resulting in softer Jan reads and stronger Feb reads for employment.

Having now moved past this seasonal dynamic, we have pencilled in a lift in employment of +25k for March – slightly firmer than the average gain over the preceding twelve months, reflecting the pre-conflict trend of firming employment growth.

The March survey was in the field from March 1 to 14. This will garner significant interest given it is the first official economic data release that overlaps the Middle East conflict. However, it is far too early to detect any meaningful shift in broad labour market conditions in response. See our preview [here](#).

Employment growth moving past its trough



AUS: Mar Labour Force – Unemployment Rate (%)

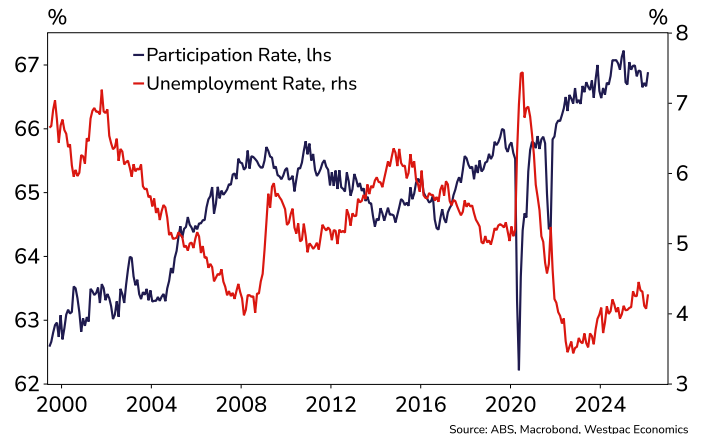
Apr 16, Last: 4.3, Westpac f/c: 4.2
Market f/c: 4.3, Range: 4.2 to 4.4

The unemployment rate lifted from 4.1% over Dec/Jan to 4.3% in Feb, taking it back to the levels seen through most of the second half of last year. The increase was mainly due to a lift in the participation rate, from 66.7% to 66.9%.

Lower prints for unemployment around in Dec/Jan came from lower labour force participation – while employment growth was weak, growth in the size of the labour force was even weaker, resulting in apparent 're-tightening'.

For March, we have pencilled in a slight dip in the participation rate to 66.8%, seeing the unemployment rate tick down to 4.2%. Looking further ahead, we think the unemployment rate will rise to 5% by year-end. See our preview [here](#).

Participation and unemployment rates lift

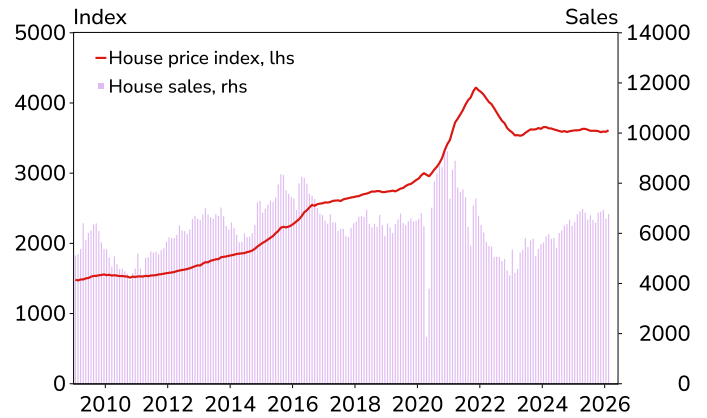


NZ: Mar REINZ House Sales and Prices (%yr)

Apr 15, Sales last: 0.3, Prices last: 0.0

February was a perkier month for the housing market, with a lift in the number of sales and a 0.6% seasonally adjusted rise in prices. However, neither measure has escaped from the generally sideways trend of the last year or so. Low mortgage rates are supporting demand, but the ample supply of homes on the market, low population growth and falling rents mean that there is a lack of pressure on house prices. The move higher in fixed-term mortgage rates in recent months has likely weighed on investor sentiment as well.

REINZ house sales and prices

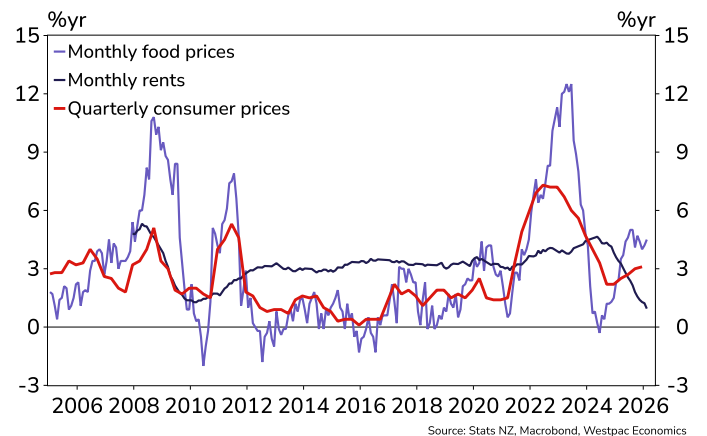


NZ: Mar Selected Prices (%mth)

Apr 17

The SPI covers around 50% of the full CPI (out 21 April) and will provide an early read on how the Middle East conflict has affected inflation pressures. Petrol prices are estimated to be up 20% over the past month with diesel prices up 50%. Importantly, those higher fuel prices have been flowing through to other prices. While the full impact of those indirect price rises won't be evident until later this year, March did see large increases in domestic and international airfares. There could be some related softness in other prices, like holiday accommodation, but that would only offset a small proportion of the other cost increases were seeing. On the housing front, we're expecting to see continued softness in rents.

NZ selected consumer prices

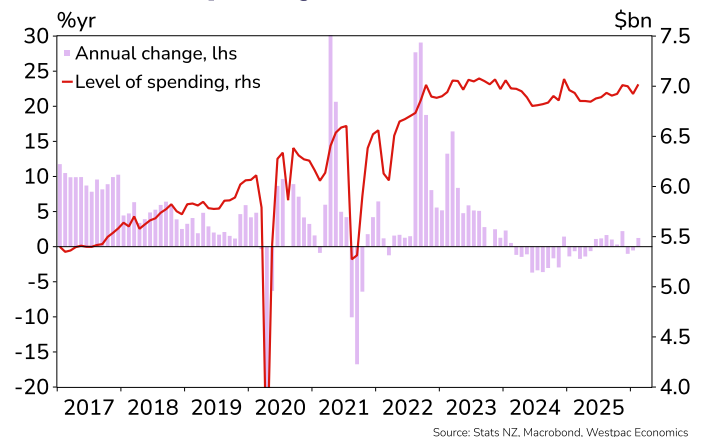


NZ: Mar Retail Card Spending (%mth)

Apr 17, Last: 1.4, Westpac: 0.5

We're expecting a 0.5% rise in retail card spending in March. But underlying that is an ugly breakdown of spending across categories. Underpinning the expected rise in spending is the large increases in petrol and diesel prices over the past month as a result of the Middle East war. We also saw households rushing to fill tanks and keep them full. We're also expecting a pick-up in grocery food spending, in part due to concerns about shortages which saw some households stocking up. However, core spending (ex fuel) is likely to be down over the month, with higher fuel prices and increased spending on essentials likely to see households reining in their spending in discretionary areas. In particular, we expect a sharp fall in hospitality spending.

NZ retail card spending



China: Q1 GDP

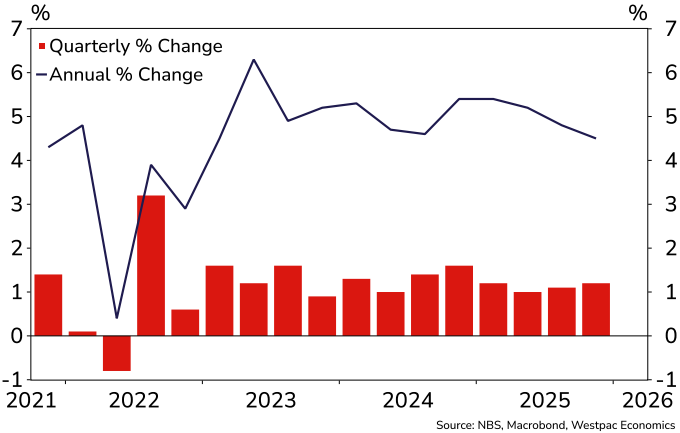
Apr 16, %y/y, Last: 4.5%, Mkt f/c: 4.8%, WBC f/c: 4.8%

China's authorities achieved their 5.0% growth ambition in 2025, albeit with an abnormally large contribution from net exports and despite persistent weakness in household demand. Given the scale of their trade surplus and China's dominant position in global manufacturing, such a feat will be very difficult to repeat in 2026 and beyond.

This year, growth is likely to be softer, closer to 4.5% than 5.0%, and will increasingly rely on the consumer and domestically-focused investment (housing and infrastructure) as trade provides support only at the margin.

In getting a read on growth opportunities in 2026, the monthly activity data to March will be as important as the GDP detail. This is true both for the baseline view and the risks.

2025 target achieved; 2026 at risk



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 13							
NZ	Mar	BusinessNZ PSI	index	48.0	–	–	Began the year on a contractionary heading.
Jpn		BoJ Governor Ueda	–	–	–	–	Speaking at Trust Companies Conference.
US	Mar	Existing Home Sales	%mth	1.7	0.1	–	Low turnover in established market reflects rate pressures.
Tue 14							
Aus		RBA Deputy Governor Hauser	–	–	–	–	Fireside chat at NYU, at 8:45am AEST.
	Apr	Westpac–MI Consumer Sentiment	index	91.6	–	–	Will capture the full reaction to US-Iran oil price shock.
	Mar	NAB Business Conditions	index	7	–	–	Conditions on shaky footing, confidence evaporating.
NZ	Feb	Net Migration	no.	4460	–	–	Recent signs of an uptick, though data is prone to revisions.
Jpn	Feb	Industrial Production	%mth	–2.1	–	–	Final estimate.
US	Mar	NFIB Small Business Optimism	index	98.8	–	–	Acute risks facing small businesses amid uncertainty.
	Mar	PPI	%mth	0.7	1.2	–	Wholesale inflation already lifting pre-conflict.
		Fedspeak	–	–	–	–	Goolsbee.
Wed 15							
NZ	Mar	REINZ House Prices	%yr	0.0	–	–	Prices remain muted despite low mortgage rates...
	Mar	REINZ House Sales	%yr	0.3	–	–	...with an ample supply of homes available for sale.
Jpn	Feb	Core Machinery Orders	%mth	–5.5	–1.1	–	Exceptionally volatile, but was on a firmer footing pre-conflict.
Eur	Feb	Industrial Production	%mth	–1.5	0.4	–	PMIs pointing to a slowdown in industrial activity.
US	Apr	Fed Empire State Manuf Survey	index	–0.2	–	–	Blizzards impact, but high-tech skew is paying dividends.
	Mar	Import Price Index	%ann	1.3	–	–	Headline vs. ex petroleum will give sense of scale.
	Apr	NAHB Housing Market	index	18.1	–	–	Surge in fuel costs rubs salt in the wound for homebuilders.
		Federal Reserve's Beige Book	–	–	–	–	Update on conditions across the districts.
		Fedspeak	–	–	–	–	Bowman.
Thu 16							
Aus		RBA Deputy Governor Hauser	–	–	–	–	Panel participation at IIF Forum, 6:00am AEST.
	Apr	MI Inflation Expectations	%ann	5.2	–	–	Fuel price shock is salient to consumers.
	Mar	Employment Change	000s	48.9	20.0	25	The first 'hard' economic data since conflict begun, but it ...
	Mar	Unemployment Rate	%	4.3	4.3	4.2	... will take longer for labour market weakening to take hold.
		RBA Assistant Governor Hunter	–	–	–	–	Panel participation at IMF Spring Meetings, 4:30am AEST.
Chn	Q1	GDP	%ann	4.5	4.8	4.8	Growth expected to remain sub-5% on an annual basis.
	Mar	Retail Sales	ytd %yr	2.8	–	–	Lunar New Year muddies the read on local consumption ...
	Mar	Industrial Production	ytd %yr	6.3	–	–	... but its clear that foreign demand remains a key support.
	Mar	Fixed Asset Investment	ytd %yr	1.8	2.0	–	Cooling in high-tech manufacturing investment largely done.
Eur	Mar	HICP Inflation	%ann	2.5	2.5	–	Final estimate.
UK	Feb	Monthly GDP	%mth	0.0	–	–	Shaky start to the year, before conflict impacts.
US		Initial Jobless Claims	000s	–	–	–	Still at a low level versus history.
	Apr	Phily Fed Manufacturing	index	18.1	–	–	Continues to outperform all other regions.
	Mar	Industrial Production	%mth	0.2	0.1	–	Set to slow near-term given fuel intensity of industry.
		Fedspeak	–	–	–	–	Williams.
Fri 17							
Aus	Q1	Westpac-Now	%qtr	0.6	–	–	Refined Q1 GDP growth nowcast.
NZ	Mar	Selected Price Indices - Food	%mth	–0.1	–	0.3	Grocery food price pushing higher.
	Mar	Selected Price Indices - Rents	%mth	–0.1	–	0.1	Very weak, with the demand-supply balance favouring tenants.
	Mar	Retail Card Spending	%mth	1.4	–	0.5	Core spending to fall, as higher fuel price constrain spending.
Eur	Feb	Trade Balance	€bn	12.1	–	–	Maintaining a solid surplus despite trade disputes.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (10 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.65	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.66	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	4.97	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	67	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.30	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.54	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.49	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.69	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	39	45	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (10 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.7069	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5848	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.25	156	155	154	152	150	148	146	144	142
EUR/USD	1.1690	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3418	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8320	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2089	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.1	3.3
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

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Week beginning 13 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: On hoping you'll be wrong.

The Week That Was: Ceasefire optimism to be tested.

Focus on New Zealand: A hawkish RBNZ is prepared to act decisively.

For the week ahead:

Australia: Unemployment rate, employment change, Westpac-MI consumer sentiment, Westpac-Now.

New Zealand: Retail card spending, selected price indices, REINZ house sales and prices, net migration.

Japan: Industrial production.

China: GDP, fixed asset investment, industrial production, retail sales.

Euro area: HICP inflation, trade balance, industrial production.

UK: Monthly GDP.

United States: PPI, Federal Reserve's Biege Book, industrial production, existing home sales.

Information contained in this report current as at 10 April 2026.

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On hoping you'll be wrong



Luci Ellis
Chief Economist, Westpac Group

- The economy does not care about your feelings, so forecasts must reflect what you think is the most likely outcome, not necessarily what you wish would happen. This distinction is especially salient now. The outright fall in global fuel supply has different implications than other recent supply shocks, and the outlook for Australia and the world is rough.
- The ceasefire announced this week was obviously welcome, but the question is whether the Strait of Hormuz opens properly. The first 24 hours after the announcement were not promising. But if it does, that would be a better outcome than the baseline forecast update we released last week. We would be happy if our baseline forecast was wrong for this reason.
- The key issue for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

The thing about forecasting is that your preferences do not matter. A baseline scenario is simply what you think is most likely. It is not necessarily what you wish would happen. And of course things could play out differently. It is the role of scenario and risk-sensitivity analysis to articulate these other possible future states of the world.

The disconnect between what you hope will happen and what you think will actually happen is especially salient now. The near-term outlook for Australia is tough: higher inflation, with consumers again squeezed by some combination of higher interest rates, lower income growth and higher unemployment. Things are even worse for many other countries. Australia has been able to leverage its LNG exports to ensure we have – so far – not been left short of other fuels. Many lower-income countries do not have this advantage and have been facing the prospect of shortages and rationing; some of our neighbours in the Pacific are particularly hard-hit.

The economic shock from the Gulf conflict centres on global oil and gas supply. It is different from COVID, when the disruptions were all the way down supply chains. It also differs from the energy shock following Russia's invasion of Ukraine, where the Russian oil and gas supply did not disappear, it just needed time to be redistributed to non-European nations willing to buy it despite the sanctions; the peak decline in

its oil output was [estimated](#) to be around 3 million barrels per day, but the disruption faded quickly. This time around, the oil and gas are not getting out of the Persian Gulf. Some production has been redirected through Saudi pipelines to other ports, but not all of it. Current [estimates](#) are that the net reduction of global production has been 8–9 million barrels per day for oil and one-fifth of pre-war global supply for gas. And at the same time, Russia's output capacity has been reduced by successful Ukrainian attacks on Russian oil infrastructure; news [reports](#) suggest this has cut global output by a further 0.7–1 million barrels per day.

The effect on prices from such a cut to capacity was always going to be severe.

“Forecasts are an assessment of the most likely outcome, not the preferred one.”

News this week that a two-week ceasefire had been agreed was obviously welcome. Assuming it holds well enough to reopen the Strait of Hormuz properly – a big if given the attacks in the 24 hours following its announcement – it would be a better outcome than the baseline update we released last week, and one of the “risks on both sides” we contemplated when we released it. A lasting ceasefire and faster opening up of the Strait would put energy prices on a trajectory between the one we contemplated in last week's baseline, and the one underpinning the forecasts in the March [Market Outlook](#). A return to pre-war prices is unlikely in the short term, though, given the damage to oil and gas infrastructure in the Gulf states and in Russia.

Even if the ceasefire holds well enough that the Strait stays open, a key watchpoint is whether ships enter the Gulf during the next two weeks, not just whether those previously stuck there leave. If ships do not enter, the next wave of production will not be able to be shipped. Supply will sag again a few weeks later and prices will rebound, especially for refined product.

If the ceasefire does not hold, the reprieve on fuel supply will be brief. Trust between the parties is low and Iranian control of the Strait – even jointly with Oman – is an unstable equilibrium that is unacceptable to much of the rest of the world. Even if the ceasefire gets back on track after its rocky start, flare-ups later in the year cannot be ruled out.

The real question for Australia, and for the domestic interest rate outlook, is how much of the energy price shock is already being passed through to prices of other goods and services. On this there is less cause for optimism. While 'temporary fuel levies' are easier to unwind as fuel prices decline, for many products, list prices have been lifted significantly and a reversal seems less likely. Building materials are a particular issue, with the cost of building a detached home increasing as much as 10%, on our preliminary estimates. The lift in pricing has been widespread across industries and in some cases quite large relative to overall inflation trends. The RBA will be watching for this kind of behaviour, including through its liaison program, and will see it as a further leg up in underlying inflation from a rate that was already higher than desired.

Our next forecast round, scheduled for release next week, will contemplate both the case where traffic through the Strait remains disrupted and one where the ceasefire holds.

If the ceasefire does hold, downside risks to growth diminish and inflation risks ease. Because of the downstream pass-through to other prices we are already seeing, though, the inflation risks do not disappear and the RBA is still likely to raise the cash rate further. Still, it would be a better outcome than our current published baseline. This would be one of the instances where we would be quite happy to be wrong.

Cliff Notes: ceasefire optimism to be tested

Elliot Clarke, Head of International Economics

Mantas Vanagas, Senior Economist

Ryan Wells, Economist

Ahead of the worst of the current conflict, the [ABS' household spending indicator](#) gained 0.3% in February, in line with January's result and the trend pace of the past two years. Services continued to drive growth overall, aided in particular by holiday-related spending. Goods spending only managed a 0.1% gain, however, remaining weak.

Our Westpac-DataX Card Tracker suggests spending growth is likely to moderate in coming months as higher energy prices and weaker sentiment are felt, though a lasting end to hostilities could ease concern and see households look through some of the [cost shock](#) already in train. Geopolitical considerations are challenging for market participants to digest, let alone households and small business. For these individuals, [in the fulness of time](#), pricing responses and time delays up and down the supply chain could prove as, or more, significant than the energy market dynamics currently being witnessed. Risks for the Australian consumer are therefore likely to linger.

In New Zealand, [the RBNZ](#) maintained the stance of policy as expected. However, our New Zealand team took the commentary to be hawkish, with a particular focus on second-round inflation pressures. The RBNZ's short-term inflation forecast is now 4.2%yr at June 2026, in line with Westpac NZ Economics' 4.1%yr projection. As a result, Westpac's expected timing for the first hike for the coming cycle has been brought forward from December to September 2026, with the risk of a further acceleration if evidence of second-round inflation impacts accumulates.

Further afield, the data flow was concentrated in the US and mixed in tone. Over the Easter long weekend, nonfarm payrolls rebounded 178k in March, bringing the three-month average back up to 68k compared to an average monthly outcome of -8k in the second half of 2025 and 10k over the full year. The unemployment rate was also consistent with labour supply and demand being in balance in March, edging back down to 4.3%. Note though, this outcome was due to a further decline in the participation rate (now down 0.7ppts since April 2025) rather than an increase in household survey employment.

The weak outcomes for employment through late-2025 look to increasingly be affecting household demand – indeed, the downward revision to Q4 GDP to just 0.5% annualised was in part due to sub-par consumption growth (1.9% annualised).

Since the turn of the year, momentum looks to have slowed further, with real personal consumption expenditure up just 0.1% in February after a flat January. With business investment soft and susceptible to downside risks (core goods order growth in Q1-to-date is less than a third of the pace

registered in Q4), US Q1 GDP growth looks likely to maintain a pace well below trend, closer to Q4's third estimate than the 1.3% annualised pace currently projected by the [Atlanta Fed's GDPNow nowcast](#). This is before the sentiment and cost of living shock emanating from the Middle East is felt.

“pricing responses and time delays... could prove as, or more, significant than the energy market dynamics”

The above outcomes are unlikely to materially alter FOMC member's baseline view and overall risk assessment. While the [latest meeting minutes](#) indicate “a vast majority of participants” see “risks to the employment side of the mandate... [as] skewed to the downside”, the labour market is considered to be in good health overall. Active risk assessment is therefore likely to focus more on price uncertainty, both with respect to the initial jump in energy prices and second-round effects which, over time, could build greater persistence into the core inflation pulse. This is not to say that the FOMC will vote on hiking interest rates anytime soon, in contrast to the RBA and RBNZ, but it likely means debate over a need to cut further will be deferred for the foreseeable future.

A hawkish RBNZ is prepared to act decisively



Kelly Eckhold
Chief Economist NZ

Views on the likely duration and the severity of the war waxed and waned over the week as markets wavered between the prospect of an end to a civilization (as mooted by President Trump) and the alternative of world peace in our time. The reality remains cloudy and the prospects of a long bumpy road ahead remain the base case. This week the RBNZ channelled these themes of uncertainty and the prospect of potentially longer-lived inflationary impacts, by delivering a hawkish hold. We brought forward our view of when the OCR will begin to normalise and have further fine-tuned how the overall tightening cycle may evolve.

The Iran war and its impacts on New Zealand remained front and centre this week. It's very well understood that the impact will critically depend on the size and duration of the disruption to global energy supply. And this week we saw the full gamut of possibilities on how the war could impact on New Zealand. Businesses and consumers have taken an initial pessimistic view of how the war will impact the operating environment. The questions now are whether those views will be borne out and just how far off course will inflation be knocked and for how long.

The early part of the week was dominated by Trump's Tuesday deadline to Iran to reopen the Straits of Hormuz to traffic or suffer devastating attacks on civilian infrastructure. Fortunately (and as frankly had seemed most likely) cooler heads prevailed, with a hastily arranged cease-fire "deal" announced that at the least allows for a couple of weeks of breathing space for further negotiations towards a permanent truce to occur. That at least is an advance on where we have been in the last six weeks, which had seen little evidence that discussions were even occurring between key players in Iran, Israel and the US. Initial negotiations will take place this weekend and reports concerning these will help determine the tone when markets reopen on Monday.

News of the ceasefire has seen a marked reduction in the risk premia evident in oil and refined products markets, resulting in a fall in prices. However, we think that the reality around the opposing parties' views on the "deal" means the prospect for a quick resolution of the situation looks low. As we stand today nothing has really changed in terms of New Zealand's medium-term fuel security situation as no meaningful increase in tanker flows out the Persian Gulf is occurring. That said, news that Asian refineries are securing crude feedstock from elsewhere – notably the US – was welcome. This would appear to lower the near-term risk of interruption to fuel inflows into New Zealand. This provides breathing space for the government to work on additional storage options and to fine-tune plans for the hopefully unlikely situation where interventions to allocate scarce fuel stocks become necessary.

This week the RBNZ channelled the themes of uncertainty about the outlook, but also realism on just how long-lasting the impact of the war might have on the economy and inflation outlook. The tone of the RBNZ's commentary shifted from the relatively sanguine approach that Governor Breman had communicated a couple of weeks ago. We signalled in our [OCR preview](#) that such a shift could be in the offing as the broader MPC had a greater opportunity to weigh in. And it seems the MPC was presented some initial forecasts which showed a markedly higher inflation profile was in the offing.

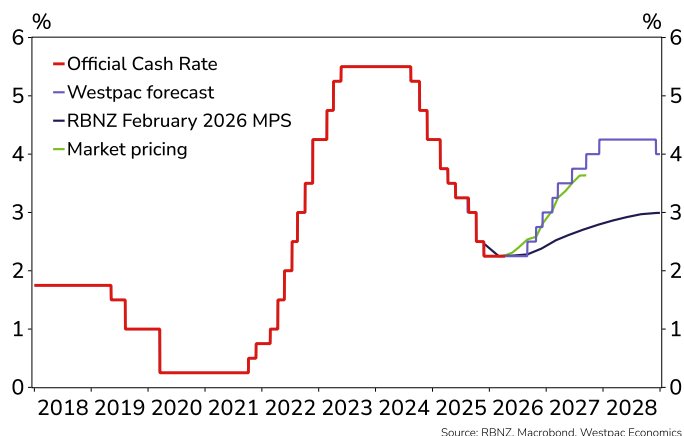
The MPC seems to have separated into a couple of camps: a more hawkish group that sees an argument for a proactive approach to lean against potentially persistent inflation pressures with a higher OCR from perhaps in May or July; and a more dovish camp that's happier to take more time to assess given the possibility that the activity implications of the oil shock could dampen inflation over the medium term. That latter group might perhaps be happier to wait until later in the year before beginning to raise rates, but even among this group there seems no appetite for OCR cuts. Hence, as it was before the Iran war, the issue for the MPC is when, not if, to tighten.

One interesting tidbit from the RBNZ's communications was the sense that coming into the war the economy was gathering momentum following a slightly disappointing December quarter. The RBNZ retains optimism that economic momentum won't be unduly undermined by the war given the assumption that it will be over relatively soon. Certainly, some of the data seemed to support that optimism given that the Business NZ PMI for March showed resilience by falling only modestly, although understandably respondents expressed more concerns in the comments submitted with their responses. The ANZ's Heavy Traffic Index – a measure of commercial traffic flows – was also resilient in March, although light traffic volumes declined, likely reflecting higher fuel prices. We also notice that weekly filled jobs trends continued to track in line with year earlier levels through March, suggesting that any job shedding due to the war has not started.

This more hawkish take from the MPC prompted us to bring forward when we expect OCR increases to begin, from December to September 2026. We expect 25bp interest rate hikes at each meeting from then until the OCR reaches 3.5% – at which point the OCR will be firmly in the neutral zone from the RBNZ's perspective. After then, the outlook is cloudier and we expect a slower approach where the OCR increases at Monetary Policy Statements only and the pace of tightening accordingly slows. We continue to believe that the same shape

of the latter part of the interest rate cycle where the OCR rises above our assessment of neutral (which remains at 3.75%), peaking at 4.25% in December 2027 and remaining at 4.25% through 2028 before returning to 3.75% in 2029. Hence, we have brought forward our OCR profile by two meetings.

RBNZ Official Cash Rate



There is a lot of uncertainty about how the economic outlook will play out for obvious reasons. Hence, we think that it's easier to break down the entire interest rate cycle into two components: the initial move of the OCR from stimulatory levels to the neutral zone; and then what happens from there. For now, we suspect it will be easier to get a handle on the first part of the cycle. And indeed, the bar to starting the lift-off of the OCR towards neutral levels is likely a lot lower than moving the OCR above neutral and beyond.

The key focus for the MPC seems to be what the high-frequency data can tell them about the peak in inflation, but especially how persistent inflation pressures are likely to be. Top of mind are indicators of inflation expectations (especially medium-term expectations), firm pricing behaviour and wage growth trends. The reality is that little will be learned about wage setting trends for some time – and indeed stronger wage growth if in the offing is more likely a 2027 than a 2026 story. So, the focus should be on what we can learn from the monthly inflation expectations surveys, the Quarterly Survey of Business Opinion and monthly Selected Price Indices to see if there are signs of broad and potentially persistent inflation pressures.

Looking to the week ahead, there are several data releases to watch. On Monday, we'll get the March Business NZ PSI which will provide a snapshot of how the service sector has been tracking coming into the current period. Later in the week, we'll get updates on migration and house sales. The latter is likely to show that house price growth has remained muted, with abundant supply and upward pressure on borrowing costs keeping a lid on prices.

On Friday we'll get updates on both selected consumer prices and retail spending for March. Those releases will warrant close attention, with the impacts of the Middle East conflict likely to be evident. On retail spending, we're expecting a fuel-related rise in spending as prices rocketed higher over the month and many people rushed to fill their tanks ahead of further price increases. However, increased spending on essentials like fuel and groceries is weighing on spending in other areas such as hospitality. As a result, core (ex-fuel) spending is likely to be down. On the price front, March's Selected Prices update will show a sharp rise in fuel costs. The big question is how those costs are rippling through the economy more broadly. The full impact of those indirect fuel price rises won't be evident until later this year. However, we will see some early impacts, with airlines announcing large increases in domestic and international airfares during the month.

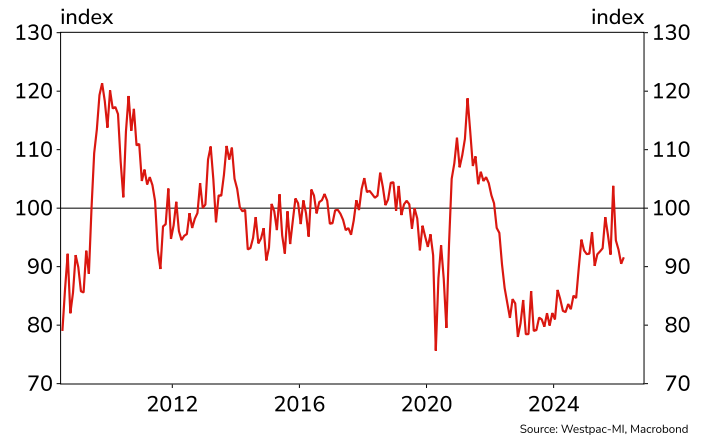
AUS: Apr Westpac-MI Consumer Sentiment (index)

Apr 14, Last: 91.6

Consumer sentiment edged 1.2% higher to 91.6 in March from 90.5 in February. The survey was conducted in the first week of the month, during the initial outbreak of conflict in the Middle East but prior to the RBA's 25bp rate hike in the third week of the month. While the survey as a whole showed a slight improvement, daily responses showed a material weakening over the course of the survey week with responses captured in the last three days of the week consistent with an index read of just 84.

The April survey is in the field over the week ending April 11. It will almost certainly show a decline with the Middle East conflict escalating (albeit with a ceasefire announced on April 8) and big spike in fuel prices (up +44c a litre vs last month). With last month's RBA rate hike and wider inflation fears also in the mix, sentiment looks primed for a sizeable fall.

Consumer Sentiment Index



AUS: Mar Labour Force – Employment Change (000s)

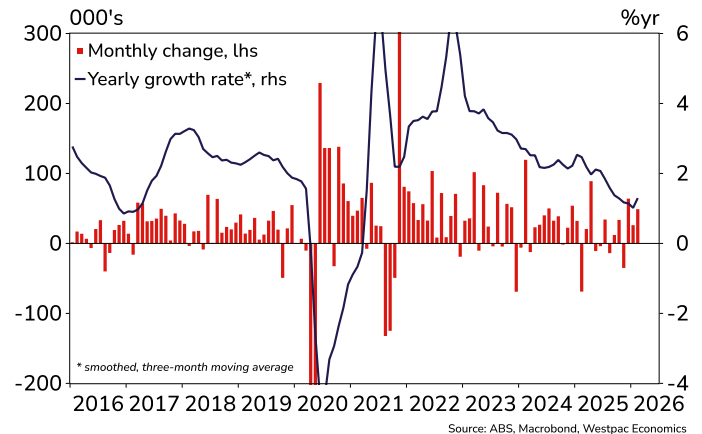
Apr 16, Last: 48.9, Westpac f/c: 25
Market f/c: 20.0, Range: 5.0 to 35.0

Feb's gain in employment was firmer than expected, but it was partly a result of a shift in seasonal patterns around marginally attached workers, resulting in softer Jan reads and stronger Feb reads for employment.

Having now moved past this seasonal dynamic, we have pencilled in a lift in employment of +25k for March – slightly firmer than the average gain over the preceding twelve months, reflecting the pre-conflict trend of firming employment growth.

The March survey was in the field from March 1 to 14. This will garner significant interest given it is the first official economic data release that overlaps the Middle East conflict. However, it is far too early to detect any meaningful shift in broad labour market conditions in response. See our preview [here](#).

Employment growth moving past its trough



AUS: Mar Labour Force – Unemployment Rate (%)

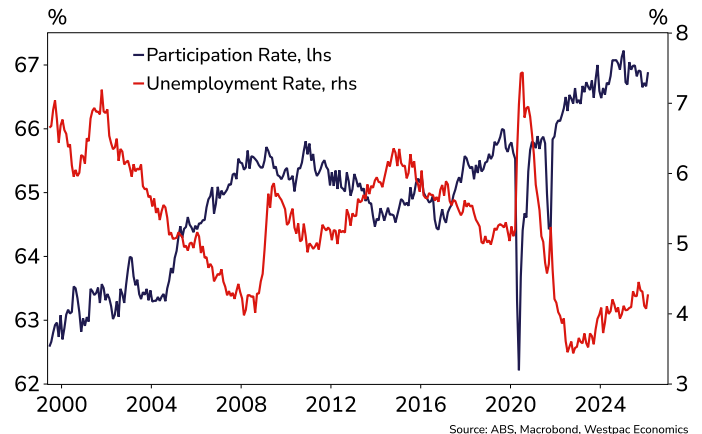
Apr 16, Last: 4.3, Westpac f/c: 4.2
Market f/c: 4.3, Range: 4.2 to 4.4

The unemployment rate lifted from 4.1% over Dec/Jan to 4.3% in Feb, taking it back to the levels seen through most of the second half of last year. The increase was mainly due to a lift in the participation rate, from 66.7% to 66.9%.

Lower prints for unemployment around in Dec/Jan came from lower labour force participation – while employment growth was weak, growth in the size of the labour force was even weaker, resulting in apparent 're-tightening'.

For March, we have pencilled in a slight dip in the participation rate to 66.8%, seeing the unemployment rate tick down to 4.2%. Looking further ahead, we think the unemployment rate will rise to 5% by year-end. See our preview [here](#).

Participation and unemployment rates lift

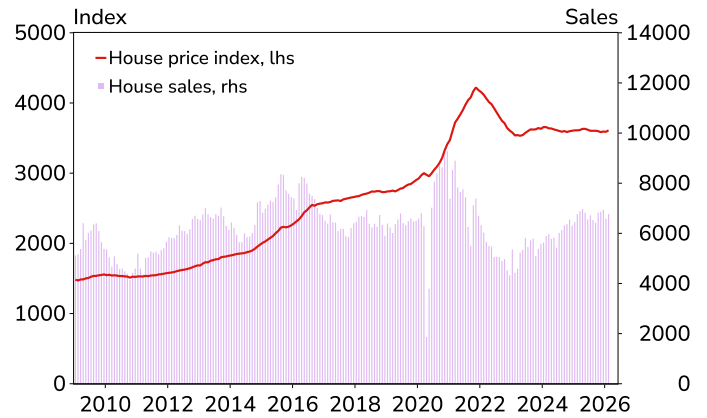


NZ: Mar REINZ House Sales and Prices (%yr)

Apr 15, Sales last: 0.3, Prices last: 0.0

February was a perkier month for the housing market, with a lift in the number of sales and a 0.6% seasonally adjusted rise in prices. However, neither measure has escaped from the generally sideways trend of the last year or so. Low mortgage rates are supporting demand, but the ample supply of homes on the market, low population growth and falling rents mean that there is a lack of pressure on house prices. The move higher in fixed-term mortgage rates in recent months has likely weighed on investor sentiment as well.

REINZ house sales and prices

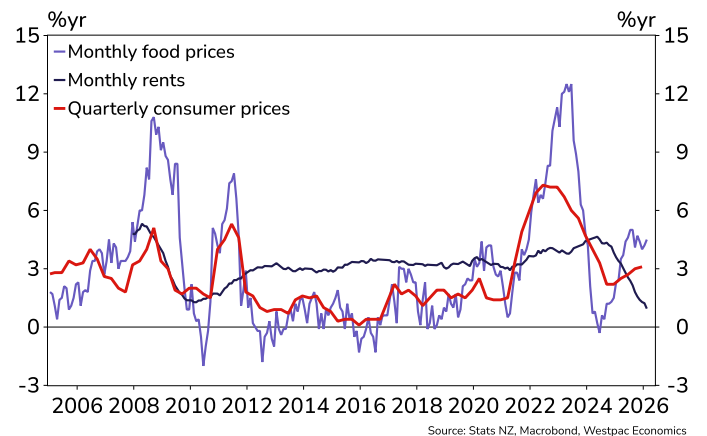


NZ: Mar Selected Prices (%mth)

Apr 17

The SPI covers around 50% of the full CPI (out 21 April) and will provide an early read on how the Middle East conflict has affected inflation pressures. Petrol prices are estimated to be up 20% over the past month with diesel prices up 50%. Importantly, those higher fuel prices have been flowing through to other prices. While the full impact of those indirect price rises won't be evident until later this year, March did see large increases in domestic and international airfares. There could be some related softness in other prices, like holiday accommodation, but that would only offset a small proportion of the other cost increases were seeing. On the housing front, we're expecting to see continued softness in rents.

NZ selected consumer prices

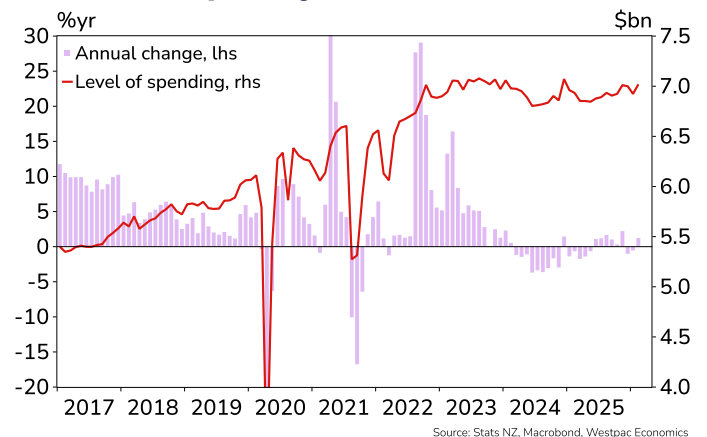


NZ: Mar Retail Card Spending (%mth)

Apr 17, Last: 1.4, Westpac: 0.5

We're expecting a 0.5% rise in retail card spending in March. But underlying that is an ugly breakdown of spending across categories. Underpinning the expected rise in spending is the large increases in petrol and diesel prices over the past month as a result of the Middle East war. We also saw households rushing to fill tanks and keep them full. We're also expecting a pick-up in grocery food spending, in part due to concerns about shortages which saw some households stocking up. However, core spending (ex fuel) is likely to be down over the month, with higher fuel prices and increased spending on essentials likely to see households reining in their spending in discretionary areas. In particular, we expect a sharp fall in hospitality spending.

NZ retail card spending



China: Q1 GDP

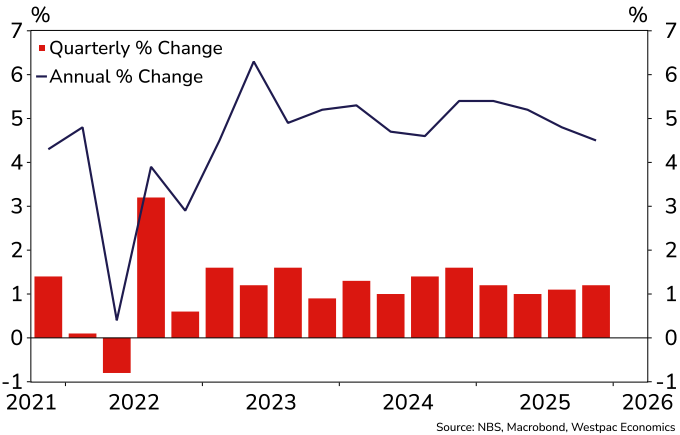
Apr 16, %y/y, Last: 4.5%, Mkt f/c: 4.8%, WBC f/c: 4.8%

China’s authorities achieved their 5.0% growth ambition in 2025, albeit with an abnormally large contribution from net exports and despite persistent weakness in household demand. Given the scale of their trade surplus and China’s dominant position in global manufacturing, such a feat will be very difficult to repeat in 2026 and beyond.

This year, growth is likely to be softer, closer to 4.5% than 5.0%, and will increasingly rely on the consumer and domestically-focused investment (housing and infrastructure) as trade provides support only at the margin.

In getting a read on growth opportunities in 2026, the monthly activity data to March will be as important as the GDP detail. This is true both for the baseline view and the risks.

2025 target achieved; 2026 at risk



What to watch

For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 13						
NZ	Mar	BusinessNZ PSI	index	48.0	–	– Began the year on a contractionary heading.
Jpn		BoJ Governor Ueda	–	–	–	– Speaking at Trust Companies Conference.
US	Mar	Existing Home Sales	%mth	1.7	0.1	– Low turnover in established market reflects rate pressures.
Tue 14						
Aus		RBA Deputy Governor Hauser	–	–	–	– Fireside chat at NYU, at 8:45am AEST.
	Apr	Westpac–MI Consumer Sentiment	index	91.6	–	– Will capture the full reaction to US-Iran oil price shock.
	Mar	NAB Business Conditions	index	7	–	– Conditions on shaky footing, confidence evaporating.
NZ	Feb	Net Migration	no.	4460	–	– Recent signs of an uptick, though data is prone to revisions.
Jpn	Feb	Industrial Production	%mth	–2.1	–	– Final estimate.
US	Mar	NFIB Small Business Optimism	index	98.8	–	– Acute risks facing small businesses amid uncertainty.
	Mar	PPI	%mth	0.7	1.2	– Wholesale inflation already lifting pre-conflict.
		Fedspeak	–	–	–	– Goolsbee.
Wed 15						
NZ	Mar	REINZ House Prices	%yr	0.0	–	– Prices remain muted despite low mortgage rates...
	Mar	REINZ House Sales	%yr	0.3	–	– ...with an ample supply of homes available for sale.
Jpn	Feb	Core Machinery Orders	%mth	–5.5	–1.1	– Exceptionally volatile, but was on a firmer footing pre-conflict.
Eur	Feb	Industrial Production	%mth	–1.5	0.4	– PMIs pointing to a slowdown in industrial activity.
US	Apr	Fed Empire State Manuf Survey	index	–0.2	–	– Blizzards impact, but high-tech skew is paying dividends.
	Mar	Import Price Index	%ann	1.3	–	– Headline vs. ex petroleum will give sense of scale.
	Apr	NAHB Housing Market	index	18.1	–	– Surge in fuel costs rubs salt in the wound for homebuilders.
		Federal Reserve's Beige Book	–	–	–	– Update on conditions across the districts.
		Fedspeak	–	–	–	– Bowman.
Thu 16						
Aus		RBA Deputy Governor Hauser	–	–	–	– Panel participation at IIF Forum, 6:00am AEST.
	Apr	MI Inflation Expectations	%ann	5.2	–	– Fuel price shock is salient to consumers.
	Mar	Employment Change	000s	48.9	20.0	25 The first 'hard' economic data since conflict begun, but it ...
	Mar	Unemployment Rate	%	4.3	4.3	4.2 ... will take longer for labour market weakening to take hold.
		RBA Assistant Governor Hunter	–	–	–	– Panel participation at IMF Spring Meetings, 4:30am AEST.
Chn	Q1	GDP	%ann	4.5	4.8	4.8 Growth expected to remain sub-5% on an annual basis.
	Mar	Retail Sales	ytd %yr	2.8	–	– Lunar New Year muddies the read on local consumption ...
	Mar	Industrial Production	ytd %yr	6.3	–	– ... but its clear that foreign demand remains a key support.
	Mar	Fixed Asset Investment	ytd %yr	1.8	2.0	– Cooling in high-tech manufacturing investment largely done.
Eur	Mar	HICP Inflation	%ann	2.5	2.5	– Final estimate.
UK	Feb	Monthly GDP	%mth	0.0	–	– Shaky start to the year, before conflict impacts.
US		Initial Jobless Claims	000s	–	–	– Still at a low level versus history.
	Apr	Phily Fed Manufacturing	index	18.1	–	– Continues to outperform all other regions.
	Mar	Industrial Production	%mth	0.2	0.1	– Set to slow near-term given fuel intensity of industry.
		Fedspeak	–	–	–	– Williams.
Fri 17						
Aus	Q1	Westpac-Now	%qtr	0.6	–	– Refined Q1 GDP growth nowcast.
NZ	Mar	Selected Price Indices - Food	%mth	–0.1	–	0.3 Grocery food price pushing higher.
	Mar	Selected Price Indices - Rents	%mth	–0.1	–	0.1 Very weak, with the demand-supply balance favouring tenants.
	Mar	Retail Card Spending	%mth	1.4	–	0.5 Core spending to fall, as higher fuel price constrain spending.
Eur	Feb	Trade Balance	€bn	12.1	–	– Maintaining a solid surplus despite trade disputes.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (10 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.32	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.65	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.66	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	4.97	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	67	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.30	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25
90 Day Bill	2.54	2.50	2.95	3.40	3.75	4.00	4.25	4.45	4.45	4.45
2 Year Swap	3.49	3.75	4.05	4.30	4.40	4.40	4.40	4.35	4.30	4.25
10 Year Bond	4.69	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	39	45	55	55	55	55	50	45	40	35

Exchange rate forecasts

	Latest (10 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.7069	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5848	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.25	156	155	154	152	150	148	146	144	142
EUR/USD	1.1690	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3418	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8320	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2089	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.1	3.3
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

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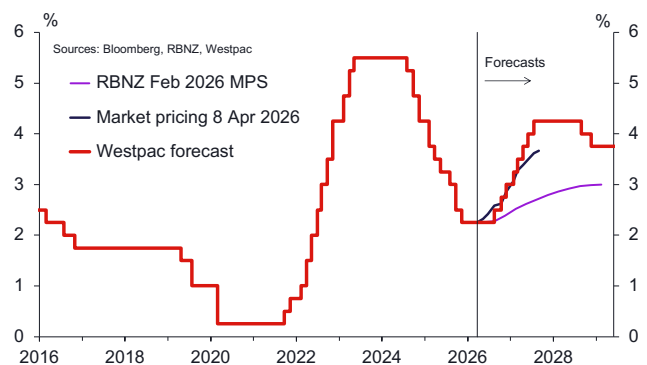
RBNZ April 2026 Monetary Policy Review and change of call.

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RBNZ to tighten in September

- As widely expected, the RBNZ retained the OCR at 2.25%. There was no vote, with the decision reached by consensus.
- The commentary was hawkish as concerns of rising second-round inflation pressures were quite prominent.
- The MPC debated the options of an earlier vs later beginning to interest rate normalisation. Interest rate cuts were not discussed.
- An earlier start was described as May or July. A hike was discussed as an option today, but the Governor said that the MPC was not close to hiking at this meeting.
- The RBNZ's short-term inflation forecast is now 4.2%/y in June 2026 – higher than before, but close to our 4.1% forecast.
- We have pulled forward our forecast for the first OCR hike from the RBNZ to September (previously December).
- The balance of risks is towards an earlier start to hikes than September, should evidence of second-round inflation impacts accumulate.

Official Cash Rate forecasts



OCR retained at 2.25% but coupled with a hawkish outlook.

The RBNZ kept the OCR unchanged at 2.25% as expected. There was no vote, with the decision reached by consensus. However, the Bank's commentary adopted a more hawkish tone than expected. There was no discussion of needing to cut the OCR despite acknowledging that, at least in the short term, there would be greater excess capacity than previously thought. Rather, the debate was between:

- a "a pre-emptive response to medium-term inflation pressures could guard against the risk of inflation expectations becoming unanchored"; or
- a gradual increase in the OCR towards "more neutral levels" to reduce the risk of "reacting to higher near-term inflation and accentuating weakness in the real economy and labour market".

In the press conference the Governor noted that the MPC discussed the possibility of raising the OCR at this meeting, but there had been "no strong advocate" for doing so.

We interpret the more gradual path as being something akin to the late 2026 lift-off date that we have been forecasting, and that the RBNZ largely had in mind at the February meeting. A pre-emptive response likely implies something faster that begins by September but could come sooner than that, should evidence of second-round inflation impacts begin to accumulate. Indeed, the Governor indicated that the pre-emptive approach could have been a tightening in May or July. More dovish members were uncomfortable with the risks of that.

Key evidence that the RBNZ seeks seems to be in the form of anecdotal evidence on pricing and wage setting behaviour combined with higher frequency evidence on price setting, costs and inflation expectations coming from monthly surveys. We think it likely that at least some evidence along these lines will accumulate given the broad-based cost shock that the economy is facing. As a result, an earlier than December beginning to the tightening cycle looks much more likely now.

Hence, we are bringing forward our existing 25bp per meeting tightening profile to begin in September. The OCR will thus end 2026 at 3% and reach the previously expected 4.25% peak earlier, in September 2027. Easing is forecast to begin a year later in September 2028 with the neutral OCR reestablished in December 2028.

An earlier start than September should not be ruled out. And given it's likely easier to explain the tightening profile in a Monetary Policy Statement meeting than the bias is likely for an earlier move to come in May versus July. The key question is: will sufficient evidence of second-round inflation impacts have accumulated by then? We think that's still an open question at this point.

Key quotes from the press release and Record of Meeting were:

"The Monetary Policy Committee is focused on ensuring that inflation returns to the 2-percent target midpoint over the medium term. This requires core inflation and wage growth to remain contained and medium- and long-term inflation expectations to remain around 2 percent. If these conditions are not met, decisive and timely increases in the OCR would be required."

"The outlook for medium-term inflation pressures depends on the size and persistence of the inflationary impulse stemming from higher oil prices and the extent to which it is offset by weaker demand in the economy."

"If the increase in near-term inflation is largely temporary, the Committee envisages gradually moving the OCR to more neutral levels as activity recovers and near-term inflationary pressures dissipate. However, any signs of significant second-round inflationary effects or increases in medium-

term inflation expectations would require decisive and timely increases in the OCR to re-anchor inflation expectations."

"On the timing of any increase in the OCR, members discussed that a pre-emptive response to medium-term inflation pressures could guard against the risk of inflation expectations becoming unanchored and reduce the extent of second round price increases."

"Conversely, the Committee noted the risk of reacting to higher near-term inflation and accentuating weakness in the real economy and labour market. Members noted that this could cause unnecessary volatility in output and employment if the conflict was resolved in the near term or if the economic outlook weakens by more than currently expected."

The RBNZ's initial thoughts on the near-term outlook.

The RBNZ provided updated inflation forecasts for the next two quarters. This is a change from their usual practice of not releasing updates to their forecasts at interim reviews and reflects that recent geopolitical developments have in the RBNZ's words *"materially altered the outlook and the balance of risks for inflation and economic growth"*.

The RBNZ now expects inflation of 3% in the March quarter (previously 2.8%), rising to 4.2% in the June quarter (previously 2.7%). Those updated figures are close to our own forecasts. The RBNZ did not provide forecasts further ahead.

The RBNZ has noted that higher energy costs will push up other prices in the economy. However, longer term impacts on wage and price setting (aka. 'second round impacts') are expected to be constrained by weak demand at this stage. This is a key area of uncertainty and one where the RBNZ will be watching closely for signs that longer-term inflation pressures are increasing. Indeed, the RBNZ went on to note that *"any signs of significant second-round inflationary effects or increases in medium-term inflation expectations would require decisive and timely increases in the OCR to re-anchor inflation expectations. The Committee is vigilant to these risks."*

While the RBNZ did not provide forecasts for other variables, they noted that the conflict and related increases in both operating costs and economic uncertainty will result in weaker activity in the near term. That's very much in line with our own thoughts.

Things to watch ahead of the next meeting.

The RBNZ's next policy review is on 27 May, when it will also publish a full Monetary Policy Statement (MPS) with refreshed forecasts (and probably some

alternative scenarios too considering the current level of uncertainty). How the RBNZ's stance evolves between now and then will depend on the path the Middle East conflict takes; what early indicators and anecdote suggest about the impact of the conflict on activity and inflation, both in New Zealand and abroad; and any developments in financial markets as a result of the conflict or other vulnerabilities triggered by the conflict.

As far as domestic economic indicators are concerned, we think the following are key ones to watch.

- **Q1 CPI** (21 April) and **April Selected Prices** (15 May): These pricing indicators will reveal the initial first-round direct and indirect impacts of the recent surge in fuel prices. They will provide some insight as to how high headline inflation might peak, but not about how long it will remain at elevated levels.
- **Q1 QSBO** (21 April) and **April/May ANZ Business Outlook** (30 April/27 May): Unfortunately, the data-rich QSBO survey was initially in the field very early in the conflict (it is unclear whether a breakdown of early and late responses will be released). Therefore, the ANZ surveys may provide a more up-to-date account of how businesses are responding to the conflict.
- **March/April PMI and PSI surveys** (mid-April/mid-May): These may provide some early insight regarding the likelihood of a contraction in GDP in Q2.
- **Q1 labour market surveys** (6 May): Employment and hours worked data from the HLFS and QES surveys will cast light on what momentum the economy had going into the conflict, while the LCI will cast light on underlying inflation pressures.
- **Budget 2026** (28 May): While the formal unveiling of the Budget comes the day after the release of the MPS, ahead of the Budget the RBNZ's MPC will receive a high-level briefing from the Treasury on what to expect at the macro level. Pre-Budget speeches and policy announcements may reveal more in the public sphere.

In addition to the above, we will be monitoring a range of other high-frequency indicators, such as monthly data on filled jobs, consumer spending, building consents, housing market activity and prices, job ads and consumer confidence. We will also be paying close attention to developments in prices for New Zealand's key export commodities. The RBNZ looks to also be focused on anecdotal evidence of business pricing and wage setting behaviour – although that will be harder to track.

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Week beginning 6 April 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Revised RBA rates view: two extra hikes, 4.85% peak, later reversal.

The Week That Was: Mixed messages.

Focus on New Zealand: Not hawkish. Not dovish. Balanced.

Forecast Update: we pencil in three more rate hikes this year and have posted our full baseline forecasts.

For the week ahead:

Australia: Household spending indicator, MI inflation gauge.

New Zealand: RBNZ Policy decision, manufacturing PMI.

Japan: Household spending.

China: CPI, PPI.

Euro area: PPI, retail sales, Sentix investor confidence.

United States: CPI, GDP, personal income, personal spending, PCE deflator, factory orders, consumer credit.

Global: Easter Monday, S&P Global Services PMIs.

Information contained in this report current as at 2 April 2026.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Revised RBA rates view: two extra hikes, 4.85% peak, later reversal



Luci Ellis
Chief Economist, Westpac Group

We have revised our view of the outlook for RBA policy, adding two further hikes to the near-term profile and pushing out the eventual reversal. We now expect 25bp rate hikes at the 16 June and 11 August decisions, in addition to the 25bp hike we already expected at the May meeting. The peak for the cash rate is now expected to be 4.85%.

This shift reflects the longer disruption to and slower recovery in fuel supply assumed in the revised baseline forecasts we first published on [Friday afternoon](#), with the Strait of Hormuz essentially closed for eight weeks and traffic recovering only slowly after that. It also reflects the surprisingly rapid pass-through of higher fuel and other oil-derived product prices into other prices in Australia. We believe the RBA will respond to this pricing behaviour by tightening monetary policy by more than would have been needed absent that pass-through.

The halving of fuel excise, announced by national cabinet today, reduces the near-term outlook for headline CPI inflation, but a peak of 5.4%yr in June quarter remains likely. The announcement also does not affect prices of other oil-related products, including aviation fuel and various plastics, or any price increases from damage to gas and other production facilities in non-combatant Gulf states. Much of the second-round pass-through of prices is therefore likely to remain in place, and we continue to expect trimmed mean inflation to peak around 4%yr later this year.

The higher cash rate profile will weigh on Australia's economic outlook. Growth will be slower, especially consumption, and the labour market will be softer. We expect unemployment to peak around 5%, somewhat higher than the 4.7% peak we flagged last week. Headline inflation will dip below 2½% by mid 2027 and will remain in the lower half of the 2–3% target range through to 2028. Trimmed mean inflation will take a little longer to decline, but will be back in the target range in 2028.

A companion note, also to be released this afternoon, fleshes out the rest of the forecasts. The revisions incorporate the assumed longer closure of the Strait of Hormuz and other supply disruptions in the Middle East flagged last week. In addition, we have updated for the new profile for the cash rate, the changes to fuel excise and some other recent events.

Despite the weaker economic outlook and potential undershoot of the inflation target implied by these revised forecasts, we think the RBA will be slow to reverse this policy tightening and risks getting behind the curve in coming years. We push out the date for rate cuts and pencil in four rate cuts, one per quarter in February, May, August and November 2028. We have low conviction about the exact timing.

The RBA will have already been spooked by the way inflation kicked up late last year after it took back some of its earlier rate hikes (though the usual lags of policy imply that the cuts were not the cause of that increase in inflation). We therefore suspect that the unwind of the current policy tightening will involve something of a “one bitten, twice shy” mentality. Second-round pass-through to other prices and costs will only increase the RBA's reluctance to unwind the current policy tightening.

“we continue to expect trimmed mean inflation to peak around 4%yr later this year.”

We also believe the RBA's [evolving intellectual framework](#) will militate against an early reversal of these hikes. A supply shock such as the one the world is now facing should ordinarily be looked through to the extent possible, so long as longer-term inflation expectations remain anchored. Because it believes Australia is starting from a position of little spare capacity, though, the RBA sees the supply shocks as a potential reason to have both a restrictive stance of policy and to revise up its view of what constitutes restrictive policy.

The RBA has insisted that it retains its earlier strategy of holding onto as much of the post-pandemic employment gains as possible, subject to meeting the inflation target. While inflation was actually in the 2–3% target range for part of last year, underlying inflation did not get all the way back to the 2½% target midpoint before lifting again. This is clearly being interpreted in some quarters as inflation having been above target continuously. The Monetary Policy Board will therefore want to demonstrate its commitment to returning inflation back to target expeditiously and its willingness to do what it sees as necessary to achieve this.

As noted last week, there are risks on both sides of our revised baseline view. Iran is already letting some ships through the Strait, and it is possible that fuel supply recovers faster than we are currently assuming. It is also possible that a consensus forms domestically to resist second-round inflation, especially where the flow-on of higher costs to downstream prices could be construed as excessive. On the more inflationary side, it is possible that the war drags on longer, or domestic pass-through is stronger than we currently expect.

Forecast changes

- RBA now expected to hike rates three times (May, June, August), revised up from one more (in May) previously. Peak cash rate now 4.85%, above previous peak.
- Longer Middle East disruption lifts peak prices for oil and gas, lengthens recovery. Infrastructure damage exacerbates the shock. Brent oil now expected to peak at an average \$120/bbl in Q2 and Japanese LNG prices at \$26mmbtu.
- Australian CPI inflation now expected to peak at 5.4%yr in June quarter, and even higher on the monthly series, despite the announced cut to fuel excise. Trimmed mean inflation peaks around 4% in 2026 H2. Food prices a particular concern through to 2028, but broader pass-through to non energy prices also an issue.
- Supply shock and tight monetary policy drag on demand, especially consumption and other interest-sensitive sectors. GDP growth forecast to trough at 1%yr in 2026, and remain subdued at 1.6%yr in 2027; unemployment rate peaks at 5% end-2026.

Cliff Notes: mixed messages

Elliot Clarke, Head of International Economics

At the turn of the week, [Chief Economist Luci Ellis](#) and Westpac Economics highlighted how severe the inflationary impact is expected to be for Australia. Recognising the extreme uncertainty surrounding the conflict and the passage of time, we extended our baseline supply assumption from a one to two-month complete shutdown of the Strait of Hormuz followed by a protracted recovery in transit from 20% of pre-conflict supply in May to normal supply at year end. Also, a consequence of elevated refining margins globally, annual Australian consumer inflation is now expected to peak around 6%yr in mid-Q2. While headline inflation will fall back to target over the following year, trimmed mean inflation is forecast to remain above 3.0%yr until end-2027 and only settle in the middle of the target range in late-2028, having peaked at 4.0%yr at end-2026.

With Australia already experiencing tight capacity and elevated domestic inflation pressures, attested to again by the RBA in the [March Monetary Policy Board meeting minutes](#), the Middle East conflict warrants pre-emptive action by the RBA through three 25bp cash rate hikes in May, June and August 2026 to 4.85%. Policy is then seen on hold until 2028, when success with inflation should allow the cash rate to be reduced by 100bps steadily through the year. The consequence for GDP is likely to be a deceleration to just 1.0%yr in 2026, followed by a sub-par 1.6%yr gain in 2027, then an above-trend 2.8%yr recovery in 2028. The unemployment rate is forecast to rise to 5.0% at end-2026, and to take until end-2028 to return to its full employment level, circa 4.5%.

To the above forecasts, time matters a great deal. If, as has been mooted in recent days (and may be confirmed in a Presidential address later today), the Trump administration calls a quick end to the US' strikes against Iran, Australian GDP and the labour market may receive a reprieve. That said, heightened inflation will remain an acute risk while transit and supply-chain disruptions persist, and businesses may also take the opportunity to re-set margins. The balance between inflation and activity risks will therefore remain in focus for the RBA over the coming year. Ahead of the Federal Budget, [the Government's financial position](#) is also in flux, although current conditions look more likely to prove a positive than negative at this stage.

Local data out this week meanwhile focused on housing. [Cotality home values](#) increased a solid 0.6% in March. Although affordability saw a divergence in conditions city by city, with prices down a touch in Sydney and Melbourne as strong growth continued in Brisbane, Adelaide and Perth. Where conditions are weakest, reduced turnover is holding prices up. [Dwelling approvals](#) remained volatile in February, a

29.7% monthly gain lifting the annual growth rate to 14%yr. Australia clearly has need for significant, sustained additions to housing supply across our major cities, but affordability and the cost of construction are material risks which are likely to persist into the medium term.

“heightened inflation will remain an acute risk while transit and supply-chain disruptions persist”

Offshore, the list of data worthy of mention was short this week. University of Michigan consumer sentiment was, unsurprisingly, weak in March, 19% below the 5-year average and 37% under the full-history benchmark. The Conference Board's measure showed greater resilience but was still weak versus history. That said, ADP private payrolls continued to grow in March, and the retail sales control group recorded a solid gain of 0.5%mt. The ISM manufacturing index for March was also favourable, although the survey only caught the beginning of disruptions related to the Middle East conflict and the detail was also mixed, with production up, new orders down and employment contracting. China's official PMIs emphasised the nation's ability to weather uncertainty, with both the manufacturing and services indexes higher in March.

The key international data release for the week is still to come on Friday night. The US March employment report will be closely scrutinised after February's weak detail reset participants current understanding and expectations for the labour market. US policy makers have been more focused on inflation risks in recent weeks, but another poor employment result could see them reconsider this view. In contrast, a rebound in job creation will likely see market pricing for near-term policy decisions shift materially in favour of a hike, or two, as has been the case elsewhere across the developed world.

Not hawkish. Not dovish. Balanced.



Satish Ranchhod
Senior Economist

The RBNZ meets next week for its April Monetary Policy Review (Wednesday 8 April, NZ 2pm). As [discussed in our preview](#), in the absence of major developments in the Middle East over the coming days, the RBNZ is set to leave the Official Cash Rate (OCR) at 2.25%. However, rather than the immediate OCR decision, the key focus will be on how the RBNZ is balancing the significant challenges stemming from the conflict in the Middle East and what that implies for the longer-term policy outlook.

Since the RBNZ last met in February, the risks around the economic outlook have changed significantly. Economic growth in the final quarter of last year has already come in below the RBNZ's forecast. More significantly, disruptions stemming from the war in the Middle East mean that growth over 2026 is now also likely to fall well short of the RBNZ's previous forecast. We expect the economy to grow just 1.9% in the year to December, well below the February MPS forecast for growth of 2.8%. We also expect a higher track for the unemployment rate.

At the same time, inflation is set to run much hotter than the RBNZ had expected over 2026. [We're forecasting that inflation will peak around 4.1%](#) around the middle of this year before softening a little to 3.8% by year's end – well above the RBNZ's previous year-end forecast for 2.4%. Our stronger inflation outlook is mainly due to the direct impact of higher oil prices (i.e., higher prices for petrol and diesel). However, even if global oil prices were to drop back now, inflation is still set to linger above the RBNZ's forecast over the remainder of this year, as disruptions to supply chains and other related increases in costs of production will take time to dissipate.

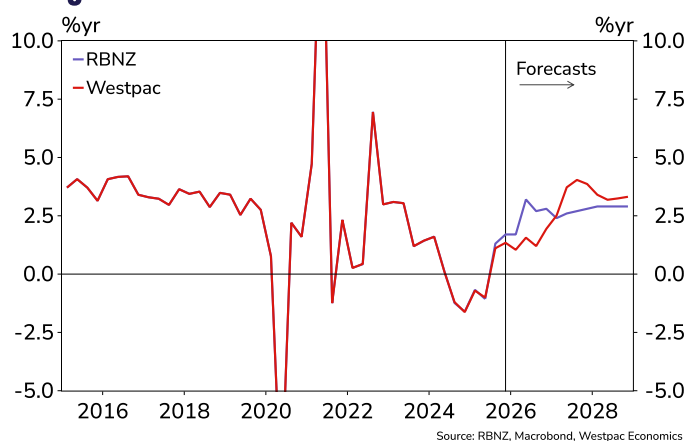
RBNZ Governor Breman has already outlined how she is thinking about those challenges in [a recent speech](#). That speech described an orthodox (and sensible) approach to monetary policy in the face of a supply shock, of which the current oil price is a typical example. The Governor noted that the RBNZ would not react to the immediate fuel-related lift in inflation. The RBNZ can't offset a rise in oil prices that has already occurred with higher interest rates now, but doing so would compound the downward pressure on growth. Furthermore, with interest rates taking around 12 to 18 months to have their maximum impact, hiking rates now would potentially result in an even deeper fall in inflation at the same time as the eventual falls in oil prices will naturally pull it lower.

Instead, the focus for the RBNZ will be the longer-term outlook for inflation. And this is where things start to get murky. The key issue for the RBNZ is whether the current

sharp rise in prices will have lingering effects, resulting in higher inflation even when oil prices eventually ease. That could occur if businesses come to expect continued large increases in operating costs and raise their prices accordingly. There's also the risk that we see demands for higher-than-normal cost-of-living increases as workers try to recoup the current loss of spending power. Both of those risks are very plausible given that we've recently been through an extended period of high inflation and related pressure on businesses' operating costs. And if those risks do materialise, the current uplift in inflation could end up being much more protracted.

It will take some time before we know whether those longer-term inflation risks (sometimes referred to as 'second round' impacts of an oil price shock) are manifesting. The starting point for the economy is important on this front and provides some cause for optimism. Soft activity in recent years has left the New Zealand economy with a high level of spare capacity, including a higher-than-average unemployment rate. That will limit the ability to push through larger increases in output prices or wages (though that does also imply related pressure on margins and households' purchasing power).

GDP growth forecasts



We are already seeing reports of businesses raising their prices due to the direct impact of increases in fuel prices on their operating costs (e.g., higher fares and fuel surcharges within the land transport industry). Perhaps of more concern for the RBNZ, the latest ANZ Business Outlook Survey (which was conducted following the outbreak of the war) showed a sharp rise in inflation expectations, along with increases in the number of businesses who said they are planning to increase their prices. That said, given the outlook for inflation, it would

be surprising if surveyed inflation expectations did not rise in the near-term. Some comfort might be taken from firms' expectations for wage growth. These remained muted in the survey, suggesting that firms are not expecting current cost increases to feed a wage-price spiral.

The RBNZ's discussion of how its balancing the impact on growth and near-term inflation will be crucial for how markets react next week. Markets have been very focused on the rise in inflation pressures and related hawkish comments from other central banks. That's seen financial markets also pulling forward expectations for rate hikes here: at the time of writing, market pricing was consistent with an 60% chance of an OCR hike in July, and just over two hikes are priced in before the end of the year.

In its communications on 8 April, the RBNZ will balance a desire to avoid a further tightening of financial conditions with the desire to not sound complacent about the medium-term inflation risks that come with an energy price shock. Reinforcement of the approach communicated in Governor Breman's speech guidance should continue to lean against the market's current pricing for earlier rate hikes, especially as liquidity issues in the domestic market continue to ease. We continue to forecast just one 25bp hike this year, but also that significant tightening will occur in 2027 once the activity implications of the energy shock begin to dissipate.

The RBNZ's guidance about what to expect at future meetings will also likely echo the Governor's speech. In crafting this guidance, the MPC will aim to reassure markets that it will not overreact to the shock, which could cause markets to further tighten financial conditions. At the same time, the RBNZ will need to ensure it sounds credible to households and businesses about its willingness to tighten policy if inflation expectations and pricing behaviour evolve in a manner inconsistent with achieving the inflation target over the medium-term. While monetary policy should look through a temporary spike in energy prices, the MPC will need to be vigilant – and be seen to be vigilant – against the risk that inflation becomes persistent.

As we discuss in our latest [Hawks, doves, and kiwis](#) note, there are clearly risks on both sides for the OCR. Governor Breman's recent speech did draw on feedback from other MPC members, but there could still be a range of views among the Committee. Furthermore, this is a fast-changing situation. And with inflation pressures continuing to build over the past few days, even more dovish or balanced members of the MPC could start to change their assessments of risks. With that in mind, the Record of Meeting accompanying next week's interest rate review will be monitored closely to see where the members of the Committee see the risk. Key areas where the views of the Committee could diverge include the likely duration of the conflict, the impact on the economy, the likelihood of second-round effects driving persistent inflation over the medium-term, and the appropriate course

for monetary policy over time. Such discussions might provide some insight into how the consensus view of the MPC might evolve as more is learnt about the evolution of the conflict and its economic impacts.

As part of her efforts to improve central bank transparency, Governor Breman has introduced a full press conference at interim reviews, and this will be the first review under that new framework. Historically, the RBNZ has not released updated forecasts at review meetings, and instead released them at the more complete quarterly updates. However, given the large changes in the economic landscape in recent weeks, the RBNZ is likely to discuss the risks around their previous forecasts. And we wouldn't rule out the chance that they could release some initial forecasts of key variables, like GDP, inflation, and the OCR.

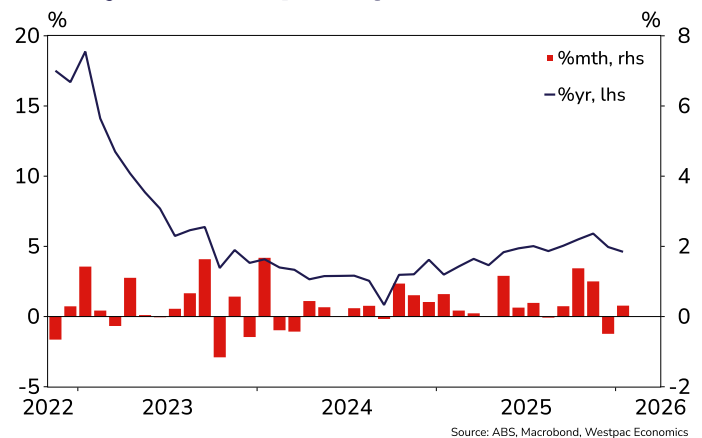
AUS: Feb Household Spending Indicator (%mth)

Apr 7, Last: 0.3, Westpac f/c: -0.2
Mkt f/c: 0.2, Range: -0.2 to 0.4

The Household Spending Indicator rose 0.3%_{mth} in January, in line with its average monthly pace over the past two years. Annual growth eased back to 4.6%_{yr}, having averaged just over 5%_{yr} through the second half of 2025.

The detail from our **Westpac-DataX Card Tracker** suggests the ABS spending indicator will show a dip for the February month. Our forecast 0.2% decline in the month would take annual growth to 4.2%_{yr}. With population growth tracking at 1.6%_{yr}, the 2.6%_{yr} pace in per capita terms this points to a slight decline in real, inflation-adjusted terms. Of course, all of this pre-dates the Middle East conflict and associated fuel price surge. Our card tracker shows this has already seen significant disruptions to activity in March (see [here](#)).

Monthly household spending indicator

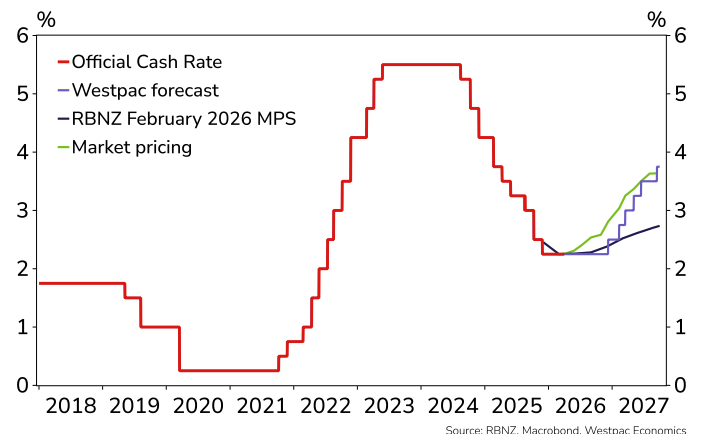


NZ: RBNZ Monetary Policy Review

Apr 8, Official Cash Rate – last: 2.25%, Westpac: 2.25%, Market: 2.25%

We expect the RBNZ to hold the OCR at 2.25% at its 8 April review. We expect the RBNZ to emphasise that it will not react to the first-round impact of higher energy prices on near-term inflation, but that it will respond should there be evidence of second round effects that might create persistent inflation. The Bank is not scheduled to present revised economic projections at this meeting. However, it is possible that the RBNZ will provide some guidance of the likely magnitude of the upward revision to near-term inflation and downward revision to GDP.

RBNZ Official Cash Rate



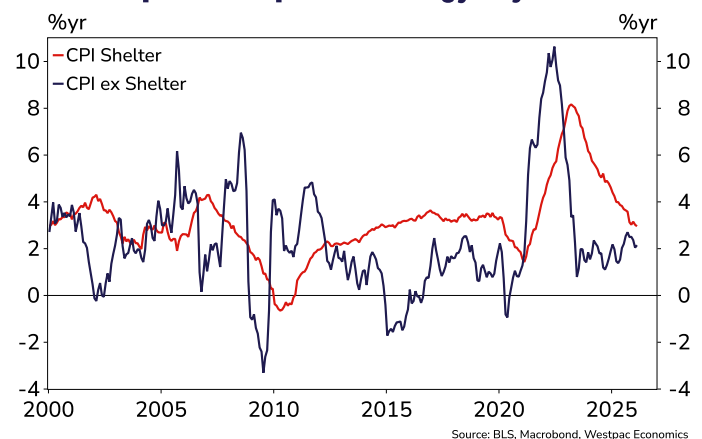
US: Mar CPI

Apr 10, %m/m, Last: 0.3%

February saw a 0.3% increase in headline consumer prices as both food and energy contributed to the aggregate impulse. The gain for core prices was measured at 0.2%, although that means underlying inflation continues to run meaningfully above the FOMC's 2.0% target on both an annual and annualised basis.

March is likely to see a material step up in headline inflation as the Middle East conflict shocks energy prices higher. Firms may also take the opportunity to push through additional increases to strengthen margins. All the while, capacity pressures continue to hold up price growth for services, and the weaker dollar and tariff costs support core goods pricing. Inflation risks will remain a lasting concern for the FOMC.

Domestic pressures persist; energy to jolt



What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 06							
US	Mar	ISM Services PMI	index	56.1	54.9	–	Confidence shock could arrest the upturn in services activity.
World		Easter Monday	–	–	–	–	Markets closed.
Tue 07							
Aus	Mar	MI Inflation Gauge	%ann	3.6	–	–	Will kick materially higher given the fuel price shock.
	Mar	ANZ–Indeed Job Ads	%mth	3.2	–	–	Labour demand is stabilising, but outlook is cloudy.
	Feb	Household Spending Indicator	%mth	0.3	0.2	–0.2	Card activity suggests momentum is pulling back in early-26.
NZ	Mar	ANZ Commodity Prices	%mth	4.2	–	–	Overall index up due to dairy prices, others mixed.
Jpn	Feb	Household Spending	%mth	–1.0	–1.3	–	Households on fragile footing, even before Middle East.
Eur	Apr	Sentix Investor Confidence	index	–3.1	–5.2	–	Global inflation and growth risks do not bode well for confidence.
US	Feb	Durable Goods Orders	%mth	0.0	–	–	Businesses may delay investment plans amid uncertainty.
	Mar	NY Fed 1-Yr Inflation Expectations	%ann	3.0	–	–	Surge in fuel prices will have a salient impact on expectations.
	Feb	Consumer Credit	\$bn	8.1	–	–	On a firmer trend compared to this time last year.
		Fedspeak	–	–	–	–	Goolsbee.
World	Mar	S&P Global Services PMI	–	–	–	–	Final estimates for Eurozone and UK.
Wed 08							
NZ		RBNZ Policy Decision	%	2.25	2.25	2.25	Key focus will be the discussion of longer term risks.
Eur	Feb	PPI	%ann	–2.2	–	–	Producer price deflation may reverse over coming months.
	Feb	Retail Sales	%mth	–0.1	0.2	–	Choppy over recent months, but annual growth is lifting.
US		FOMC Meeting Minutes	–	–	–	–	Deliberations around conflict risks will be a key focus.
Thu 09							
US	Feb	Personal Income	%mth	0.4	–	–	Income growth continues to outpace inflation, allowing ...
	Feb	Personal Spending	%mth	0.4	–	–	... real consumption to maintain stable growth, but the war ...
	Feb	PCE Deflator	%mth	0.3	–	–	... poses a material risk to both these trends near-term.
		Initial Jobless Claims	000s	–	–	–	Still at a low level versus history.
	Q4	GDP	%ann'd	0.7	–	–	Final estimate closely watched given downward revisions.
Fri 10							
NZ	Mar	Manufacturing PMI	index	55	–	–	Watching for signs of easing as global pressures mount.
Chn	Mar	CPI	%ann	1.3	1.1	–	Temporary boost from Lunar New Year spend will abate ...
	Mar	PPI	%ann	–0.9	0.6	–	... overcapacity and subdued demand back in spotlight.
US	Mar	CPI	%mth	0.3	–	–	Authorities will be focused on second-round effects.
	Feb	Factory Orders	%mth	0.1	–	–	Conflict may put some investment plans on the back burner.
	Apr	Uni. Of Michigan Sentiment	index	53.3	–	–	Flailing sentiment puts consumer spending at risk.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (2 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35
90 Day BBSW	4.30	4.80	4.90	4.90	4.95	4.95	4.95	4.80	4.55	4.30
3 Year Swap	4.71	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
3 Year Bond	4.72	4.80	4.75	4.70	4.65	4.60	4.50	4.40	4.30	4.20
10 Year Bond	5.03	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90
10 Year Spread to US (bps)	66	65	65	60	55	50	40	30	20	15
United States										
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.38	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75
New Zealand										
Cash	2.25	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25
90 Day Bill	2.51	2.45	2.50	2.90	3.40	3.75	4.00	4.25	4.45	4.45
2 Year Swap	3.43	3.60	3.85	4.10	4.30	4.40	4.40	4.40	4.35	4.30
10 Year Bond	4.72	4.80	4.95	4.95	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	34	50	60	55	60	60	55	50	45	40

Exchange rate forecasts

	Latest (2 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
AUD/USD	0.6878	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5701	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	159.35	156	155	154	152	150	148	146	144	142
EUR/USD	1.1536	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3236	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.9099	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2047	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2025	2026f	2027f	2028f
GDP %qtr	0.5	0.8	0.5	0.2	0.1	0.2	0.3	0.4	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.6	1.0	0.9	1.1	2.6	1.0	1.6	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.6	4.9	5.0	4.9	4.3	4.9	4.9	4.5
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.1	3.3
CPI Headline %qtr	1.3	0.6	1.5	1.9	0.9	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.2	5.4	5.0	4.6	3.6	2.3	3.6	4.6	2.4	2.3
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.4

New Zealand economic forecasts

	2025		2026		2027				Calendar years			
% Change	Q3	Q4	Q1f	Q2f	Q3f	Q4f	Q1f	Q2f	2024	2025	2026f	2027f
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

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April

PNG ECONOMIC UPDATE

Monthly update on the PNG economy



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Non-resources keeps the economy running

A resilient outlook amid global uncertainty

Papua New Guinea entered 2026 with a comparatively resilient macro position despite heightened global volatility driven by Middle East conflict, energy market disruption and rising geopolitical fragmentation. Real GDP growth in 2025 was estimated at 5.3% by the Bank of Papua New Guinea (Westpac estimate 5.5%) and is expected to moderate in 2026 as activity normalises, with official and institutional forecasts clustering around 3–4%. Inflation remained contained at around 4%yr in the December quarter, supported by GST exemptions and easing non-fuel price pressures, although rising global fuel prices increased upside risks into mid-2026 and through the second half of the year.

Underlying economic momentum improved through February and March, supported by firm commodity prices, easing foreign exchange constraints and improving business sentiment, despite delays in major resource project decisions.

Resource Projects

Papua LNG, valued at around US\$14 billion, remains in the Final Investment Decision window, although the time line has slipped beyond earlier expectations for early 2026. Developers are reported to be seeking an additional US\$3 billion in concessions amid cost escalation, while the Government has maintained a target of 55% total state benefit under existing fiscal laws. A more optimistic outlook around the P'nyang gas project provides some confidence in the resources sector.

Macroeconomic tone strengthens

The World Bank, ADB and IMF alongside Westpac Pacific all upgraded PNG's outlook relative to earlier expectations, citing stronger mineral output, supportive gold and copper prices and improving macro-financial stability.

The World Bank's Public Finance Review noted that resource revenues averaged only 1.9% of GDP between 2013 and 2024, despite a doubling in production, while estimating that PNG requires additional public investment of around 4.5% of GDP annually in health,

education and social protection to meet development goals.

Business confidence lifts

Business sentiment improved sharply. Results from the 2026 PNG CEO100 Survey showed:

- 72% of CEOs expect higher profits in 2026,
- Over 50% plan substantial increases in capital investment, and
- Foreign exchange availability fell from the top business constraint to 12th place.

Utilities reliability and infrastructure quality were among the few impediments reported to have worsened, underscoring capacity stress despite improving demand conditions.

Foreign exchange liquidity normalising

Foreign exchange conditions improved significantly. The Bank of PNG reported a reduction in the backlog of FX orders from around K1.8 billion to roughly K200 million, with outstanding orders now met on a daily or weekly basis, compared with a multi-month delay previously. Weekly FX auctions averaged around US\$30 million, with oversubscription

signalling still-strong demand but improved allocation efficiency.

The Kina depreciation continues. BPNG reaffirmed its crawling-peg approach, with further gradual depreciation expected through 2026 in the absence of major project inflows. Westpac projects a trough of USD 0.2150 by end-2026, before stabilisation as LNG-related capital inflows begin in 2027.

FATF grey listing

Papua New Guinea was formally placed on the FATF grey list in February 2026 following assessments identifying effectiveness gaps in AML/CTF supervision. The Government has committed to an 18-point action plan, including six legislative amendments, with a National Risk Assessment due by September 2026.

Authorities allocated K10 million to strengthen AML/CTF systems, while the US Treasury and other partners confirmed technical cooperation to accelerate removal. Commercial banks reported increased compliance costs and scrutiny but no systemic disruption to trade finance or domestic liquidity.

Key themes

Cyclone and humanitarian crisis

Severe Tropical Cyclone Maila dominated April, causing widespread destruction across Bougainville and parts of the New Guinea Islands. Fatalities were confirmed, over 100,000 people were affected, and major damage occurred to housing, roads, power and coastal communities. Emergency responses were mobilised, with Australia providing humanitarian assistance.

Fuel price shock

Fuel prices surged due to Middle East conflict-driven global oil disruptions. The government introduced a K1 billion stabilisation package, directed the ICCC to freeze prices at March levels, and warned suppliers against increases. Despite this, transport operators and businesses reported rising operating costs and ongoing logistics strain. Authorities highlighted exposure through transport, electricity generation and household living costs, reinforcing macro downside risks for the second half of 2026.

Law and order, elections and government reset

Law and order dominated the policy agenda. Parliament passed the

Vagrancy Act 2025/26 with an 80–1 vote, granting courts powers to issue exclusion orders and reinforcing urban security ahead of major events including NRL matches from 2028 and APEC 2033. The Government allocated early funding for 2027 election preparations, with election costs projected to exceed K1 billion. Firearms amnesty and forced recovery operations are scheduled to run until August 2026.

Public-sector reform and delivery

Under the Reset@50 agenda, all departments were directed to submit Delivery & Outcomes Reports by 31 March 2026, tied to the MTDP IV. The Prime Minister ordered reviews of underperforming SOEs following repeated blackouts, water failures and infrastructure delays. A public-service census was initiated to address payroll integrity ahead of a 3% public-sector base salary increase implemented under the 2026 Budget. Prime Ministers (Amendment) Bill 2026 looking into improving Government efficiency was tabled in the Parliament recently.

Energy security and domestic fuel vulnerability

Treasury warned PNG would feel the full effect of Middle East energy disruptions by early April, with domestic fuel prices already rising in March. The Government invoked emergency powers under the Essential Services Act and signalled willingness to intervene via subsidies or structural market changes if global prices spike further. Five new energy regulations were launched in March to modernise electricity licensing, off-grid systems and appliance standards.

Infrastructure stress

Severe weather events caused repeated transport disruption. Floods destroyed the Aumea Bridge, landslides cut the Madang–Lae–Highlands Highway, and wet-season damage isolated multiple districts. While Connect PNG allocations exceed K1.7 billion for works in 2026, parliamentary inquiries revealed deficiencies in trust-fund compliance and project governance, amplifying execution risk.

Digitalisation prospects

PNG accelerated digital infrastructure reforms. LEO satellite permits, including Starlink testing, expanded broadband access. Digital national ID (SevisPass) progressed as a mandatory

KYC tool, while financial sector innovation continued through digital superannuation platforms, green finance pilots and capital-market reforms aimed at reducing PNGX concentration risk.

Rising strategic relevance

PNG's geopolitical profile strengthened through deeper engagement with the US, Australia, Japan and the EU, spanning security cooperation, critical minerals, digital infrastructure and governance reform. PNG's selection as APEC 2033 host reinforced its long-term strategic positioning, raising both opportunity and accountability expectations.

Labour markets, migration and human capital constraints

Skills mismatches are becoming more binding as non-resource growth of about 4% lifts labour demand, while public-sector capacity came under scrutiny through a national workforce census targeting payroll integrity and performance ahead of July 2026 pay adjustments. Migration frictions increased after PNG was added to the US visa bond list, requiring a US\$15,000 bond from April.

Interest Rates

- The Bank of Papua New Guinea maintained a neutral monetary policy stance at its March 2026 meeting, keeping the Kina Facility Rate at 5.0% and the Cash Reserve Requirement at 9.0%. Headline inflation remained contained at around 4%, with core inflation trending lower, supported by GST exemptions and easing non-fuel price pressures.
- The MPC reaffirmed the exchange rate as the key nominal anchor, continuing the crawl-like adjustment of the kina to address remaining foreign-exchange imbalances. FX backlog has reduced sharply, from around K1.8 billion at its peak to roughly K200 million, according to the Bank of Papua New Guinea. Outstanding import and dividend orders are now being met daily or weekly, rather than over several months previously.
- The Bank flagged upside inflation risks from global fuel prices and ongoing Middle Eastern crisis, while judging current policy settings as appropriate to balance price stability and growth amid heightened global uncertainty.
- Fixed Rate Full Allotment 7-day C-Bill remains pegged to the KFR at 5.00%
- March 2026 saw a rebound in the 365-day Treasury bill yield, 5.56% in 20th February 2026 to 5.63% by 20th March 2026.
- March 2026 saw yield increases as market participants had bid the rates higher.
- The last Government Bond Auction was held on the 17th March 2026. Auctions were undertaken in the 3–15 year buckets - were comfortably oversubscribed.
- Total bids reached K280.5 million, exceeding the offer by K80.5 million (40%), with successful allotments totaling K200.45 million across five maturities.
- Demand was strongest in the 5-year, 7-year and 10-year tenors, reflecting investor preference for medium- to long-dated paper.
- Weighted average yields rose steadily along the curve:
 - 3-year: 6.48%
 - 5-year: 6.80%
 - 7-year: 6.95%
 - 10-year: 7.14%
 - 15-year: 7.48%

Foreign Exchange

- The gradual, crawling peg depreciation of the PGK continues, with February and March 2026 seeing PGKUSD fall from 0.2337 to 0.2317 on the 26th March 2026.
- Total FX Market turnover increased by PGK474.7m to PGK 6.1bn in February 2026, from PGK 5.625bn in January 2026 reflecting more FX liquidity in the PNG Market.
- There is still no guidance on the target rate of the depreciation or on where BPNG views the rate aligned to fundamentals.
- PGK/AUD remained rangebound throughout February to March 15th 2026. Breaking previous highs, AUD/USD peaked at 0.7151 during the month of February to March 15th 2026.
- The PGK/AUD dropped significantly, reflecting a high of 0.3249 and a low of 0.3127.
- PGK/AUD had a range of 122 basis points reflecting a volatile AUD/USD exchange rate. This reflects a weakening US Dollar amid global tension and market uncertainty.
- Weekly FX auctions continue, typically around US\$30 million per auction, with consistent oversubscription. This indicates strong demand, but improved allocation efficiency compared with 2023–24.

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Government Bond Auction

Series	Amount on offer	Bid recieved	Successful bids	Successful yields	Weighted average rate	Coupon Rate	Overall Auction
	K'million	K'million	K'million				
Issue ID 2026/5256 (3 Years)	30.00	33.35	23.45	5.75% - 6.57%	6.48%	5.75%	3.45
Issue ID 2026/5257 (5 Years)	40.00	65.00	55.00	6.58% – 6.89%	6.80%	6.00%	25.00
Issue ID 2026/5258 (7 Years)	50.00	68.00	68.00	6.25% - 7.11%	6.95%	6.25%	18.00
Issue ID 2026/5259 (10 Years)	50.00	72.00	42.00	7.05% - 7.23%	7.14%	6.50%	22.00
Issue ID 2026/5260 (15 Years)	30.00	42.00	12.00	7.46% - 7.55%	7.48%	6.75%	12.00
TOTAL	200.000	280.450	200.450				80.450

Auction Number:17-MAR-26 /GOB/ Government Bond; Settlement Date: 20-MAR-26; Amount on Offer: K200.000 million

Government Treasury Auctions

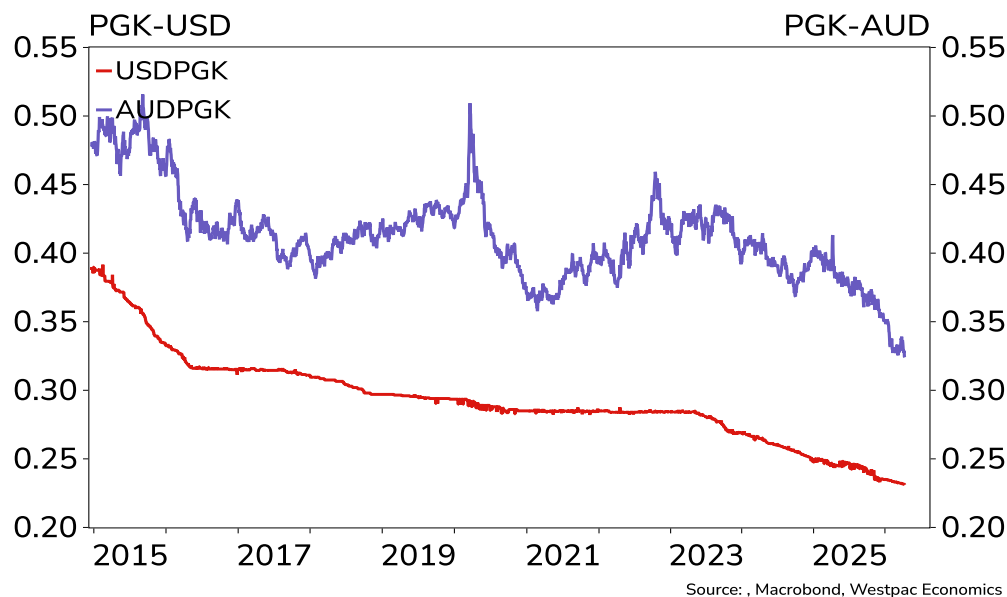
Terms	Issue ID 2025	Issue ID 2025	Issue ID 2025/4516	Issue ID 2025/4517	Issue ID 2025/4518	Total
	63	91	182	273	364	
Weighted Average Yield	0.000	0.00%	5.41%	5.58%	5.59%	
Amount on offer Kina Million	0.000	0.000	10.000	60.000	217.000	K287.000
Bids Received Kina Million	0.00	0.000	37.530	177.100	493.780	K708.410
Successful Bids Kina Million	0.00	0.000	20.530	50.000	312.780	K383.310
Overall Auction OVER- SUBSCRIBED	0.00	0.000	27.530	117.100	276.780	K421.410

Auction Number: 08-APR-26 / GOI/ Government Treasury Bill; Settlement Date: 10-APR-26; Amount on Offer: K287 million

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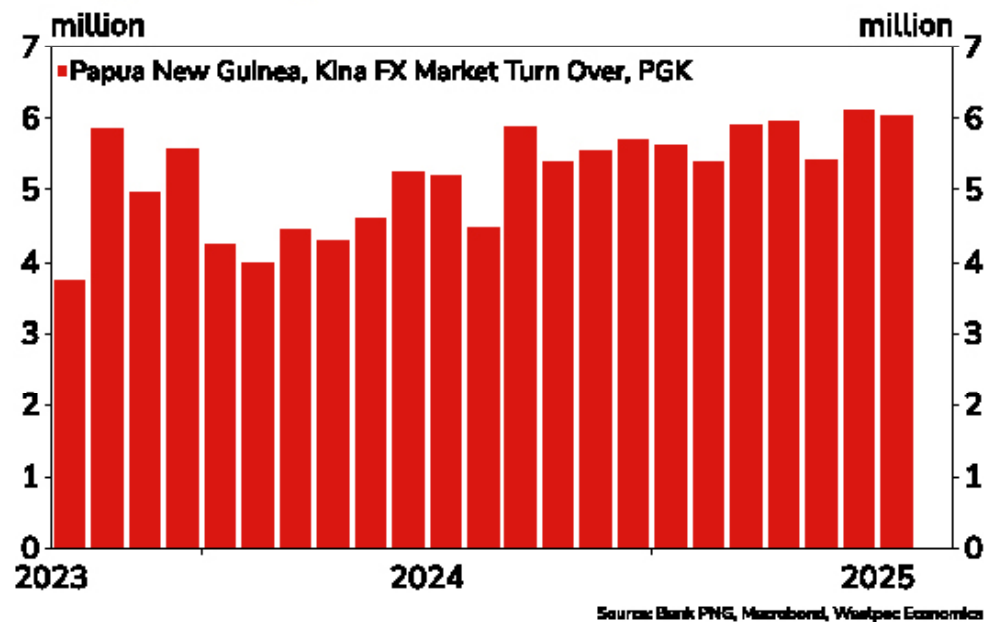
Gradual kina depreciation continues

Kina Foreign Exchange Rate



“PNG/AUD weakened through December to find some stability through March as AUD softened.”

Foreign Exchange Market Turnover



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PNG and Middle Eastern Conflict

The escalation of the Middle Eastern conflict since late February 2026 triggered a severe global energy shock. While PNG is a major LNG exporter, the domestic economy remains highly exposed to global fuel price volatility due to its continued reliance on imported refined petroleum products, limited domestic fuel storage capacity and weak, short term shock absorption buffers.

Westpac assumes that the Strait of Hormuz remains closed until the end of April, a total of eight weeks, and takes longer to reopen fully. This compares with our earlier assumption of a one-month disruption followed by a relatively rapid normalisation.

The slower recovery reflects limited shipping traffic through the Strait, insurance premiums remain elevated given the risk of further attacks by regional factions while shipping companies require time to re-establish vessel rotations and contractual arrangements.

We now assume traffic through the Strait reaches only 20% of normal levels in May. Traffic is expected to continue to improve thereafter,

although capacity is not expected to return to normal until end 2026.

A longer Middle East disruption lifts peak prices for oil and gas, lengthens recovery. Infrastructure damage exacerbates the shock. Brent oil is expected to peak at an average of US\$120/bbl in Q2 and Japanese LNG prices at US\$26mmbtu.

A prolonged three month disruption would see oil average closer to US\$130/bbl, LNG remain above US\$20/mmbtu, and global growth reduced by about 0.5 percentage points.

Despite being a net exporter of energy, PNG imports most of its refined fuels, mainly from Singapore, which relies heavily on Middle Eastern crude. Refined petroleum imports totalled about US\$886 million in 2024, equivalent to roughly 16% of total merchandise imports.

Westpac's baseline implies significant spillovers. A 10% increase in fuel prices would add roughly US\$90 million to annual import costs, widening the trade deficit and intensifying foreign exchange pressures.

PNG's fuel insecurity magnifies these risks. The Napa Napa refinery, with a capacity of around 32,000bbl/day, has been largely non operational due to cost, margin and operational constraints, leaving PNG reliant on imported fuels. Inventories are thin, covering around just 2–3 weeks of demand. In early March, some regions reported 2–5 days of cover forcing emergency imports and state of emergency style measures prioritising fuel for essential services. PNG is among the most fuel vulnerable economies in the Pacific.

Headline inflation was 4.1% in Q4 but under the baseline scenario, higher fuel, freight and electricity costs will push inflation higher from April 2026, even if global prices ease later in the year. Transport intensive sectors such as food distribution, construction, manufacturing and mining will bear the brunt.

For mining, particularly open pit gold and copper mines, rising diesel costs are partially offset by gains in robust commodity prices. While gold may have surged through US\$5,00/oz, it has since eased with operators flagging margin pressure from fuel driven cost inflation.

In 2025 PNG growth was a robust 5.5% supported by LNG, mining and agriculture. For 2026, growth is set to moderate to 4.6% as higher energy costs, global uncertainty and delayed investment decisions weigh on activity. Large projects remain sensitive to elevated construction costs and tighter global financial conditions. Further delays weaken medium term growth prospects and foreign exchange inflows.

The K30.9 billion 2026 Budget targets a near balance but is exposed to downside risks. Resource revenues averaged only about 1.9% of GDP between 2013 and 2024, limiting their value as shock absorbers. The World Bank's estimate that PNG requires an additional 4.5% of GDP annually in social and human capital spending underscores the limited scope to absorb external shocks.

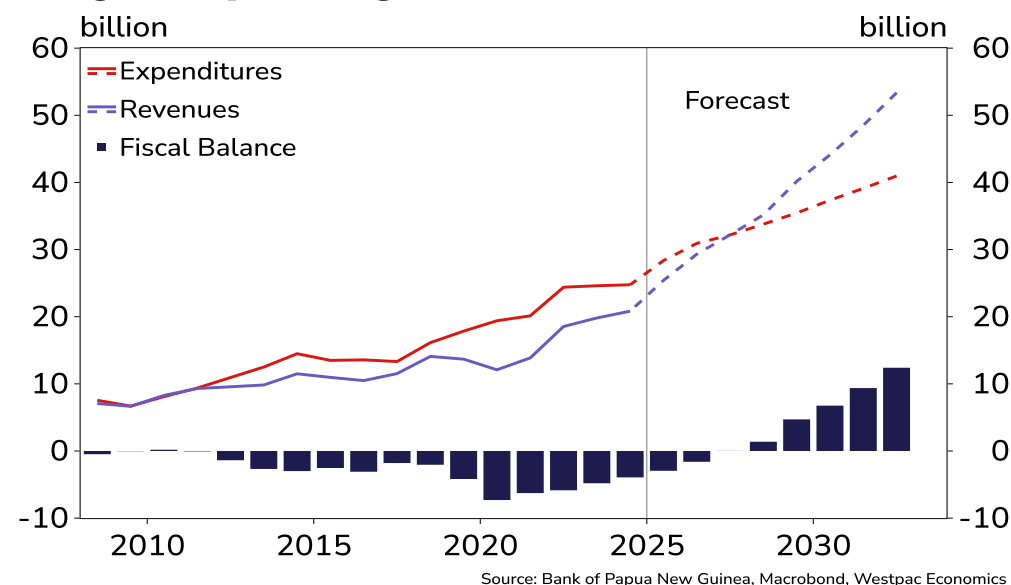
While three new fuel storage projects are planned, including a US funded 264ml facility near Port Moresby, they are unlikely to be operational until around 2030. PNG remains reliant on emergency shipments and ad-hoc policy responses, leaving the economy highly exposed even under our current scenario.

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Fiscal Consolidation Path Intact

- The 2026 Papua New Guinea National Budget, themed “Security with Growth”, puts forward a record expenditure number and aims to further consolidate fiscal repair plan while heavily directing funding towards key economic and social sectors. The total expenditure for fiscal year 2026 is projected at K30.9 billion with the estimated revenues at K29.3 billion.
- The central focus of the budget remains the continuation of the 13-Year Budget Repair Plan, with the government aiming to achieve a small budget surplus by 2027. PNG Government claims it is 88% of the way down the path toward achieving the surplus.
- The budget deficit is projected to fall substantially to just 1.1% of GDP in 2026, down sharply from 8.9% in 2020, demonstrating significant progress toward fiscal recovery. Revenues are projected to increase by 15.3%, outstripping the estimated 9.0% growth in expenditure, aligning with responsible budget repair efforts. Total domestic revenues are expected to reach 18.8% of GDP.
- Due to strong fiscal discipline, debt growth is slower than economic growth, leading the debt to GDP ratio to fall from estimated 48.4% in 2025 to the projected 45.5% in 2026 fiscal year.
- To mitigate temporary fiscal imbalances and reinforce the consolidation drive, PNG Government is also amending the Papua New Guinea Fiscal Responsibility Act 2006 to reduce the interim debt ceiling from 55% down to 52.5% of GDP for a period of five years.
- The National Budget also introduces Bill that details mechanisms allowing the Minister for Treasury to direct the reallocation of unspent funds or funds from the “Contingency Fund” to cover shortfalls in other activities.
- In order improve cash flow management, the budget proposed amendments to the Central Banking Act which details mechanism for the Bank of PNG to provide Treasury and Finance with weekly data on the closing balances of all Government accounts.
- The Budget further tries to strengthen tax administration by establishing at the Internal Revenue Commission the formal IRC Board that will be responsible to oversee revenue performance, strategic directions and budget approvals.

Budget Surplus target from 2027



“...PNG Government targets budget surplus from 2027...debt ceiling lowered to 52.5% from 55%...”

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Key sectoral allocation

The 2026 National Budget, themed “Security with Growth”, allocates K30.3 billion in total expenditure, with K19.4 billion (64.1%) for operational costs and K10.9 billion (35.9%) for capital investment. The budget prioritizes education, health, law and justice, infrastructure, and provincial development.

Education Sector – K4,935.2 million (16.3%)

Education receives the largest share, reflecting the Government’s commitment to universal access and quality learning. Operational spending of K4,325.7m includes K2,532.1m for teacher salaries, K904.5m for Tuition Fee Subsidy, and K103.9m for TESAS scholarships. Capital investment of K609.5m supports higher education programs, TVET, and infrastructure upgrades.

Provinces – K4,720.9 million (15.6%)

Funding for subnational service delivery through District Support Improvement Program (DSIP) and Provincial Support Improvement Program (PSIP). Includes K1,854m for GoPNG capital projects.

Administration – K4,609.5 million (15.2%)

Covers revenue collection agencies (IRC, Customs), governance reforms, and flagship programs like District Infrastructure Program (K480m) and Kina-for-Kina Project (K400m). Capital allocation of K3,011.1m supports

digital governance and infrastructure.

Health Sector – K3,204.9 million (10.6%)

Operational allocation of K2,346.8m funds medical supplies (K264.6m), public health commodities (K84.9m), and Provincial Health Authorities. Capital allocation of K858.1m supports hospital development, cancer treatment facilities, and the new Medical University.

Law & Justice – K2,498.6 million (8.3%)

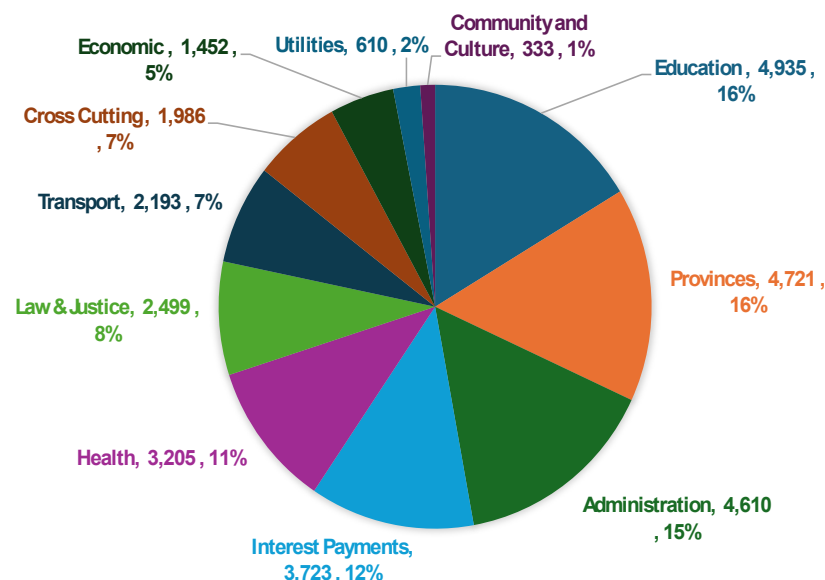
Increased funding for police recruitment, judicial reforms, and correctional services. Capital allocation of K468m targets infrastructure upgrades for courts, prisons, and security facilities.

Transport – K2,193.1 million (7.2%)

Focused on Connect PNG infrastructure projects, including roads, bridges, and aviation facilities. Includes K1,191m GoPNG funding and K842m from grants and loans.

Other sectors include Economic (K1,452.1m), Utilities (K609.5m), Community & Culture (K332.9m), and Cross-Cutting programs (K1,985.5m) for rentals, utilities, and arrears clearance.

2026 EXPENDITURE ALLOCATION (KINA MILLION)

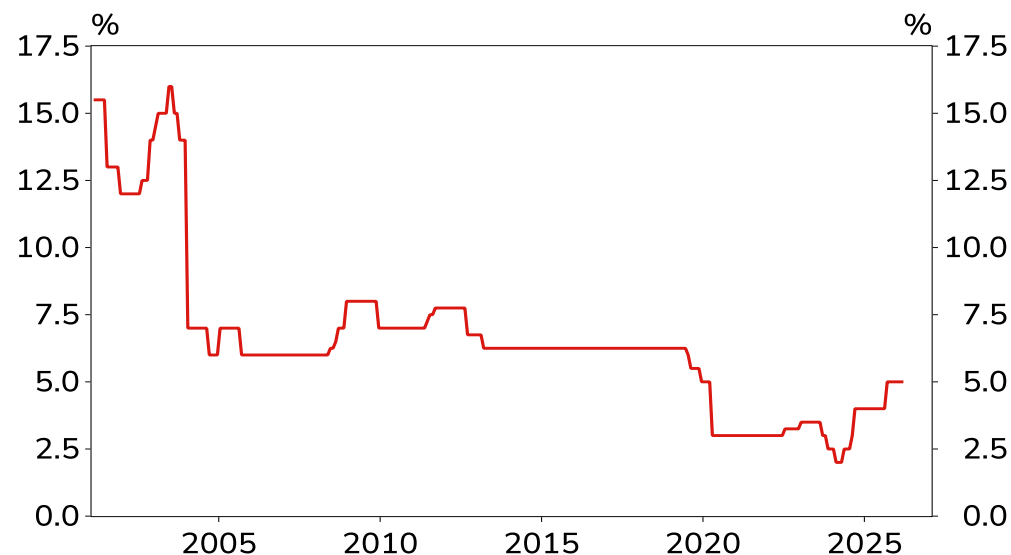


“...education receives the highest budget allocation at K5 billion”

March BPNG rate unchanged

- The Bank of Papua New Guinea's Monetary Policy Committee at its March 2026 meeting decided to maintain a broadly neutral policy stance, keeping the Kina Facility Rate at 5.0% and the Cash Reserve Requirement at 9.0%. The Committee judged current settings as appropriate to support non-mineral sector activity while preserving macroeconomic stability amid ongoing foreign exchange constraints and global uncertainty.
- Global growth remains resilient and inflation pressures have eased, but escalation of the Middle East conflict has heightened risks through higher energy prices, shipping costs and imported inflation. Domestically, growth remains moderate, supported by mineral output with the Porgera mine operating close to full capacity, while non-mineral sector growth remains subdued. GDP growth is expected to moderate to around 3.0% in 2026.
- The Committee noted that GST relief is temporary and cautioned that further Kina depreciation could lift inflation pressures through 2026.
- The exchange rate remains the primary nominal anchor for monetary policy given weak interest rate transmission and high import dependence. The MPC reaffirmed continuation of the crawl-like exchange rate arrangement, noting that despite recent adjustments, the Kina remains overvalued relative to its estimated equilibrium, with a continued backlog of foreign exchange orders. Further gradual adjustment is considered necessary to restore market clearing, reduce intervention reliance and progress toward full convertibility, while safeguarding reserves.
- All members supported maintaining central bank liquidity operations, including continued issuance of 7-day and 28-day central bank bills, FX auctions, and repo and reverse repo margins at 2.0 percentage points around the policy rate.
- Voting decisions showed one dissent. Four members voted to maintain the KFR at 5.0% and CRR at 9.0%. Professor David Kavanamur dissented, voting for a rate cut to 3.0%, a reduction in the CRR to 8.0% and a slower pace of exchange rate depreciation, citing low core inflation, fiscal consolidation's deflationary impact and delayed supply-side responses. Mr Dairi Vele supported holding rates but argued that further Kina depreciation should be paused, emphasising improved balance of payments prospects and increased FX interventions.

Kina Facility Rate



Source: Bank of Papua New Guinea, Macrobond, Westpac Economics

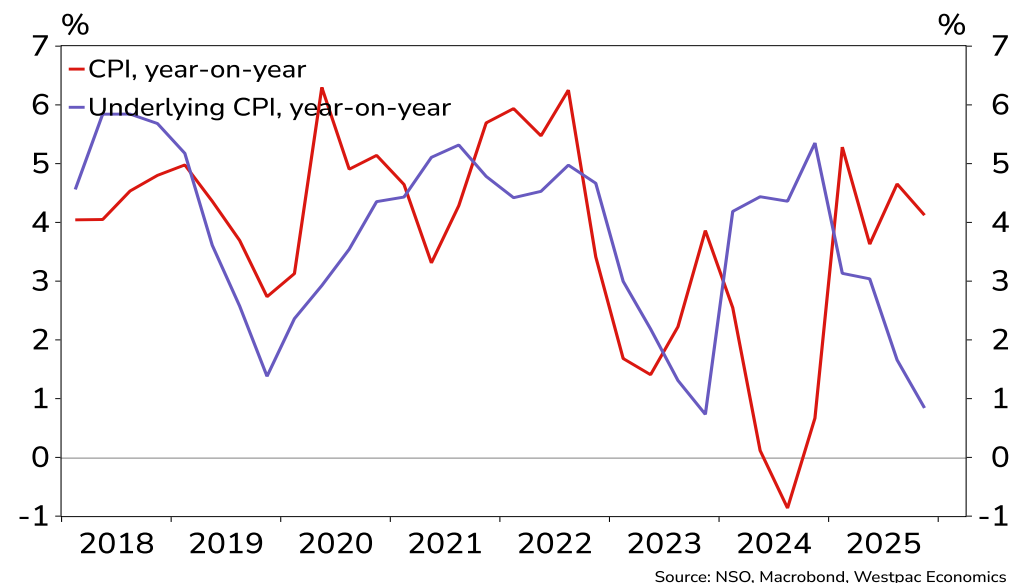
“...The Committee also discussed medium-term reforms, including a potential shift to a trade-weighted currency basket”

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2025 inflation update

- PNG's headline CPI rose 4.1%yr in the December 2025 quarter, easing from 4.7%yr in the September quarter, driven by a 0.7%yr increase in Food & Non-Alcoholic Beverages, a still elevated 21.8%yr rise in Alcoholic Beverages, Tobacco & Betel Nut, and a 2.2%yr increase in Transport.
- Apart from these main drivers, consumer prices rose across all other broad items in the December quarter.
 - Clothing & Footwear +1.6%yr
 - Health +3.3%yr
 - Restaurant & Hotels +2.6%yr
 - Education +1.7%yr
 - Communication +0.7%yr
 - Housing +2.3%yr
- Underlying inflation eased sharply to 0.8%yr in December 2025, down from 1.7%yr in September. Underlying inflation is now noticeably below.
- Headline inflation excluding seasonal items rose 0.8%yr in December 2025, while excluding seasonal items and customs excise rose 1.0%yr, and excluding seasonal, customs excise and price controlled items rose 0.7%yr.
- Betel nut prices remain the largest single source of volatility. Although moderating from their September spike, betel nut prices still rose 29.0%yr and 21.9%qrt in Q4 and continue to heavily influence headline inflation.
- Food & Non-Alcoholic Beverages increased 0.7%yr, though the category fell modestly -0.27% in the quarter, helping moderate the broader inflation impulse. As in Q3, food sub-components remained mixed with several staples continued to ease while some dairy and fresh produce lines recorded small increases.
- Transport rose 0.6%qrt in Q4. Fuel items remained higher (diesel, petrol and lubricants all modestly up), and motor vehicle increased slightly. Airfares also edged higher, consistent with ongoing domestic aviation disruptions. With aircraft grounding and capacity constraints persisting at Jacksons Airport and other key routes, pressure on airfares and freight costs remains a near-term inflation risk for transport and perishable food supply chains.

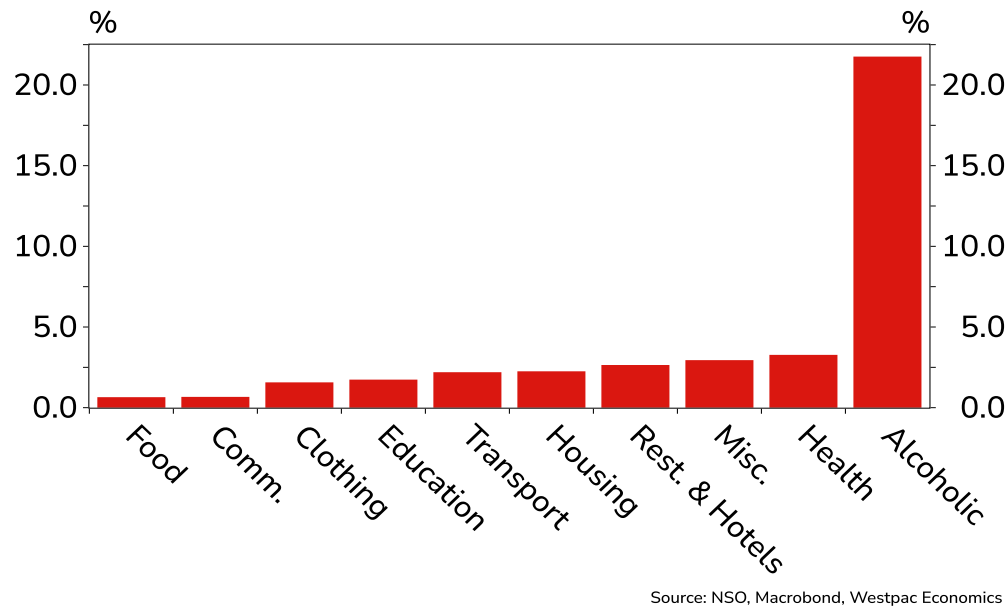
Core inflation falls to 2-year low at 2025-end



“...Betel Nut a key driver for surge in headline inflation as underlying inflation register lower”

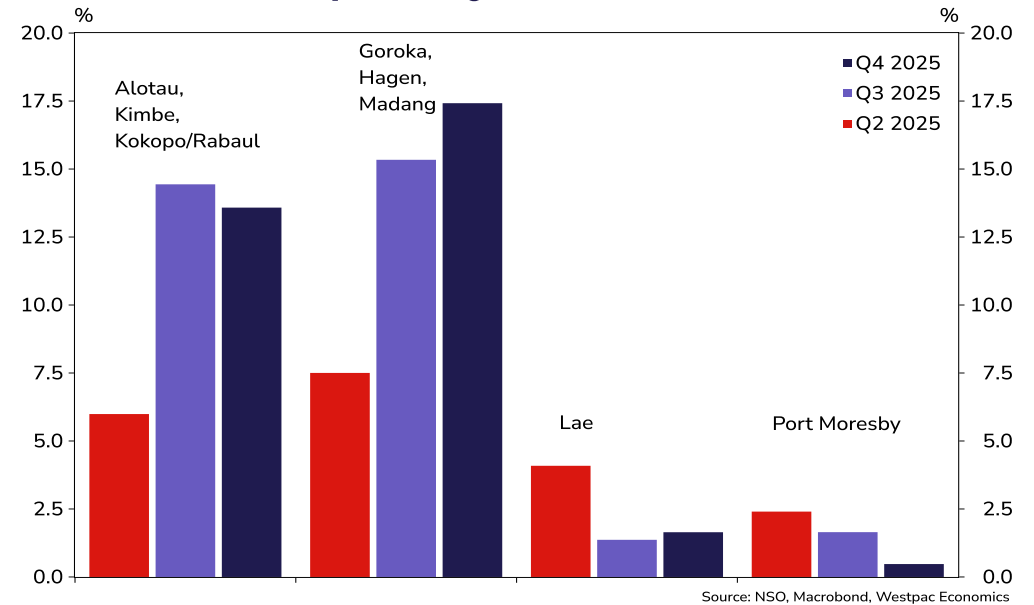
Highlands and Islands inflation up

PNG's inflation categories in Q4 2025



“... Betel nut prices remain the largest single source of volatility, pushing up the Alcoholic, Beverages and Narcotics component”

Headline inflation in respective regions

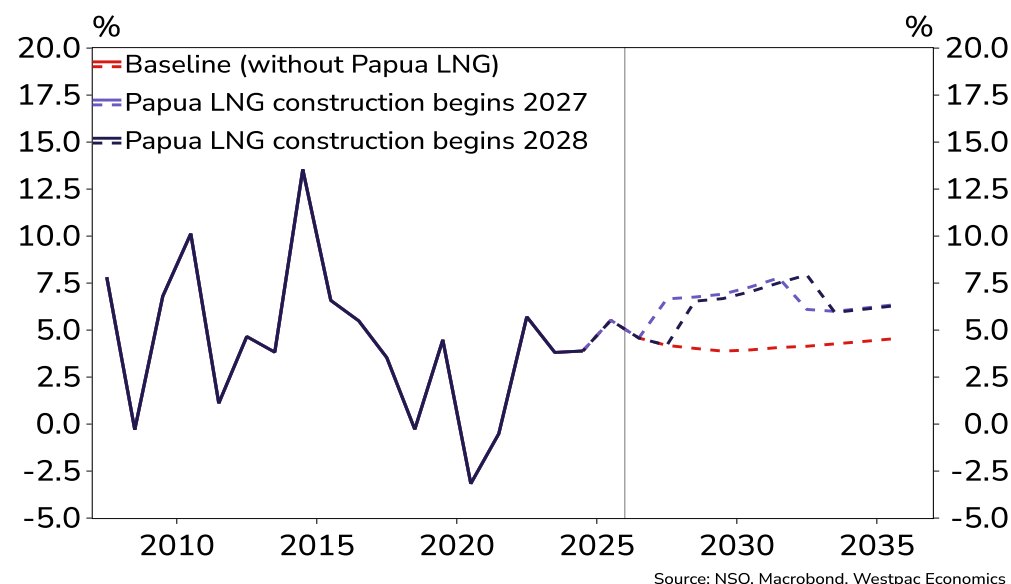


“...double digit inflation in Alotau, Kimbe, Kikipo/Rabaul, Goroka, Hagen and Madang”

PNG's growth holds despite project delays

- Papua New Guinea's moved through last year with a sense of cautious steadiness rather than any dramatic turning point. As such, we upgraded our 2025 growth estimate to 5.5% from our earlier 4.7%, with strong performance in mining, industries and services sectors.
- PNG's medium-term outlook is characterised by a stable baseline growth profile, with the prospect of a significant uplift once the Papua LNG project enters construction and production. However, repeated delays to the Final Investment Decision, initially expected in 2018 and now anticipated in the second half of 2026, continue to complicate near-term forecasts.
- Under our baseline scenario, assuming no Papua LNG FID within the forecast horizon, real GDP growth remains solid but moderates gradually. We forecast growth of 4.6% in 2026, easing to 4.2% in 2027 and 4.0% in 2028, before stabilising around 3.9–4.1% in the longer term. Sectoral dynamics are steady: primary sector growth slows as agriculture plateaus and mining stabilises near 1.4–1.6%, industry expands by 4.2–4.6%, with services the strongest driver, lifting from 5.6% in 2026 to around 6.5% by 2035. This trajectory assumes continued normalisation following earlier shocks and no major new projects altering aggregate growth.
- Papua LNG is modelled as a two-phase overlay on this baseline. The construction phase assumes US\$14 billion in capital expenditure spread evenly over five years, equivalent to an effective ~10% demand uplift relative to PNG's 2024 nominal GDP. Construction generates a substantial growth surge, lifting real GDP growth by +2.5 to +3.4 percentage points, with growth peaking at around 7.3% during peak construction years.
- The production phase, assumed to commence around 2032, delivers a smaller but persistent uplift. With output of 5.6 Mtpa and estimated revenues of US\$2.7 billion per year, mining growth lifts by around +6–7 percentage points, raising economy-wide growth by +1.6 to +2.0 percentage points on a sustained basis.

PNG Growth Outlook

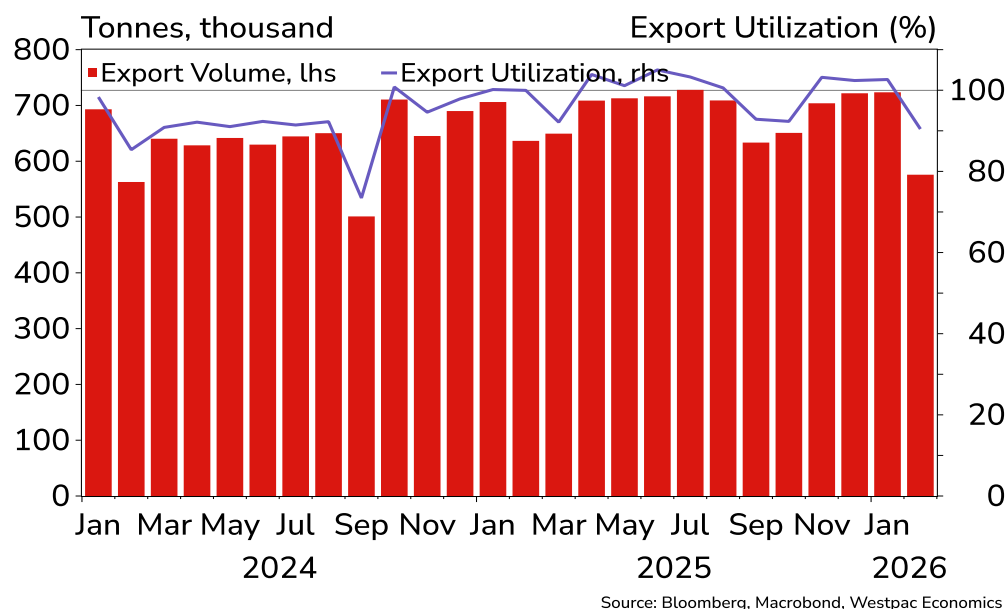


“Even allowing for further delays, Papua LNG remains the single most consequential driver of PNG’s growth outlook over the coming decade.”

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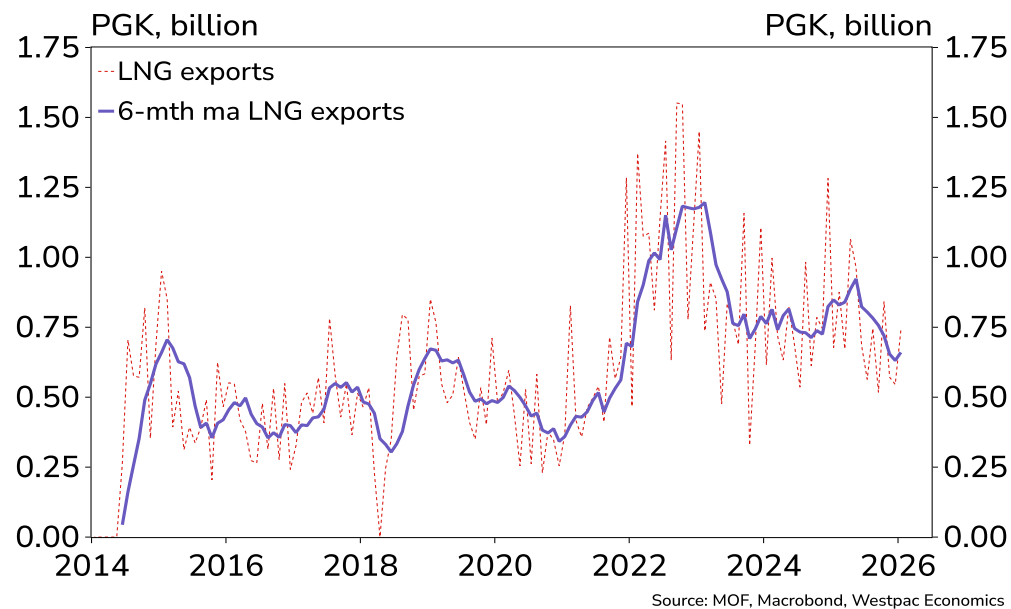
PNG LNG export to rise

PNG LNG Export



“...PNG LNG export utilization at 114% in March 2026, as output ramps up amidst Middle Eastern Crisis”

PNG's LNG export to Japan



“...LNG exports to Japan rose 9% in January 2026 with more uplift in revenue expected”

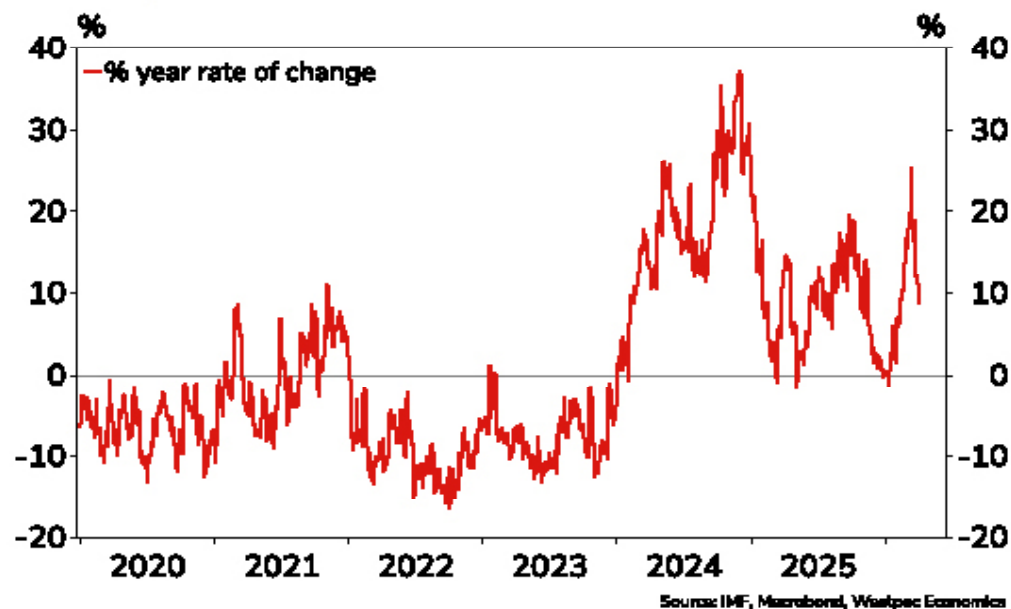
Signs of strength in import activity

- Westpac has developed a proprietary index tracking import activity at PNG ports, known as the PNG Ports Imports Indicator.
- While the data can be volatile and subject to revision as updates are received, when used judiciously, it provides a timely signal of import momentum and, by extension, domestic economic activity.
- The latest update from the Indicator suggests the strength in import activity has strengthened through early 2026 up to mid March since when we have seen a moderation which could be related to shipping disruptions associated with the conflict in the Middle East.
- Annual growth in the Port Imports Indicator peaked at 2% around mid July before easing back to just under 10% in September. As we moved through 2026 the annual pace pick up again peaking at around 25%yr in mid March before easing back to just under 10%yr in early April.
- We are always cautious about drawing firm conclusions from a single indicator such as this. Nevertheless, the consistent gains throughout 2025 and into 2026 until the recent Middle East crisis pointed to a positive underlying momentum in the

PNG economy.

- **Why do we track imports?** The PNG domestic economy continues to grow at just under 5%, a sound pace but less than what is needed to lift more out of poverty.
- The anticipated Final Investment Decisions (FID) for several large resource projects will provide a significant boost. While these projects can deliver multi-decade benefits, they do not drive permanent positive change on their own. Additional measures are required to ensure inclusive and sustained growth. These include:
 - Improving domestic physical infrastructure.
 - Building human capital through better health, education, and training.
 - Reforming State Owned Enterprises to enhance service delivery.
 - Strengthening government services.

PNG Imports Indicator



“...strength in imports continued as 2026 started...”

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Cocoa at its lowest since early 2023

Cocoa

Cocoa prices have been under pressure as markets focus on improving supply conditions and frequent rain in West Africa supporting pod development and rising stockpiles, with ICE-monitored certified stocks lifting to around a 7.5-month high (2.34m bags) by late March.

Demand has also softened with Barry Callebaut, a Swiss-based global cocoa and chocolate company reported a 22% decline in cocoa division sales volumes (quarter to Nov 30), while grindings fell 8.3% y/y in Europe in Q4, with weaker outcomes also reported in Asia. This indicates that consumers have become quite resist to high chocolate prices.

Cocoa remains economically important, particularly in Bougainville, which reported K750m in cocoa revenue and assumed full control over its cocoa export system. Supply resilience efforts are also emerging, including the launch of a cocoa seed bank in Madang.

Softer cocoa prices are a downside risk for rural incomes and export receipts.

Coffee

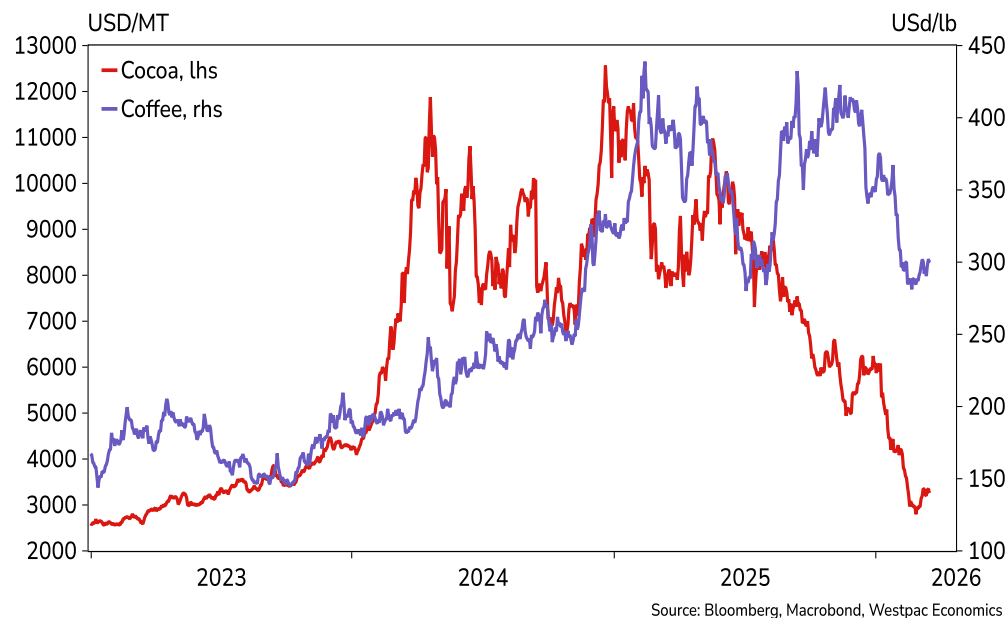
Global coffee prices have been choppy but recently firmer due to near-term supply tightness in Brazil and logistics risk, even as the medium-term supply outlook looks more comfortable.

Brazil's Cooxupé expects exports to fall 10% in 2026 to around 4.4m bags (from 4.9m in 2025) because the smaller 2025 harvest is constraining export availability early in 2026, while some growers are holding back sales.

Offsetting this, expectations of a large Brazil crop and rising inventories have been a recurring bearish force, and Vietnam's export performance is also adding to supply availability. Demand risks remain tied to higher delivered costs from shipping, fuel and insurance when global logistics are disrupted.

PNG recorded a record 1.5 million coffee bags exported in 2025 (highest since the 1980s), improving rural cashflow and FX inflows

Cocoa and Coffee

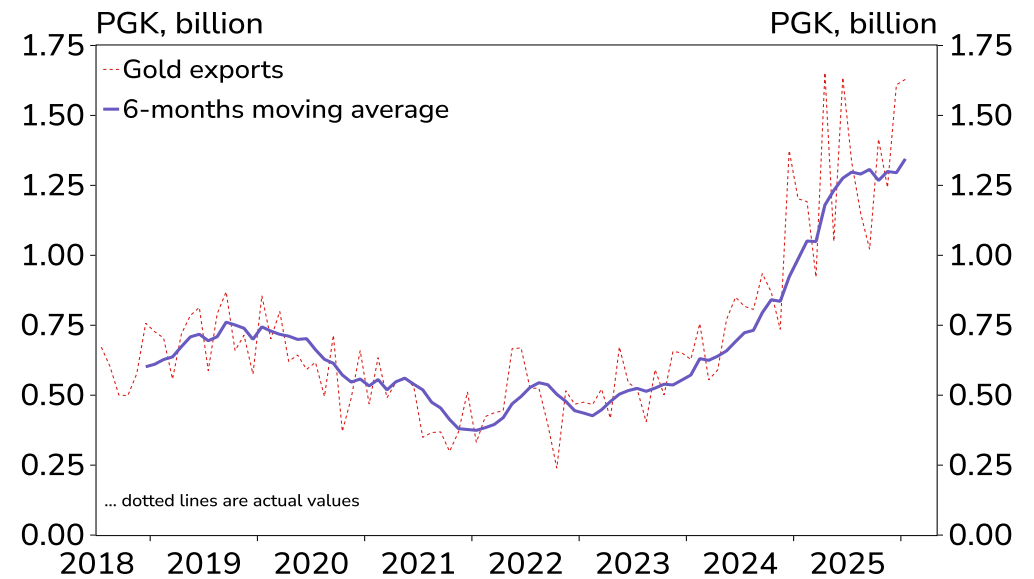


“...subdued global prices threatens PNG’s cocoa sector which thrived in 2024-25 period...”

Gold export rally supports PNG economy

- Gold production momentum strengthened across several key operations. K92 Mining's Kainantu mine continues to stand out as a top-tier performer. The company reported 174,134 ounces of gold-equivalent production in 2025, exceeding guidance, and issued 2026 guidance of up to 225,000 ounces as the Stage 3 expansion ramps up. Over calendar 2025, K92 contributed approximately K423 million in corporate taxes, alongside significant royalties, levies and local procurement, cementing its importance to both fiscal and FX inflows.
- At Porgera, New Porgera Limited exceeded expectations in 2025, producing 376,057 ounces of gold and paying K985.8 million in taxes, while declaring around US\$400 million (≈K1.7 billion) in dividends, with 51% accruing to PNG interests. Porgera is on track to move back toward Tier-1 status, with production capacity expected to rise further by 2027.
- Elsewhere, Simberi (St Barbara) reported a return to profitability, supported by expanded resources of nearly 7.9 million ounces, while Adyton Resources and Great Pacific Gold reported encouraging exploration outcomes, pointing to a strengthening pipeline of future output.
- Gold export values to Australia surged into early 2026. In January 2026, PNG's gold exports to Australia totaled approximately PGK 1.63 billion, up from PGK 1.61 billion in December 2025 and significantly higher than the PGK 0.63–0.94 billion range seen through much of early 2024.
- Over 2025, monthly gold exports to Australia were consistently above PGK 1.0 billion, peaking near PGK 1.65 billion, reflecting higher prices rather than large volume swings.
- This export strength has materially supported foreign exchange liquidity, helping reduce the FX backlog from around K1.8 billion to near K200 million, according to Bank of PNG assessments. Gold receipts have also cushioned the kina under the crawling-peg regime and partially offset higher fuel import costs.

Gold exports to Australia K1.6bn in January



Source: DFAT, Macrobond, Westpac Economics

“...the rally in 2025 is largely attributed to elevated global gold prices driven by economic uncertainty and inflationary pressures ...”

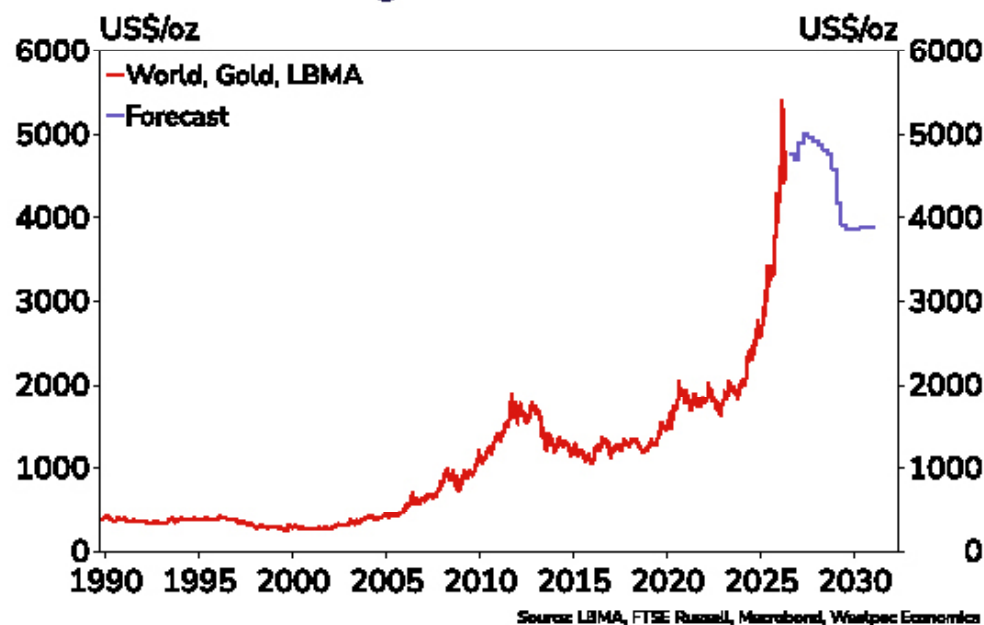
Gold consolidation before retesting \$5,000

- Gold has been under pressure over recent weeks as markets focused on the inflationary implications of higher oil prices and the prospect that central banks may need to keep policy tighter for longer. A rapid rise in US real yields alongside renewed USD strength weighed on bullion, prompting a notable retracement from the all-time high reached in late January.
- Consolidation to persist over coming weeks, but recent pullbacks may be seen as opportunities to re-engage. Gold has already corrected and speculative positioning has been flushed out. We are looking for a period of range-trading in which volatility subsiding should allow a base to form. This environment is likely to encourage longer-term investors to rebuild positions.
- Geopolitical risks tend to have an uneven and often short-lived impact on gold with near-term safe-haven rallies typically fading as markets adjust. More durable support for gold usually comes via second-round effects: shifts in the growth-inflation mix, policy responses and a strengthening of strategic demand as investors look to diversify. If geopolitical disruptions persist and energy prices remain elevated, the combination of

higher inflation and weaker growth, with the associated risk of renewed fiscal and monetary stimulus, would present upside risks for gold. Persistent geopolitical uncertainty also continues to underpin strategic demand from institutional, official-sector and retail investors.

- Concerns about central-bank gold selling have resurfaced, particularly following recent price weakness and headlines around Turkey. While some central banks may sell modest amounts of gold at times, we see little evidence of a structural shift away from gold accumulation. We continue to expect official-sector net purchases to slow only gradually, broadly in line with recent trends. Temporary monthly selling episodes are not uncommon and often reflect idiosyncratic factors rather than a change in strategic intent.
- Headline risks remain as markets continuously re-price geopolitical and macro developments. Nevertheless, speculative positioning is cleaner, long-term investors remain under-invested, and diversification demand is rising. We continue to expect new highs in gold over time.

Gold is consolidating



“Geopolitical and market risks remain elevated.... against this backdrop, we expect gold to retest US\$5,000/oz in early 2027...”

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Financial forecasts

Interest rate forecasts

	Latest (10 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28
Australia											
Cash	4.10	4.60	4.85	4.85	4.85	4.85	4.85	4.85	4.60	4.35	4.35
10 Year Bond	4.97	5.05	5.05	5.05	5.05	5.05	5.00	4.95	4.90	4.90	4.90
US											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.30	4.40	4.40	4.45	4.50	4.55	4.60	4.65	4.70	4.75	4.75
New Zealand											
Cash	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25	4.25	3.75
10 Year Bond	4.69	4.85	4.95	5.00	5.05	5.10	5.10	5.10	5.10	5.10	4.95

Exchange rate forecasts

	Latest (14 Apr)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28
PGK/USD	0.2311	0.2250	0.2200	0.2150	0.2150	0.2170	0.2220	0.2270	0.2320
PGK/AUD	0.3262	0.3125	0.3056	0.2945	0.2945	0.2932	0.3000	0.3068	0.3178
PGK/NZD	0.3934	0.3814	0.3618	0.3468	0.3370	0.3288	0.3323	0.3388	0.3483
PGK/EUR	0.1964	0.1907	0.1864	0.1807	0.1792	0.1793	0.1820	0.1861	0.1909
PGK/GBP	0.1709	0.1661	0.1618	0.1569	0.1558	0.1561	0.1586	0.1610	0.1651
PGK/JPY	36.78	35.55	34.32	33.11	32.68	32.55	32.86	33.14	33.41
PGK/SGD	0.2943	0.2846	0.2772	0.2709	0.2709	0.2723	0.2786	0.2847	0.2909

Sources: Bloomberg, Westpac Economics.

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Economic and financial forecasts

Major trading partner growth forecasts (year average)

Real GDP %ann	2020	2021	2022	2023	2024f	2025f	2026f	2027f
World Economy	-2.7	6.6	3.6	3.5	3.3	3.2	3.1	3.2
US	-2.2	6.1	2.5	2.9	2.8	1.9	1.3	1.6
Eurozone	-6.0	6.3	3.5	0.4	0.9	1.4	1.1	1.4
Australia	-2.0	5.4	4.1	2.1	1.0	1.8	2.4	2.5
New Zealand	-1.3	5.7	2.9	1.8	-0.6	0.3	2.1	3.4
Japan	-4.2	2.7	0.9	1.5	0.1	1.1	0.8	0.8
China	2.3	8.4	3.1	5.4	5.0	4.8	4.6	4.5
India	-5.8	9.7	7.6	9.2	6.5	6.6	6.4	6.3

Sources Macrobond, Westpac Economics

Economic indicators		2023	2024 (est)	2025 (est)
Inflation	ADB	2.3%	0.7%	3.8%
	BPNG	3.9%	0.7%	3.0%
	IMF	2.3%	0.6%	5.5%
GDP growth	Westpac	3.9%	0.7%	4.7%
	ADB	3.8%	4.3%	4.2%
	BPNG	3.0%	3.0%	4.0%
	IMF	3.8%	3.7%	4.6%
	Westpac	3.8%	4.3%	4.7%

Sources Macrobond, Westpac Economics

PNG Economic Statistics

	2019	2020	2021	2022	2023	2024	2025
Money supply (% year)	4.4	7.0	13.4	14.8	11.5	-6.4	6.9
Private Sector Credit (% year)	4.0	4.2	2.5	6.9	19.0	3.0	4.0
Current Account (K millions)	18,522	17,281	12,222	11,543	9,220	13,201	13,649
Total Imports Cover (months)	5.0	7.4	5.4	7.4	6.3	5.7	4.3
Non-mineral imports cover (mth)	8.2	11.8	8.4	15.1	11.6	12.2	9.3
Headline inflation (% year)	2.7	5.1	5.7	3.4	3.9	0.4	3.0
Fiscal Surplus/Deficit (K millions)	-4,172	-6,501	-6,270	-5,852	-4,935	-4,935	-3,984
Defecit as % of GDP	-5.0	-8.0	-6.7	-5.4	-4.4	-4.4	-3.3

Sources Macrobond, Westpac Economics

Financial Markets

Indicators	2022	2023	2024	2025f	2026f
Broad money supply	14.8	11.5	9.9	7.3	7.5
Monetary base	29.5	-8.7	-2.3	7.8	7.0
Claims on private sector	6.9	19.0	11.5	12.3	13.6
Net claims on government	-5.4	33.1	19.9	0.9	4.4
Net foreign assets	52.4	3.99	-6.0	-4.3	4.2
Fiscal Surplus/Deficit (K millions)	-5,852	-4,935	-3,984	-2,654	-1,314
Defecit as % of GDP	-5.4	-4.4	-3.3	-2.0	-0.9

Source: BPNG forecasts

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Commodity Forecasts April 2026

End of period	Latest (14 April)	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28
LNG in Japan US\$mmbtu	19.09	25.6	25.3	20.3	16.0	13.5	11.3	10.0	9.7	9.2
gold (US\$/oz)	4,819	4,770	4,700	4,900	5,000	4,970	4,920	4,870	4,820	4,770
copper (US\$/t)	13,013	12,460	12,470	12,670	12,920	13,100	13,050	12,480	11,680	12,390
aluminium (US\$/t)	3,560	3,490	3,500	3,460	3,460	3,440	3,410	3,380	3,160	3,260
nickel (US\$/t)	17,586	17,100	17,200	17,400	17,500	17,300	16,800	15,400	13,700	13,900
zinc (US\$/t)	3,333	3,200	3,300	3,330	3,280	3,180	3,050	2,840	2,590	2,640
lead (US\$/t)	1,907	1,900	1,910	1,930	1,930	1,840	1,770	1,630	1,450	1,470

Source: Bloomberg, Westpac Economics

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ECONOMIC BULLETIN

Preview of RBNZ April 2026
Monetary Policy Review
(Wednesday 8 April, NZT 2pm).

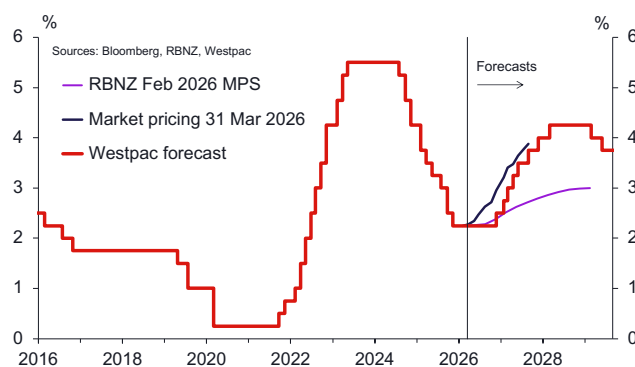


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25 March speech redux

- Consistent with guidance given by Governor Breman in a recent speech, we expect the RBNZ to hold the OCR at 2.25% at the 8 April review.
- Barring major developments over coming days in the Middle East, the associated commentary – which will include a post-meeting press conference – will likely closely mirror Governor Breman’s recent speech.
- We expect the Bank to emphasise that it will not react to the first-round impact of higher energy prices on near-term inflation but that it will respond should there be evidence of second-round effects that might create persistent inflation.
- While the post-meeting statement will present the consensus view of the MPC, the Record of Meeting will likely reflect a diversity of views about the likelihood of second-round persistent inflation and thus the appropriate policy stance.
- The Bank is not scheduled to present revised economic projections at this meeting. However, it is possible that the RBNZ will provide some guidance of the likely magnitude of the upward revision to near-term inflation and downward revision to GDP growth that might be considered in May.
- We think the Bank will aim to balance a desire to avoid a further tightening of financial conditions with the desire to not sound complacent about the medium-term inflation risks that come with an energy price shock.

Official Cash Rate forecasts



The RBNZ will announce the outcome of the next Monetary Policy Review (MPR) at 2pm NZT on 8 April. In addition to the usual release of a post-meeting statement and the Record of Meeting, this meeting is notable as it will feature the first post-meeting press conference at a MPR meeting – a welcome innovation introduced as part of Governor Breman’s drive for greater transparency.

In the absence over coming days of major developments in the Middle East, we think that the Bank’s communication at this meeting is likely to closely mirror the **speech given by Breman** on 25 March – a speech that had received input from the Bank’s Monetary Policy Committee (MPC), albeit it not necessarily representing every member’s view. And so, with the Bank already indicating that it will not respond in a knee-jerk manner to a near-term oil-driven lift in inflation, the OCR is almost certain to be held at 2.25% next week, as would have been the case in the absence of the oil shock.

The RBNZ’s guidance about what to expect at future meetings will also likely echo the Governor speech. In crafting this guidance, the MPC will aim to reassure markets that it will not overreact to the shock, which

could cause markets to further tighten financial conditions. At the same time, the RBNZ will need to ensure it sounds credible to households and businesses about its willingness to tighten policy if inflation expectations and pricing behaviour evolve in a manner inconsistent with achieving the inflation target over the medium-term. While monetary policy should look through a temporary spike in energy prices, the MPC will need to be vigilant – and be seen to be vigilant – against the risk that inflation becomes persistent.

The magnitude of that risk will depend in part on the duration of the conflict, with a more protracted conflict likely to lead to greater damage to energy infrastructure and enduring damage to supply chains, prolonging the inflation shock. It will also depend on the state of the domestic economy. As the Governor noted in her speech, while the recovery may be broadening, it is still early – as demonstrated by the disappointing Q4 GDP outcome – and the economy is operating well below capacity. In this context, many businesses may struggle to fully pass on cost increases without losing demand – a dynamic that should delay or limit second-round inflation effects stemming from the rise in oil prices.

While the post-meeting statement and the Governor's press conference will largely represent the consensus view of the Committee, the Record of Meeting will likely reveal a diversity of views. Key areas where the views of the Committee could diverge include the likely duration of the conflict, the impact on the economy, the likelihood of second-round effects driving persistent inflation over the medium-term, and the appropriate course for monetary policy over time. Such discussions might provide some insight into how the consensus view of the MPC might evolve as more is learnt about the evolution of the conflict and its economic impact.

The RBNZ is unlikely to provide a full update of its economic projections next week – that will likely come as usual when it releases the next Monetary Policy Statement (MPS) in May. That update will include reaction to pre-conflict data, such as the slightly disappointing Q4 GDP report. It will also allow reflect reaction to the first reports showing how the global and domestic economies have responded to the oil shock (so far there has been some evidence of softer PMI readings offshore, together with a marked drop in consumer confidence in New Zealand). Developments in financial conditions, including the exchange rate, will also factor into those revisions.

But we don't rule out the possibility that next week the RBNZ could provide some preliminary quantification of how the conflict has impacted the near-term outlook for inflation and GDP growth that was presented in the February MPS (such as where inflation may peak and how much growth might be impacted this year). Such estimates could be refined in May based on developments in the Middle East and with the benefit of

early economic data and further anecdotes quantifying the impact on New Zealand consumer and business behaviour. In **our own recent forecast update**, we upgraded our outlook for CPI inflation (now expected to peak at 4.1%/y this year) and downgraded our forecasts for economic growth (now expected to be 1.9%/y this year, down from a pre-war forecast of 3.3%/y).

In its communications on 8 April, the RBNZ will balance a desire to avoid a further tightening of financial conditions with the desire to not sound complacent about the medium-term inflation risks that come with an energy price shock. Reinforcement of the approach communicated in Breman's speech guidance should continue to lean against the market's current pricing of more than three 25bp OCR hikes by the end of this year, especially once current liquidity issues in the domestic market ease. As we discussed in our own forecast update, we continue to forecast just one 25bp hike this year, but also that significant tightening will occur in 2027 once the activity implications of the energy shock begin to dissipate.

Kelly's take.

No change is very appropriate for now. This supply shock is extremely unwelcome and will likely significantly boost headline inflation for a while. But at least for now the large, accumulated level of excess capacity likely means the risk of entrenched inflation remains modest.

The MPC has time to assess how the outlook will evolve. We don't know how far and for how long inflation will remain elevated. Forecasts are necessarily uncertain if only because the duration of the war and restriction of oil supplies remain uncertain.

We can't assume inflation will automatically revert to more normal levels, but we also can't assume it won't. We should be alert to the possibility of financial stability issues globally that could see financial conditions tighten. That's another reason for not putting maximum weight on forecasts that suggest risks of inflation remaining elevated for a long time. The market might do some of the job for us. And there might be bigger fish to fry.

If inflation rises for a protracted period, then it won't be appropriate to have interest rates in the 2's or even the low 3's as real interest rates will be too low. But there's time to assess and plenty of scope to move quickly once it's determined that real interest rates closer to more neutral settings are appropriate. I'd want to see a lot more data before coming to that judgement.

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ECONOMIC BULLETIN

Hawks, doves, and kiwis.



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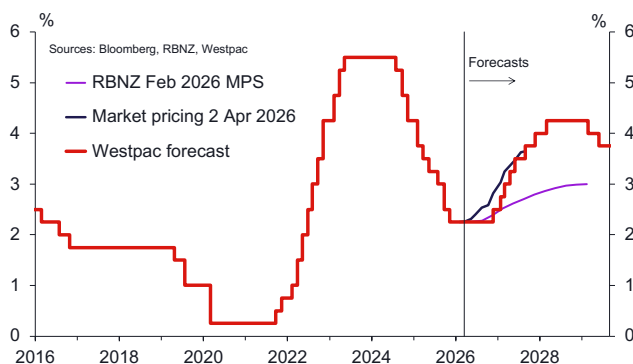
Overview.

As discussed **in our preview this week**, the outcome of the upcoming Monetary Policy Review seems certain – an OCR maintained at 2.25%. However, looking further ahead, we think there is likely to be a diversity of views across the Monetary Policy Committee (MPC) about how the Middle East conflict is likely to play out; the likely impact on the economy and inflation; and the appropriate monetary policy response.

In this edition of our regular “Hawks, Doves and Kiwis” note, we survey some of the arguments that might be advanced by MPC members as they seek to tease out the implications of this shock. Some of those arguments would push the RBNZ in a more “hawkish” direction, while others would counsel a “dovish” response.

We expect to see at least some of these perspectives raised in the Record of Meeting that will be published after next week’s meeting. However, it will likely take some time before it becomes clear which path the economy and monetary policy will take.

Official Cash Rate forecasts

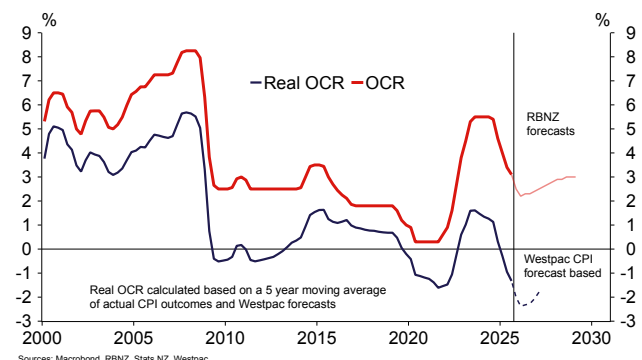


The Hawk’s Eye View.

The Middle East conflict is both large and possibly long lasting. The current 2.25% nominal OCR was set with a view to a very different outlook. More neutral settings will soon be appropriate while we assess the size and duration of the inflation shock.

- Inflation is likely to rise to the 4-5% range at the very least. And the shock could be long lasting, reflecting the significant supply chain disruptions at play.
- The OCR was set based on a forecast of a high level of excess capacity which still seems relevant. But it also envisaged an inflation rate that would soon move back inside the inflation target range. This is unlikely now.
- Hence the real OCR is now much lower than was anticipated would be the case in late 2025/early 2026. Indeed, the real OCR is now likely in deeply negative territory and will fall a lot further as inflation rises.
- We would need to make heroic assumptions to think inflation expectations will remain low enough to think that real interest rates are not now low and falling.
- This inflation shock comes after a long period of above target inflation. This further challenges the idea that inflation expectations will remain unimpacted.

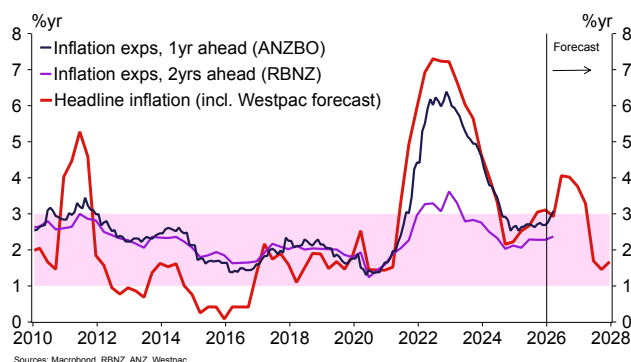
RBNZ forecasts of the nominal OCR and estimated real OCR



Significant risks to inflation expectations and wage setting behaviour could result from the inflation shock. This requires a proactive response to avoid a later OCR overshoot.

- The shock to the inflation rate is extreme and the duration of the shock unknown.
- Price setting behaviour could quickly adjust to reflect the shock. Pricing intentions were already high, and costs are increasing in a visible way. Customers are likely to accept a price rise given the Iran war.
- Labour market conditions are not uniformly loose. Skilled labour remains hard to get and there are considerable costs for firms to replace lost skilled workers. These firms may opt to compensate those workers given the broad-based nature of the inflation shock.
- Given the risk of a lift in inflation expectations, it's no longer appropriate to retain stimulatory conditions. Policy should be at least neutral in the current circumstances. A quick adjustment of the OCR above 3% is appropriate.

Inflation and inflation expectations



Many central banks will likely be forced to tighten monetary policy in response to the inflation shock. The RBNZ will need to follow suit or exchange rate depreciation will be a significant risk.

- Most of the move up in market interest rates has reflected global dynamics.
- Global rates are rising reflecting the inflation shock and an expectation that central banks won't accommodate the shock.
- If the RBNZ retains relatively low short-term rates then downward pressure on the exchange rate will occur. This will add to inflation pressures.
- Some rise in the OCR to compensate for rising foreign rates is thus appropriate – likely towards the 3.5-4.5% range now likely for the US and Australia.

Even if the Iran war is quickly resolved, a legacy of high inflation will remain. It would be better for the OCR to

be positioned much closer to neutral levels to bring that inflation down to 2%.

- Even if the war ended tomorrow, inflation would be much higher than thought when the 2.25% OCR was last considered by the MPC.
- While doves can argue that accumulating excess capacity means an accommodative stance is appropriate, growth could quickly be restored if the war ended.
- The uncertain situation argues for a more neutral policy stance. Certainly, the odds of an undershoot of core inflation in the next 2 years looks remote.

The Dove's Tale.

Good central bank practice is to look through the direct impact of supply shocks.

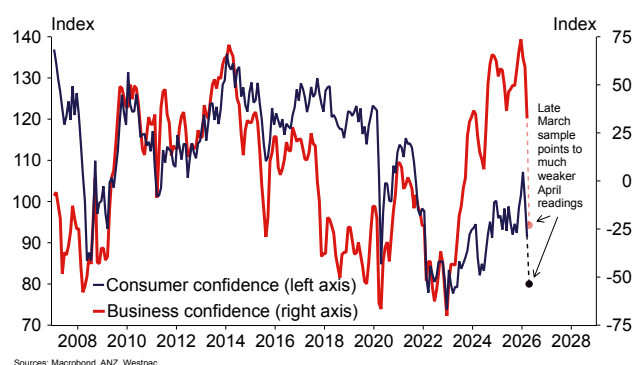
- The RBNZ cannot offset with higher interest rates the impact on near-term inflation of an increase in oil prices that's already occurred.
- As interest rates usually take around 12 to 18 months to have their full effects, interest rate hikes now could compound the downwards pressures on activity just as inflation will naturally be falling back, thus amplifying rather than dampening the cycle in inflation.
- Monetary policy tightening would only be appropriate if there were clear evidence of second-round inflation pressures that would not be addressed by the additional surplus productive capacity created by the shock.

The impacts on activity from the Middle East conflict are likely to be large, especially considering the fragility of New Zealand's recovery.

- GDP growth disappointed last year, with the recovery seemingly interrupted by uncertainty associated with US tariff policy. Many smaller firms will be poorly positioned to cope with a further year of disappointing growth.
- Consumer and business confidence has already taken a significant hit, and next month's surveys seem likely to be weaker again. Firms already report the curtailing of some activity.
- Uncertainty will lead to delays in making major decisions (such as hiring and investment proposals); a reduction in discretionary purchases due to a squeeze on household disposable incomes; and downward pressure on asset prices (including housing).
- In this environment, even a 2.25% OCR is unlikely to stimulate activity. While the real OCR this year will be lower than forecast previously, it is absurd to suggest that financial conditions have been eased by this shock.

- Long haul travel to New Zealand is likely to be lower than forecast previously due both increased costs associated with travel, physical disruptions through major hubs and perhaps travellers' reluctance to travel long distances.
- There is a risk that the conflict is protracted, and that the related disruptions cause a larger and more enduring lift in inflation than expected. However, in such circumstances, there is likely to be an even sharper downturn in economic activity. Tightening policy in such circumstances would be unnecessary.

ANZ consumer and business confidence



The output gap is already sufficiently negative to place the required downward pressure on inflation over the medium term.

- Some countries will likely need to tighten monetary policy. This is because they will need to generate the excess capacity required to ensure that a near-term spike in inflation does not lead to persistent inflation over the medium-term.
- By contrast, New Zealand's economy already has significant spare capacity and that capacity is now unlikely to be absorbed this year given the weaker outlook for growth.
- The current level of spare capacity proved sufficient to normalise pricing setting behaviour – including wage growth – in the wake of the huge Covid inflation shock.
- It is unclear why even greater spare capacity would be required to dampen inflation this time, especially with fiscal policy providing a more supportive role than during the Covid shock.
- Tightening now will needlessly generate even greater spare capacity – probably including an unemployment rate over 6% – adding to the real cost of this shock to the New Zealand economy.

Unemployment rate and wage growth



The oil price shock could expose other much-discussed weaknesses in the global economy, leading to a generalised tightening of financial conditions. The RBNZ needs to be wary of tightening into what could be a sharper global slowdown than currently assumed.

- Stresses caused by the oil shock could expose other vulnerabilities in the global economy, such as concerns about equity market valuations, private credit and structural weaknesses in China's economy.
- Some central banks will have little choice but to tighten policy (e.g., the RBA). This will weigh on trading partner growth and feed back into the outlook for both the demand for and prices of New Zealand's exports.
- The RBNZ needs to consider these risks especially given the weak starting point for the recovery.

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